



Telekom Austria - The Company

With total managed revenues of EUR 3.9 billion and 15,000 employees in 2002, Telekom Austria is the largest telecommunications company in Austria and also one of the leading corporations in this country. Telekom Austria AG has been listed on both the Vienna and New York Stock Exchanges since November 2000.

The newly defined organizational structure of Telekom Austria AG classifies the company's activities into two segments of business: the wireline segment comprises fixed line, data communications and Internet services, and the wireless segment covers mobile communications. Telekom Austria is also active in the mobile communications sector in Croatia, Slovenia and Liechtenstein and in the Internet segment in the Czech Republic.

Through the continuous development of its networks, the Telekom Austria Group assumes an important responsibility for this country and the people who live here. The Telekom Austria Group is a central motor for increasing Austria's competitive

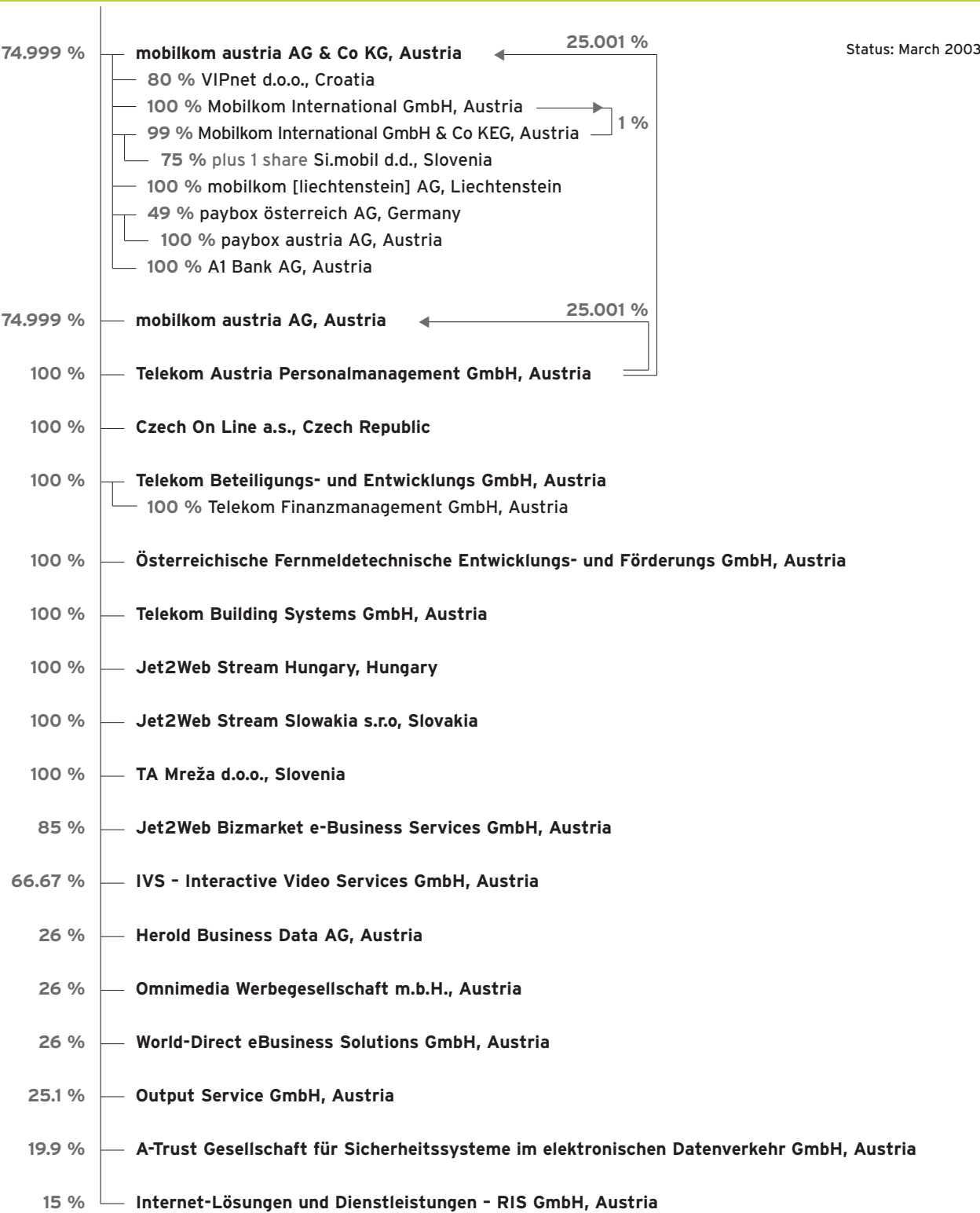
advantage as a business location with state-of-the art technology. With innovative high-tech solutions, Telekom Austria is a strong and reliable partner for all communications-related issues.

Roughly 3.1 million customers in the wireline segment and nearly 4.5 million in the mobile communications segment place their trust in services provided by the Telekom Austria Group both in Austria and abroad.

Our vision for the future is clear: "We want to be Austria's favorite telecommunications provider - a lifetime long".

Structure of the Telekom Austria Group

Telekom Austria AG



Key Figures of Telekom Austria Group

Key Data - Operational	Dec. 31, 2002	Dec. 31, 2001	Dec. 31, 2000
Fixed access lines (in '000)	3,097.3	3,166.8	3,269.0
• Thereof ADSL access lines (in '000)	174.1	100.6	38.5
Fixed access channels (in '000)	3,762.3	3,806.2	3,832.9
Mobile communications customers			
• in Austria (in '000)	3,001.4	2,849.9	2,804.3
• in Croatia (in '000)	1,097.8	855.7	531.4
• in Slovenia (in '000)	350.0	269.6	-
• in Liechtenstein (in '000)	2.0	1.3	0.2
Total (in '000)	4,451.2	3,976.5	3,335.9
Internet customers • in Austria (in '000)	846.5	666.4	293.4
• in the Czech Republic (in '000)	275.3	238.2	188.7
Employees at year-end ¹⁾	14,951	16,586	18,301
Key Data - Financial (in EUR million) ²⁾	2002	2001	2000
Total managed revenues	3,908.2	3,859.3	3,807.5
Total managed EBITDA ³⁾	1,514.8	1,474.8	1,061.4
Total managed EBIT ³⁾	323.5	158.0	-29.0
Net income (loss)	12.8	-104.6	-285.6
Total managed additions to property, plant and equipment	662.4	812.2	917.7
Total managed net debt ³⁾	3,204.2	3,282.1	3,420.3
Equity	2,509.5	2,500.4	2,603.6
EBITDA margin (in %) ³⁾	38.8	38.2	27.9
Net debt to equity - net gearing (in %)	127.7	131.3	131.4
Equity ratio (in %)	29.4	32.4	32.3
Return on capital employed - ROCE (in %) ³⁾	5.6	2.7	-
Return on equity - ROE (in %) ³⁾	0.5	-	-
Key Data - Stock Exchange	2002	2001	2000
Earnings (loss) per share in EUR	0.03	-0.21	-0.57
Market capitalization as of Dec. 31 in EUR billion	4.8	4.7	3.0
Stock price as of Dec. 31 in EUR	9.65	9.31	6.00
Stock price - high - in EUR	9.95	9.48	9.00
Stock price - low - in EUR	7.24	5.38	5.71

1) Full-time employees

2) For information on the differences between consolidated and total managed data please refer to the effects of the purchase of the remaining stake in mobilkom austria (p. 27 of the group management report)

3) For definitions see glossary

Note: Following the purchase of the remaining stake in mobilkom austria Telekom Austria consolidated the mobilkom austria balance sheet for the first time on June 28, 2002. The consolidated statement of operations of Telekom Austria for 2002 reflects the results of operations of mobilkom austria through June 28, 2002 at equity in earnings, with full consolidation for the period from June 28, 2002 to December 31, 2002. For ease of comparison the total managed data of Telekom Austria reported in the group management report include the mobile communications segment at 100% for both 2001 and 2002.

Under
http://ar2002.telekom.at/key_figures
 you can find more information about
 the figures simply by mouse click.



Annual Report 2002

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Introduction by the Management Board

Dear Shareholders and Business Partners of Telekom Austria,

Last year in this report, I announced that after a fundamental change in our corporate philosophy we would shift the focus of our business to our customers. I now would like to explain how this reorientation has led to our most successful year since the liberalization of the Austrian market.

The most important milestones on this road were the strengthening of our domestic market position across all business segments, the repurchase of the minority stake in mobilkom austria, and the complete reorganization of the fixed line, data communications and Internet segments. Their merger into the wireline organization represents the turning point in our development from a product-oriented infrastructure company to a professional full-service provider. As a result, the description of the Telekom Austria business will be presented under the wireline and wireless segments beginning in 2003.

We are once again the sole owner of mobilkom austria following the purchase of the minority share previously owned by Telecom Italia Mobile in June 2002. The appointment of Boris Nemsic, CEO of mobilkom austria, as chief operating officer for the wireless segment of Telekom Austria reflects this change in our ownership structure.

Revenues reported by the Telekom Austria Group increased by 1.3% to EUR 3,908.2 million in 2002. EBITDA rose by 2.7% to EUR 1,514.8 million, or slightly above the initial forecast of EUR 1,500 million, and confirmed the confidence placed in us by stock markets. The price of our shares rose 3.7% in year-to-year comparison, while the branch average lost nearly 39%. In this connection I would also like to mention the extremely successful stock placement in November 2002, which was completed within a few hours. This transaction reduced Telecom Italia's stake in Telekom Austria by half to 14.8% and increased Telekom Austria free float to 38%.

What picture is shown by operations? Developments in the fixed line segment were positive. Even though a year-to-year comparison shows a decline in earnings, our successful market positioning led to consolidation starting at mid-year. For the first time since liberalization in Austria, we were able to stabilize our market shares. The five-year goal we announced in 2000, which called for a headcount reduction in the fixed line segment, has been met by more than 80%. The unfavorable economic environment has negatively affected business development in data communications, but we have already intensified our marketing efforts in this area. The Internet segment also remained behind expectations. We reacted quickly to these developments, and reduced our activities accordingly. In the mobile communications area, we can look back on another very successful year. The introduction of the first national UMTS network underscores the technology leadership of mobilkom austria. We were able to further increase our share of the highly competitive Austrian market. For the first time, we recorded positive EBITDA in all countries in which we are active.

from left to right: Boris Nemsic,
Heinz Sundt, Stefano Colombo, Rudolf Fischer



The overall favorable development of the group combined with lower depreciation, amortization and net interest expense led to a positive net result for the first time since 1999, with net income reaching EUR 12.8 million. Despite financing of EUR 693.1 million for the repurchase of the stake in mobilkom austria and additions to property, plant and equipment of EUR 662.4 million (-18.4% below 2001), we were able to reduce net debt to EUR 3,204.1 million below the level of the previous year.

I would now like to explain our strategy and implementation plans in more detail. In the wireline segment, our goal is to win back and increase our market shares in Austria. For this purpose, we will continue to pursue our stabilization policy and seize market opportunities in the broadband area. We want to optimize synergy effects resulting from the restructuring process as well as our customer orientation. In the mobile communications (wireless) segment, our objective is to increase the share of high-value customers through our innovation and service leadership. In our foreign activities we will very selectively consider opportunities for value-enhancing expansion.

With this strategy we aim to maximize group cash flow by optimizing performance in the operating segments, strict cost management, and the efficient deployment of resources. Against the backdrop of the current economic environment, we forecast a slight increase in total managed revenues and EBITDA for 2003. This assumes stable development in the wireline segment and further, but slower, growth in the wireless segment. The expected increase in net income should allow the resumption of dividend payments for 2003.

I would now like to comment on the competitive environment. Five years of telecom regulation have proven that regulatory policy in major areas has failed to provide the right incentives up to this point. The majority of fixed line providers operate solely as resellers, without investing in their own infrastructure and therefore making no contribution to Austria as a business location. In the past, we have made repeated reference to this issue. A first success was represented by a motion placed before the Austrian parliament in July 2002 to decrease regulation and provide measures to safeguard investments in technology. A rethinking process seems to be currently underway in the political arena.

In conclusion, I would like to say a few words about our employees and express my gratitude for their patience and readiness to support our extensive restructuring measures. Approximately 12,000 employee stockholders profit directly from the success of their work. They are also strong proof of the confidence and commitment that our employees, my colleagues on the Management Board, and I want to invest in the future of your Telekom Austria.

Thank you for your confidence.

Sincerely,



Heinz Sundt, Chairman of the Management Board and Chief Executive Officer

Under
<http://ar2002.telekom.at>
you can add your comments
to each page of the online report
and send it via e-mail.



Management Board

Heinz Sundt - Chairman of the Management Board and Chief Executive Officer

Heinz Sundt was born in 1947 and attended the School of International Trade in Vienna (Hochschule für Welthandel). He started his career at the Länderbank in 1967. From 1969 through 1986 he held management positions in the marketing and sales departments at IBM Austria, and from 1986 through 1989 he was the head of the telecom and network division. In 1989, Mr. Sundt became head of marketing and sales at Neupack GmbH, a subsidiary of Mayr-Melnhof. In January of 1996, Mr. Sundt became the head of mobilkom austria and played a key role in the highly successful development of the mobile communications segment. Heinz Sundt was appointed Chief Executive Officer of Telekom Austria AG in April 2000.

Stefano Colombo - Vice Chairman of the Management Board and Chief Financial Officer

Stefano Colombo was born in 1961. After graduating from Luigi Bocconi University in Milan, he started his career in the corporate finance department of Mediobanca in 1986. From 1990 through 1994, he worked for the chemical corporation Enimont. In 1994, he was appointed Chief Financial Officer of Olivetti Telemidia. From 1996 through 1999 he was the head of Carrera Optyl in Linz, Austria, a sub-division of the Italian eyeglass producer Safilo. In 1999 he became the Chief Financial Officer of the Marcolin eyeglass company, and coordinated Marcolin's initial public offering. In April 2000 Stefano Colombo was appointed Vice Chairman of the Management Board and Chief Financial Officer of Telekom Austria AG.

Rudolf Fischer - Chief Operating Officer (COO) Wireline

Rudolf Fischer was born in 1953. After finishing his studies at the Vienna University of Economics and Business Administration, Mr. Fischer began his career at Alcatel Austria. In 1983 he became head of accounting and taxes at Alcatel Austria, and in 1988 he also took over responsibility for controlling. From 1989 to 1993 Mr. Fischer was the head of AOSA, a joint venture between Siemens AG and Alcatel Austria. In 1994 he was appointed Chairman of the Board of United Telecom Investment B.V. in the Netherlands. Between 1996 and 1998 he was President of LTOA, an association of local telecommunications operators in Hungary. In November 1998 Rudolf Fischer became member of the Management Board of Telekom Austria AG and was responsible for technology and network operations. In November 2001 he was appointed Chief Operating Officer of the wireline segment.

Boris Nemsic - Chief Operating Officer (COO) Wireless

Boris Nemsic, born in 1957, earned his diploma as an electrical engineer at Sarajevo Technical University in 1980. In 1990 he was awarded a doctorate at the Vienna Technical University, where he was also employed from 1988 to 1990 as a scientific assistant at the Institute for Communications and Radio Frequency Engineering. From 1990 until his employment with mobilkom austria he headed the departments for mobile communications development at Ascom and Bosch Telecom in Vienna, Solothurn (Switzerland) and Berlin. In 1997 Boris Nemsic was hired by mobilkom austria as division manager for network planning. From November 1988 he managed mobilkom austria's Croatian subsidiary VIPnet d.o.o. In May 2000 Boris Nemsic became CEO of mobilkom austria. As of July 2002 Boris Nemsic was also appointed to the Management Board of the Telekom Austria Group, where he is responsible for the wireless segment.

Report by the Supervisory Board of Telekom Austria AG to the General Meeting

Supervisory Board of Telekom Austria AG

Peter Michaelis (Chairman)

Spokesman of the Management Board of
Österreichische Industrieholding AG (ÖIAG)
Member of the Supervisory Board
since June 28, 2001

Edith Hlawati (Vice Chairwoman)

Partner in the law offices of Cerha,
Hempel & Spiegelfeld
Member of the Supervisory Board
since June 28, 2001

Rainer Wieltsch

Member of the Management Board of
Österreichische Industrieholding AG (ÖIAG)
Member of the Supervisory Board
since June 12, 2002

Stephan Koren

CEO of Österreichische Postsparkasse AG
Member of the Supervisory Board
since September 17, 1999

Gerhard Zeiler

CEO of RTL Group
Member of the Supervisory Board
since July 23, 1998

Otto G. Zich

CEO of Sony Europe
Member of the Supervisory Board
since September 17, 1999

Personnel Representatives:

Erich Huhndorf

Member of the Supervisory Board
since June 7, 2001

Wilhelm Eidenberger

Member of the Supervisory Board
since April 30, 2001

Michael Kolek

Member of the Supervisory Board
since March 20, 2002

Karl-Heinz Muik

Member of the Supervisory Board
since July 23, 1998

In 2002 the Management Board provided the Supervisory Board with verbal and written reports on the economic and financial position of the company, business policies, the investment program, and the development of business.

Risk management, the strategic development of the company, and other topics were discussed at eleven meetings of the Supervisory Board, two meetings of the finance committee, and a strategy workshop that was conducted together with the Management Board. An important step was taken to restructure the group and thereby safeguard its competitive ability with the reintegration of the wireline subsidiaries in Telekom Austria AG, which was authorized by the Supervisory Board.

Measures were also taken in response to the withdrawal of Telecom Italia as a strategic partner of Telekom Austria. The repurchase of mobilkom austria shares from Telecom Italia Mobile was approved, and the Management Board of Telekom Austria was expanded through the appointment of Boris Nemsic as Chief Operating Officer Wireless. In order to reflect these changes the guidelines for the Management Board of Telekom Austria were amended.

Telecom Italia International reduced its stake to 14.8% through the sale of 75 million shares in Telekom Austria in November 2002, which increased Telekom Austria free float to 38%. The two representatives of Telecom Italia subsequently resigned from the Supervisory Board, and their seats will be filled at the next annual general meeting.

The finance committee, which will devote greater attention to accounting issues and the audit of the company and the group in the future, was reconstituted in November.

In addition to the Chairman, Rainer Wieltsch, Stephan Koren and Michael Kolek are now members of this committee.

The Management Board presented the annual financial statements and management report of Telekom Austria AG as well as the consolidated financial statements, the group management report and reconciliation report in accordance with § 245 a of the Austrian Commercial Code as of December 31, 2002 to the Supervisory Board. The annual financial statements of Telekom Austria AG and the consolidated financial statements were audited by KPMG Alpen-Treuhand GmbH Wirtschaftsprüfungs- und Steuerberatungsgesellschaft and awarded an unqualified opinion. The management report of Telekom Austria AG and the group management report are consistent with the annual financial statements and the consolidated financial statements.

The Supervisory Board hereby approves the annual financial statements for 2002 in accordance with § 125 para. 2 of the Austrian Stock Corporation Act. Furthermore, the Supervisory Board hereby approves the consolidated financial statements, which were prepared in accordance with U.S. GAAP pursuant to § 245 a of the Austrian Commercial Code.

Based on retained earnings as shown in the annual financial statements prepared in accordance with the Austrian Commercial Code, no proposal for the appropriation of earnings was made.



Peter Michaelis, Chairman of the Supervisory Board of Telekom Austria AG

Vienna, March 26, 2003

Introduction by the Supervisory Board

Dear Shareholders,

Telekom Austria can be satisfied with its achievements in 2002. In the fixed line segment, a customer-oriented marketing offensive and further restructuring led to the stabilization of results during the course of the year. In the mobile communications segment, the company was able to leverage existing growth opportunities and generate positive EBITDA in all regions. In spite of an extremely weak economic environment, Telekom Austria succeeded in strengthening its market position in all segments during the reporting year. The first positive net result since 1999 underscores this successful turnaround.

The withdrawal of the strategic partner Telecom Italia, which was announced in 2001, was used to consolidate the group structure, expand the shareholder base, and introduce new procedures in corporate governance.

With the repurchase of the Telecom Italia Mobile minority share in mobilkom austria, Telekom Austria regained full control over the mobile communications segment. This development was also reflected in the appointment of Boris Nemsic as the fourth member of the Management Board.

In November 2002 Telecom Italia took another step towards its withdrawal with the placement of 75 million Telekom Austria shares. Strong interest on the part of investors led to the completion of this sale within a few hours. Shareholders who acquired stock through this placement have realized a gain of nearly 20% to date. This transaction and the granting of bonus shares promised at the IPO raised Telekom Austria free float to 38%. Following this placement the two Supervisory Board members nominated by Telecom Italia resigned as agreed in November

2002, and the syndicate agreement between the two main shareholders, ÖIAG and Telecom Italia, was terminated.

In the past year we laid important foundations to realize our goal of further improving results in 2003. Only intensive and constructive cooperation between the Management Board and Supervisory Board made the highly successful completion of the above transactions and parallel restructuring of the group possible. At all times, however, the primary focus remained on business operations.

I would like to thank the members of the Management Board and all employees for their commitment in making this turnaround possible.



Peter Michaelis, Chairman of the Supervisory Board of Telekom Austria AG

Vienna, March 2003

A person wearing a white long-sleeved shirt is seen from the side, looking out from a balcony or window at a city at night. The background is filled with out-of-focus city lights, creating a bokeh effect with various colors like yellow, orange, and white. The scene is dark, emphasizing the bright lights of the city.

It's nice to share success.

The hard work paid off. Contrary to the trend Telekom Austria stock was not only able to maintain a solid performance during the difficult year 2002 - it even managed to record a slight plus. While the branch average lost nearly 39%, the Telekom Austria share rose 3.7% in a year-to-year comparison. This proves our efforts are also rewarded on the stock exchange.



Strategy and Success Factors

Telekom Austria was able to successfully meet the challenges created by the changing market environment in recent years. Massive efforts to restructure business operations enabled the transformation from a traditional telephone company to a leading full-service provider of multimedia solutions.

Market share in Austria

Data communications

60%



Fixed line

55.3%



Mobile communications

44.4%



Internet

38%



The reorganization of the Telekom Austria Group into the wireline and wireless business segments, which was completed in 2002, was based on a more customer-oriented market approach throughout the entire group.

The resulting synergies, combined with strict cost and capital expenditure control, will support the strategic goals to maximize cash flow and consolidate market positions.

Market leader in all segments

Telekom Austria is the leading provider in all areas of telecommunications in Austria. In 2002 the group was able to successfully defend and expand its excellent market position.

The international activities of the Telekom Austria Group comprise mobile communications and Internet services in Croatia, Slovenia, Liechtenstein and the Czech Republic. The group has been able to meet profitability benchmarks with careful expansion and cost control, and thereby allow for a long-term and sustainable increase in value.

Wireline

Reorganization of the wireline segment

At the end of 2002 we merged the previous fixed line, data communications, and Internet segments into the newly defined wireline organization. In implementing this comprehensive reorganization, Telekom Austria pursued a clear wholesale / retail strategy in order to best meet the different demands of the wholesale market (resellers such as alternative telecom operators and Internet service providers) and the retail market (private and business customers).

This new retail strategy will be implemented in the sales units private & professional customers and business solutions. Key success factors in the retail area include the continuous improvement of customer relationships, fast introduction of attractive products and services, and development of tailor-made global solutions. The business solutions unit offers corporate customers comprehensive multimedia solutions from a single source. The private & professional customers unit is responsible for residential customers and small companies. The internet & media unit markets multimedia portals and e-commerce solutions.

Strategic goals: Wireline

Telekom Austria sees the positive development in recent years as confirmation of the company's strategic orientation. In order to continue this successful course, clear goals were defined for the wireline segment:

- Customer orientation and service leadership will form the focal point of group strategy and business activities.
- The growth potential of new technologies and applications will be developed.
- Operating performance will be maximized to make the company one of the most cost-efficient providers in Europe.
- The leading market position in the wireline segment will be expanded through the marketing of tailor-made voice and Internet packages.
- Broadband activities will be further developed to meet growing customer demands.
- The market position in the media sector will be strengthened through the expansion of Internet portal services into a leading platform for broadband content, applications and communication services.

The wholesale unit is responsible for business operations with alternative telecommunications providers. Key success factors in this area include basic services with a maximum degree of efficiency, continuous optimization of infrastructure deployment, blanket coverage, and optimal use of economies of scale.

As the leading infrastructure provider, Telekom Austria is able to meet the increasing demands for broadband, data and IP services by marketing its multi-service network.

The bundling of product and technology management optimizes the use of resources and accelerates product development. By concentrating all network functions under a single network unit, we have created a solid basis for the optimized management of all wireline infrastructure networks.

Customer service is responsible for the ongoing improvement of customer support and expansion of Telekom Austria's service leadership.

Customer focus

The transformation of the company structure to reflect the needs of our core markets represents the basis for an extensive campaign to stabilize market shares. Key drivers for increasing

profitability are innovation, responsibility, and commitment. Our most important goal is to develop and maintain a long-term partnership with our customers.

Telekom Austria's wireline tariff policy clearly reflects the different needs and product requirements of private and business customers. Transparency in services and costs as well as individual, attractive packages for private customers are equally decisive factors. As part of its "one-stop shopping" principle, Telekom Austria offers business customers comprehensive, tailor-made solutions for all areas of information technology and telecommunications. Clear technology leadership will also guarantee market-oriented development of product innovations to meet customer demands in the future.

Wireless

"Think Global – Act Local"

Strong position on all markets

The wireless segment of Telekom Austria comprises the mobile communications activities of the mobilkom austria group. In addition to the Austrian home market, the mobilkom austria group has also grown successfully in Croatia, Slovenia and Liechtenstein. In Austria the company was able to further expand its leading market position in 2002. All activities are directed to maximizing profitability: all mobile communications activities in the mobilkom austria group reported positive EBITDA for 2002.

The high saturation level on the home market has led the mobilkom austria group to concentrate on safeguarding sustainable revenue development through the improvement of long-term customer loyalty and focus on high-value customers. In addition, efforts will be devoted to developing growth potential in Croatia and Slovenia and to continuing selected profit-oriented expansion in southeast Europe. Attractive conditions for market entry as well as sustainable growth and value-enhancing potential are the basic requirements for future expansion of our international market position.

"The Best of Both Worlds" – The partnership with Vodafone, the world's largest mobile communications company, represents a major factor in securing future earnings through extensive cooperation in roaming, product development, global account management, technology, procurement, best practice and know-how transfer, as well as marketing.

Customer-oriented product innovation based on leading edge technology

Innovation leadership and outstanding service quality are the success factors for the wireless segment. The mobilkom austria group plays a leading role as innovation motor in the international arena. Guiding principles in the development of new services are the creation of added value for our customers, the

expansion of existing applications, and maximization of user friendliness.

The leading position of mobilkom austria in GPRS applications such as MMS, remote LAN access or GPRS roaming forms an outstanding basis for the forthcoming commercial start of third generation mobile communications. Through targeted marketing activities mobilkom austria will ensure the rapid increase in UMTS penetration in Austria. Capacity expansion will be concentrated mainly in the UMTS network, whereby infrastructure expansion in densely populated areas will be driven by demand and focused on the synchronization of investment and revenue generation to the greatest extent possible. In Slovenia and Croatia the company also plans to construct mobile 3G networks if economic conditions are supportive.

Strategic goals: Wireless

We view our positioning as the market and innovation leader as a mission to meet future customer needs in the mobile communications segment. The strategic goals of this segment center on:

- The safeguarding of profitability through a focus on customer value, which means focusing on long-term customer retention and high-value customer segments (young people and business customers), as well as on the share of contract customers and average usage.
- The development of resources to generate future revenues, and the optimization of cost and investment structures.
- Focus on mobile data communications services: increase in mobile data revenues through the development of user-friendly and market-oriented applications.
- Ongoing adjustment of processes within the group to meet new challenges, streamlining of the organization and focus on international cooperation to maximize synergy potential.
- Selected value-enhancing expansion in southeast Europe, with a view to growth-oriented strengthening of our market position.

The Telekom Austria Share

Growth in share price reflects successful restructuring

Fast Facts

- Free float rises to 38%
- Higher weighting in major stock indexes
- Telekom Austria share clearly outperforms the branch average

General stock market developments

The global economic downturn continued to exert a negative influence on stock exchanges in 2002, triggering heavy losses on nearly all major international capital markets. This downward trend, which started in spring 2000, was intensified by numerous profit warnings and accounting scandals in a number of large corporations. Central bank efforts to improve the mood on capital markets through interest rate reductions – the US Federal Reserve lowered rates from 1.75 to 1.25% and the ECB from 3.25 to 2.75% – had only a minor effect.

All key indexes showed declines in year-to-year comparison: the Dow Jones fell by more than 17%, the DAX by an even more significant 43%. In total the European market – as measured by the FTSE 300 Eurotop Index – reported a minus of roughly 35%. The development of stocks in the telecommunications, media, and technology branch was particularly unsatisfactory. The Dow Jones Stoxx Telecom Index, which contains 25 European telecommunications companies including Telekom Austria, dropped by nearly 39% during the year.

Vienna was able to evade this negative climate, and became the only European stock exchange to close 2002 with an overall increase. The leading ATX Index rose by 0.85% for the year.

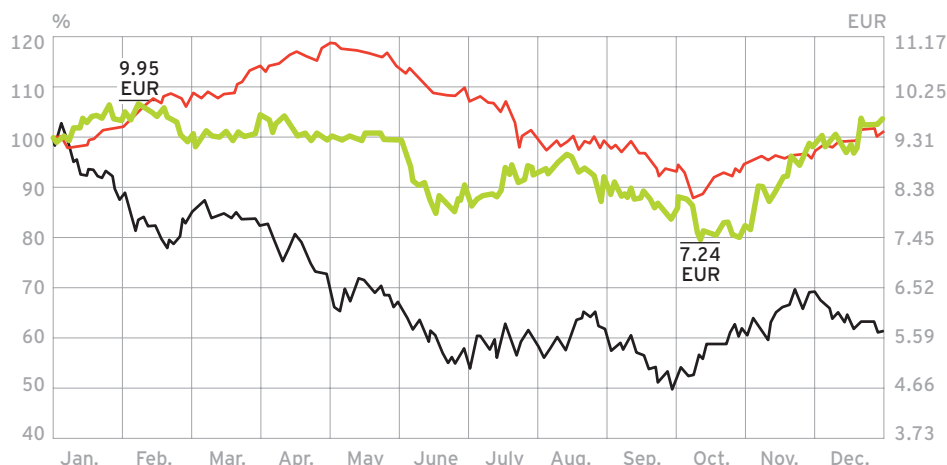
Development of the Telekom Austria Share

The Telekom Austria share provided important support for growth in the ATX, registering an increase of 3.7% to EUR 9.65 at year-end 2002. With trading volume of more than 188 million and stock exchange turnover of EUR 1.7 billion, the Telekom Austria share was one of the two most heavily traded issues on the Vienna Exchange. Parallel to the increase in share price, market capitalization also rose slightly from EUR 4.7 to 4.8 billion. With a weighting of roughly 21% in the A-Segment of the Vienna Stock Exchange at year-end 2002, the Telekom Austria share is a true index heavyweight. The share is also included in the international DJ Stoxx Telecom, MSCI-World, MSCI-Europe, and FTSE 300 Eurotop indexes.

Positive market response to financial results led to stable development in the price of the Telekom Austria share during the first half of the reporting year. Brief weakness arising at the end of June mainly due to the announced gradual withdrawal of Telecom Italia and the related planned stock placement led to a decline in the stock price, which reached lows of slightly more than EUR 7.

In November 2002 Telecom Italia sold 75 million Telekom Austria shares to institutional investors in a global private placement. The stock price was set at EUR 7.45 after the conclusion of a book-building procedure. The transaction was arranged by JP Morgan Securities Ltd. and Merrill Lynch International (joint

Development of Telekom Austria Share Price indexed as of 1.1.2002



Source: Datastream

■ Telekom Austria Share ■ Austrian Traded Index (ATX) ■ DJ Stoxx Telecom Index

bookrunners and joint lead managers) together with Lehman Brothers (joint global coordinators) and other financial institutions such as Bank Austria-Creditanstalt (co-lead). It was characterized by extremely high demand, which allowed the transaction to be completed within a few hours. By year-end, the investors who purchased Telekom Austria shares as part of this offering were able to record a profit of 29.5 %.

Wide range of information

On November 22, 2002 the Management Board and managers of the core business functions held a Capital Markets Day in Vienna to provide representatives of the financial community with detailed information on the operating activities and strategic goals of Telekom Austria. Nearly 60 guests - investment bank analysts and institutional investors - attended this event, which was also live-streamed via the Internet. In addition to numerous investor events and road shows in Europe and the USA, Telekom Austria also held regular one-on-one meetings with investors and analysts in order to guarantee a steady flow of information. Communications also placed special focus on the large number of private shareholders, who receive reliable and detailed answers to their questions not only at investor fairs but also over the company's toll-free national hotline 0800 100 111 or via e-mail.

The success of this active communications policy is also reflected in the increasing number of investment bank analysts who monitor Telekom Austria stock. In 2002 the following institutions published valuations on Telekom Austria: Bank Austria Creditanstalt, Erste Bank, Société Générale, HSBC Investmentbank, Merrill Lynch, Raiffeisen Centrobank, Schroder Salomon Smith Barney, UBS Warburg, Deutsche Bank, ABN AMRO, Cathay Financial, JP Morgan, Lehman Brothers, West LB Panmure, BNP Paribas, Volksbank IB and Credit Suisse First Boston.

Stock exchange data

Stock number (Austria) _____ 72000
 SYMBOL _____ TKA
 ISIN _____ AT0000720008
 REUTERS _____ TELA.VIE
 BLOOMBERG _____ TKA AV
 Traded on _____ Vienna Stock Exchange
 _____ New York Stock Exchange (NYSE)
 American Depositary Receipt (ADR)* _____ 1 ADR = 2 shares of common stock
 Number of shares (issued and outstanding) _____ 500,000,000 shares
 Common stock _____ EUR 1,090,500,000
 Stock price as of Dec. 31, 2002 _____ EUR 9.65
 Stock price - low (Oct. 11, 2002) _____ EUR 7.24
 Stock price - high (Feb. 8, 2002) _____ EUR 9.95
 Market capitalization as of Dec. 31, 2002 _____ EUR 4,825,000,000

* Contact for ADR owners: Bank of New York, Jim Kelly,
 Tel.: 001 646 885 3285,
 e-Mail: jkelly@bankofny.com

Financial calendar:	
March 27, 2003	Full year results 2002
May 27, 2003	First quarter results 2003
June 4, 2003	Annual General Meeting
August 26, 2003	First half results 2003
November 19, 2003	First nine months results 2003

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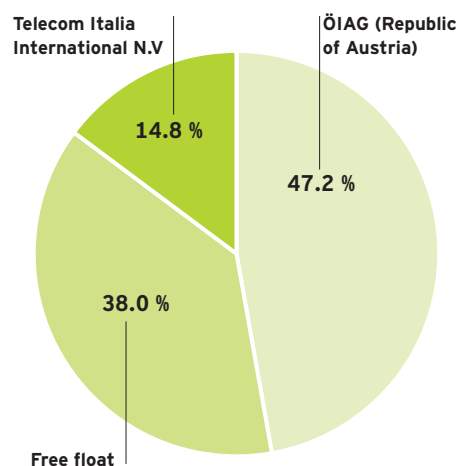
Gerald Wechselauer

gerald.wechselauer@telekom.at

The Annual General Meeting was held on June 12, 2002, and was also live-streamed via the Internet. A major resolution involved the transformation of existing registered shares to bearer shares to enable further placement of stock.

In 2002 ÖIAG (Austrian Industrial Holding Company, wholly owned by the Republic of Austria) transferred a total of 3.2 million shares of bonus stock to private investors as part of the IPO offering. These bonus shares were transferred to the authorized depots after the annual general meeting in June 2002, and increased Telekom Austria free float by 0.6 percentage points. Following the sale by Telecom Italia, free float rose to 38.0% or 190 million shares. As Telekom Austria stock is comprised of bearer shares the routine and complete identification of free float owners is not possible. Surveys and internal estimates indicate that roughly 19% of shares are owned by private investors in Austria. 12,000 employees of Telekom Austria own 1.2% of these shares. The largest component

Shareholder Structure



of free float, or roughly 30%, appears to be owned by institutional investors in the USA. Capital Research & Management Company (USA), one of the largest fund corporations in the world, held 5.7% of Telekom Austria total shares as of December 31, 2002 according to information provided by this company.

Success story: VIP.parking

Project leader: Alen Ranilovic. Contact: a.ranilovic@vipnet.hr

Alen Ranilovic: "With VIPnet we became the first company in Europe to offer a mobile parking ticket based on SMS technology, and today we cover at least two-thirds of all public parking lots in Croatia. In 2002 more than 1 million SMS were sent over the VIPnet network to pay parking fees. Now we are using this experience to develop a similar solution for Vienna to allow for a profitable transfer of know-how."

30%

of all parking fees in Croatia are paid via SMS

The project "VIP.parking" is one of many success stories in the Telekom Austria Group and provides a good basis to increase profitability through the introduction of new services in 2003.



Under
<http://ar2002.telekom.at>
our current interim report is
linked to the annual report.



Corporate Governance

Sarbanes-Oxely Act strengthens corporate governance

Fast Facts

- US Sarbanes-Oxley Act also valid for Telekom Austria
- Telekom Austria's own corporate governance code in preparation
- Telecom Italia's exit used to strengthen corporate governance

Telekom Austria is traded on both the New York and Vienna stock exchanges, and is therefore subject to both US and Austrian stock exchange laws and regulations. Accounting irregularities at a number of major corporations led to increased demands in the USA for a comprehensive revision and strengthening of the corporate governance rules for publicly traded companies. The Sarbanes-Oxely Act was passed in summer 2002 as a reaction to these demands, and also applies to Telekom Austria. The implementation of this comprehensive system of rules by the US Securities and Exchange Commission and the New York Stock Exchange Authority is not yet completed, but will take place in a series of steps.

The regulations of the Sarbanes-Oxley Act call for detailed and very strict rules in the field of corporate governance, reporting, and internal control systems. Among other requirements, chief executive officers and chief financial officers must expressly confirm the correctness of the annual financial statements and compliance with accounting regulations. Violation of these rules can involve serious consequences, which may range from delisting of the company to lengthy prison sentences for management.

In 2002 an Austrian working committee on corporate governance completed a corporate governance code, which calls for voluntary compliance with regulations. Telekom Austria has extensively evaluated acceptance of this Austrian code within the framework of the provisions of the Sarbanes-Oxley Act, which have not been completely defined to date. The German corporate governance code was also analyzed in this context, since German companies that also trade on the New

York Stock Exchange have already issued declarations of compliance. However, this code is substantially different from the Austrian system of rules.

Telekom Austria has therefore decided to develop its own code after implementation of the Sarbanes-Oxley Act. The Telekom Austria code will reflect the Austrian code to the greatest extent possible, and also satisfy US regulations. Extensive information will be provided on this topic, at the latest in the next annual report.

Exit of Telecom Italia allows changes

Even before the conclusion of discussions on this subject, Telekom Austria declared its full commitment to a transparent corporate governance policy. Therefore, the gradual withdrawal of Telecom Italia in 2002 was used to introduce a variety of changes.

After repurchasing the minority stake in mobilkom austria in June 2002, Telekom Austria regained 100% control over its mobile subsidiary and thereby improved future strategic flexibility. As a consequence of this transaction Boris Nemsic, CEO of mobilkom austria, joined the Management Board of Telekom Austria as COO Wireless. The guidelines for the Management Board were then amended to reflect this move and subsequent work with the Supervisory Board.

The second important event in this connection was the secondary offering in November 2002. In line with previous agreements, the 50% reduction in the stake held by Telecom Italia to 14.8% led to termination of the syndicate agreement

between Telecom Italia and ÖIAG. This syndicate agreement gave the two main shareholders the right to extensive information, reports and controls, as well as access to the accounting records of Telekom Austria, the right to conduct special audits, and block voting at the annual general meeting and meetings of the Supervisory Board. The termination of the syndicate agreement eliminated these provisions without replacement. In order to reflect the new shareholder structure, the representatives of Telecom Italia resigned from the Supervisory Board of Telekom Austria. Their seats will be filled at the next annual general meeting.

Information on the close cooperation between the Management Board and Supervisory Board is presented in the report by the Supervisory Board to the general meeting (p. 6). In addition to the current development of business, activities in 2002 focused on the strategic orientation and risk management of the company. In addition to regular meetings,

the Management Board and Supervisory Board also conducted a joint strategy workshop during the past year.

Changes expected from the Sarbanes-Oxley Act

In accordance with the provisions of the Sarbanes-Oxley Act, the Supervisory Board approved the scope of services provided by the auditors in 2002. The chief executive officer and chief financial officer of the Telekom Austria Group will also explicitly confirm compliance with the relevant accounting, stock exchange, and capital market requirements of this act. Moreover, SEC regulations require us to present detailed information on data that is not based on U.S. GAAP rules, and to explain the composition of such data. The Supervisory Board of Telekom Austria will constitute a so-called audit committee this year, whose principle duty will be to supervise the work of the auditors.

Further measures required under this law, which must be implemented in 2003, and actions that will be included in the Telekom Austria corporate governance code include:

- development of a "code of ethics" in particular for the finance department
- reporting on internal controls in annual financial statements
- restrictions on the activities of auditors beyond the scope of audit work
- rules governing the rotation of staff by the auditors
- reporting on transactions not reflected on the balance sheet.

Success story: Higher public awareness of Telekom Austria brand

Project leader: Tanja Sourek. Contact: tanja.sourek@telekom.at

Tanja Sourek: "Telekom Austria is associated with values such as stability, trust and progress. These strengths are reflected in our new brand design. After development time of only three months, we presented our new corporate image on June 12, 2002. Reaction? There has seldom been so much discussion over a corporate logo and we are very happy that public brand awareness and acceptance reached a record level so soon after the launch!"

74%

spontaneous brand awareness after 6 months

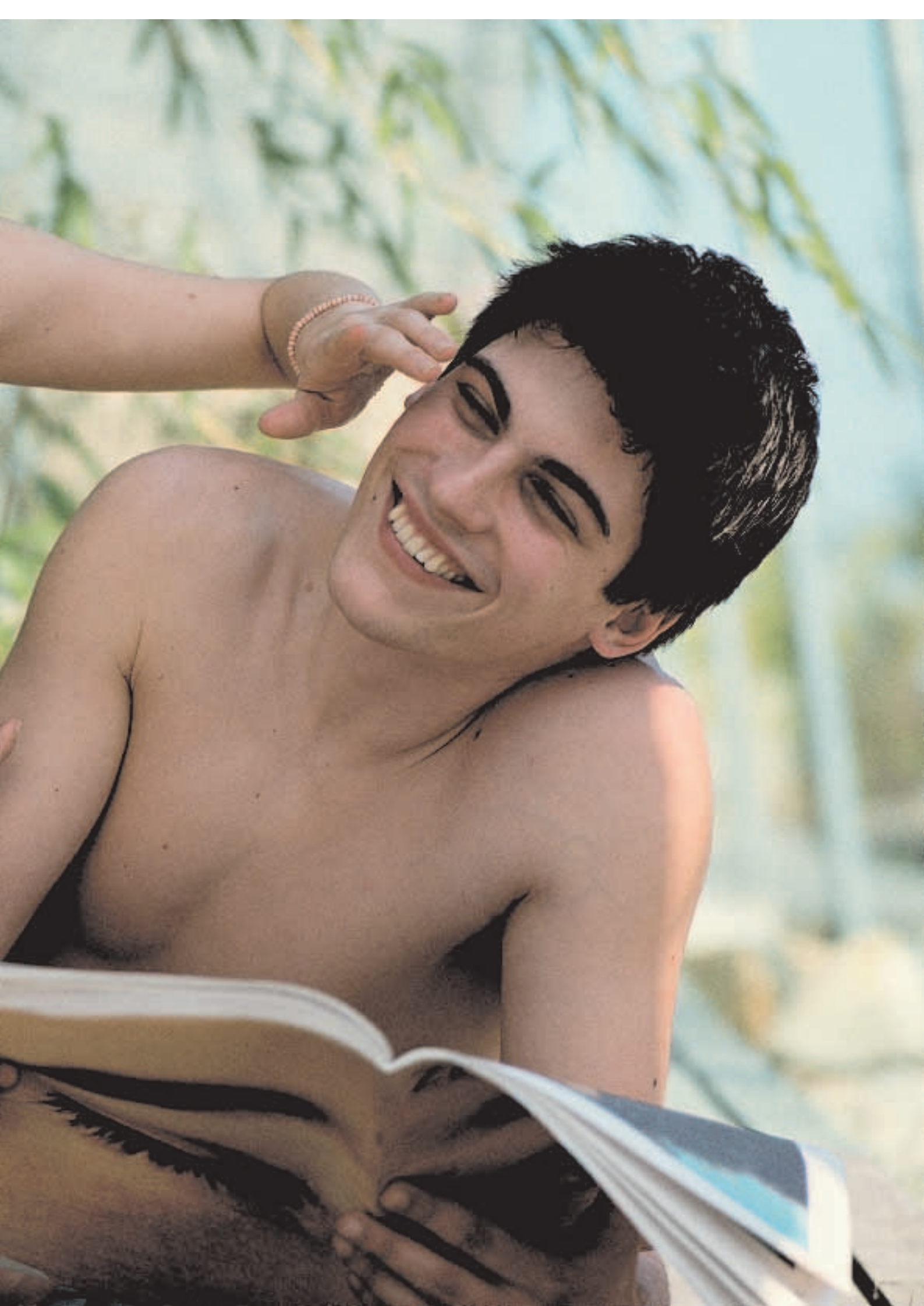
The project "Telekom Austria Branding" is one of many success stories in the Telekom Austria Group and provides a good basis to improve our market presence in 2003.



A woman with dark hair tied back, wearing a white tank top and a light blue denim skirt, is sitting outdoors. She is smiling and looking down at a small black packet of Piz Buin sunscreen she is holding in her right hand. The background is a soft-focus green, suggesting foliage. The text "The ability to solve problems before they arise is a mental attitude." is overlaid in the top left corner.

The ability to solve problems
before they arise is a mental attitude.

As the saying goes, if you help quickly, you help twice over. But it is even better if you can prevent a problem from arising. In addition to vision, this requires commitment. At Telekom Austria this attitude has led to a fundamental transformation in our corporate philosophy. The interests and needs of our customers now form the focal point of our activities. This new course made 2002 the most successful year for the company since liberalization of the market in Austria.



Corporate Social Responsibility

Telekom Austria is well aware of its corporate social responsibility and supports the underlying principles by making social, ecological, and ethical values a part of business decisions.

Sponsoring and social commitment

Participation in social projects is an integral part of our commitment, just as targeted sponsoring for sports and the arts. Telekom Austria sets up and operates the country's largest mobile call center for "Light into Darkness", the major charity campaign in Austria, and also provided immediate technical assistance together with ORF, the Austrian broadcasting corporation, during the flood disasters of August 2002. mobilkom austria supports "Doctors without Borders", the global relief organization, with technical expertise as part of a long-standing partnership.

In the area of art and cultural sponsoring Telekom Austria focuses on contemporary art, and supports the Ludwig Collection at Vienna's Museum of Modern Art (MUMOK) as well as the "Klangwolke" music and light event in Linz. mobilkom austria is the main sponsor of Vienna's "Festwochen" festival, and offered mobile telephone customers practical assistance in choosing cultural programs during 2002. The development of creativity and communication skills in children is the main goal of the ZOOMlab project between mobilkom austria and the ZOOM multimedia lab, and one of the most popular attractions in the ZOOM children's museum.

Cornerstones of our business philosophy

Corporate social responsibility is the guiding principle used by Telekom Austria to

integrate social and environmental values into its business activities. This includes respect for individual rights as well as ethical principles, programs for work and health safety, equal opportunity, protection against discrimination, as well as procedures to prevent mobbing and a great deal more.

Telekom Austria also acknowledges its responsibility for the environment. In accordance with the group's environmental policy, Telekom Austria works to reduce the impact on the environment both internally and in dealing with suppliers and customers. A further goal is the development of environmental protection standards that exceed the legal minimum regulations.

Telekom Austria: long-term investment product

External evaluations of Telekom Austria's performance in terms of sustainability have already confirmed our efforts to safeguard lasting development. Telekom Austria has been included in the "FTSE4Good" Index, which was first issued in June 2001, from the very beginning.

In 2002 Telekom Austria was evaluated by the Munich rating agency "oekom research AG" within the framework of a corporate responsibility survey, and ranked ninth among 38 companies on their recommendation list for sustainable investments. Positive appraisal of the subject area "relationship to employees" confirms the social focus of personnel restructuring in the fixed line segment. The high quality of relationships with external stakeholders, corporate governance, and sponsoring was also confirmed. The company's environmental management system, which is under development and will also include suppliers, has also been well received.

Fast Facts

- Immediate non-bureaucratic help for the victims of flood disasters
- Targeted sponsoring of the arts and sports
- Telekom Austria recommended as a long-term investment product

Human Resources

Highly qualified and motivated employees are the foundation of our success. We strive to be a fair and attractive employer now and in the future.

Fast Facts

- Personnel restructuring more successful than expected
- Telekom Austria Group headcount totals 14,951, or 1,635 less than prior year
- Career opportunities and succession planning through internal personnel development and recruitment

Efficient deployment of personnel

Based on efficiency improvement programs the number of employees in the wireline segments fixed line, data communications, and Internet was reduced by 1,789 to 11,359 in 2002. In the mobile communications segment, the number of employees rose by a moderate 154 to 3,952 as the result of growth in foreign markets. The increase of 1.3% in revenues and parallel headcount reduction of 9.9% underscore the significant improvement of efficiency in the Telekom Austria Group.

Successful reintegration

The integration of the fixed line, data communications, and Internet segments into the new wireline organization led to massive restructuring in 2002. Employees affected by these measures were actively involved in all processes and received support at various information events. A well-balanced social plan was able to prevent any negative impact on employees.

Alternative pension plans

Participation in "APK Pensionskasse AG", an industry pension fund, as of December 2001 allowed the company to offer new employees in Austria an added incentive in the form of a retirement program. The contribution provided by Telekom Austria equals 5% of the individual employee's monthly salary. The start of contributions was made retroactive as of January 1, 2001, depending on the length of service. In addition, employees in the wireline segments were also given the option of selecting a base pension in exchange for previously granted meal vouchers. This program involves an annual contribution of EUR 300 by Telekom Austria to a group life insurance policy, whereby proceeds are payable on retirement, the end of employment, or death.

Continuing education and professional training

In order to safeguard the high skill level of employees in the future, the Telekom Austria Group made massive investments in professional training and continuing education programs for its workforce. Courses offered by the Telekom Austria Academy for the wireline segments centered on special courses in the technology and telecommunications areas, foreign languages, computing, and management and social skills. The mobile communications segment also focused on individually designed technical training. In addition to attendance seminars, Telekom Austria also offered a wide range of e-learning

Personnel development by segments	Full-time employees at year-end			Full-time employees average for the year		
	2002	2001	2000	2002	2001	2000
Wireline segments						
Fixed line*	10,213	11,903	14,375	10,973	13,088	14,939
Data communications	779	877	963	841	908	956
Internet	367	368	195	370	302	145
Wireless - Mobile communications	3,592	3,438	2,768	3,530	3,251	2,520
Telekom Austria Group	14,951	16,586	18,301	15,714	17,549	18,560
*Thereof idle workforce	262	332	-	592	565	-

programs via the Intranet. In total we invested over EUR 14 million in the training of our employees in Austria during the reporting year.

Identifying high potentials

In order to meet the demand for qualified managers in the future, Telekom Austria has developed a "High Potential Program". After personal discussions and assessment centers, employees with above-average talent and motivation are given the opportunity to participate in a comprehensive one-year training program.

In order to provide employees with access to the wide range of development possibilities in the Telekom Austria Group, personnel management worked to improve the service offering on the internal job market in 2002. In the wireline segments all vacancies were announced over a special job platform, and 50% of open positions were subsequently filled internally. External searches were only started if suitable candidates could not be found

within the company. In the mobile communications segment, mobilkom austria began the development of an internal job platform in 2002. The Telekom Austria Group hired a total of 553 new employees in Austria during the reporting year. Most of these new hires were related to the information technology, customer service, and sales areas.

Performance management

Management by objectives (MBO), which was introduced in 2000 for the top two management levels, was expanded into a company-wide performance management system in 2001. During the past year nearly 1,000 result-oriented target agreements were defined in so-called performance contracts for the first four management levels in the wireline segments and, for the most part, linked to performance-oriented components of remuneration. All other employees have the right to conclude a performance contract on a voluntary basis, and more than 500 employees took advantage of this offer during the reporting year. The mobile communications segment introduced a specially designed performance-oriented remuneration system for its sales force in 2002, which allows for a monthly review and payment of bonuses.

Employee appraisals

Telekom Austria considers appraisals to be an important instrument for the development of employees and a key support for the MBO process. Managers are obliged to conduct an appraisal with each employee on an annual basis, whereby this discussion should not focus solely on goals and results but also on new opportunities for personal development. Alone in the fixed line business segment, more than 7,500 appraisals were held during the past year.

Success story: UMTS launch

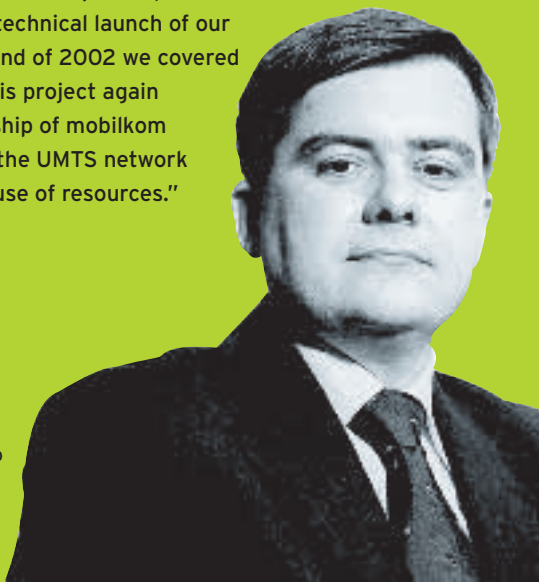
Project leader: Georg Donaubaue. Contact: g.donaubaue@mobilkom.at

Georg Donaubaue: "Everybody is talking about UMTS - but at mobilkom austria, this technology has long since become reality. In September 2002 we became the first provider in Europe through the technical launch of our national UMTS network, and by the end of 2002 we covered 40% of the population in Austria. This project again demonstrated the innovation leadership of mobilkom austria, and allowed us to construct the UMTS network in a short time while optimizing the use of resources."

First

in the introduction of UMTS

The project "UMTS Launch" is one of many success stories in the Telekom Austria Group and provides a good basis to increase our innovation leadership in 2003.



Research and Development

The successful reorganization of the Telekom Austria Group under the wireline and wireless segments also led to important synergies in the research and development area during the reporting year.

Fast Facts

- Coordinated R&D strategy
- Partnerships of excellence
- Focus on innovative and market-oriented product development

In 2002 R&D activities centered on "Partnerships of Excellence" with partners from industry, research institutions, and universities. The major focus was placed on product-oriented research with reduced innovation cycles and fast market entry, in particular the expansion of our technology competence and market leadership. The Telekom Austria Group invested roughly EUR 35.4 million on research and development in the past year.

Value added for multimedia

In the wireline fixed line, data communications and Internet segments research and development concentrated on multimedia value added services, media streaming, and the convergence of telephony and Internet. The primary goal of these activities was to increase the user-friendliness of new applications. In field studies, Telekom Austria examined the future development potential of multimedia applications and their socio-cultural impact on customer habits. As the first provider in Austria, Telekom Austria launched short message services (SMS) in the fixed line sector in August 2002.

Research and development strategy in the mobile communications segment was directed toward services for third generation multimedia mobile networks. The first national UMTS network, which started operations in September 2002, has shown enormous prospects for innovation. In cooperation with UMTS system suppliers

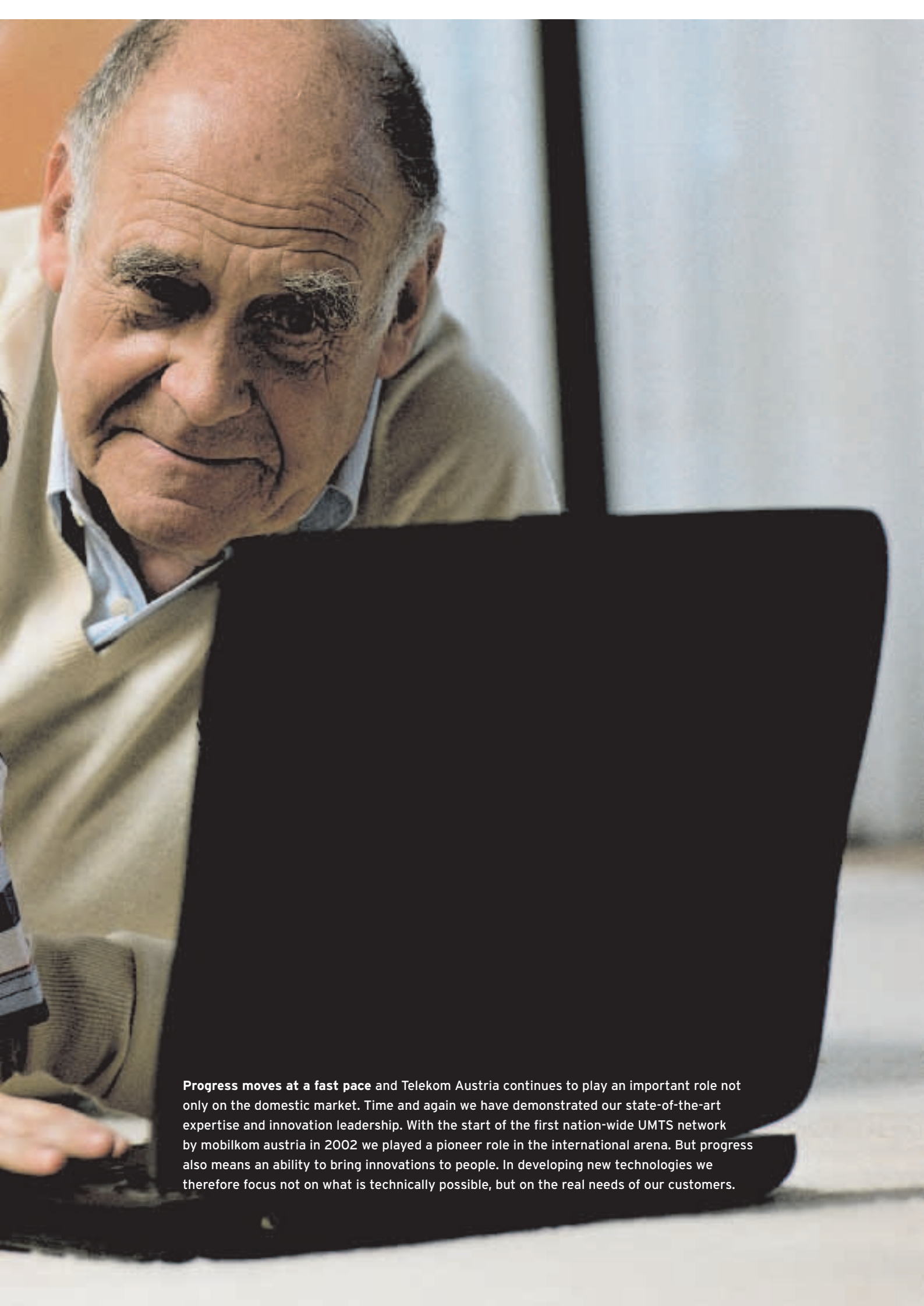
Ericsson and Nortel, a wide variety of multimedia applications were demonstrated. The exciting potential of UMTS and innovation strength of Telekom Austria in the mobile communications field are underscored by new services such as video telephony, video news, traffic reports via video streaming or "LOLA", an interactive tourist guide that was developed together with the Telecommunications Research Center in Vienna. Other activities centered on the potential for mobile LAN technologies, as well as voice-controlled and multimodal applications in the mobile environment.

National initiatives and European R&D projects

Telekom Austria demonstrates its technological expertise through participation in a wide variety of international research initiatives as part of the European Union's "IST" program (information technologies) and projects such as Aquila (quality of service in package networks), GCAP (next generation Internet) or FLOWS (convergence of multiple mobile transmission standards). On a national basis Telekom Austria works together with the Research Center for Telecommunications in Vienna as part of the federal government's K-plus program. A satellite-supported broadcasting system for media-on-demand solutions and interactive learning in schools was also realized together with the Federal Ministry for Education, Science and Culture.

We do not leave our customers alone
with new technologies.





Progress moves at a fast pace and Telekom Austria continues to play an important role not only on the domestic market. Time and again we have demonstrated our state-of-the-art expertise and innovation leadership. With the start of the first nation-wide UMTS network by mobilkom austria in 2002 we played a pioneer role in the international arena. But progress also means an ability to bring innovations to people. In developing new technologies we therefore focus not on what is technically possible, but on the real needs of our customers.

Group Management Report

Global economy continues to slow in 2002

The global economic downturn that began in early 2001 persisted throughout the reporting year, and also exerted a negative influence on Austria. Although signs of recovery were perceptible at year-end, no improvement is expected before the second half of 2003.

With a plus of 0.9% in real terms, economic growth in Austria slightly exceeded the prior year level of 0.7% and is in line with the EU average of 1%. This development was a consequence of sluggish domestic demand and near stagnation in exports. Private consumption increased by only a slight amount compared to the prior year, and corporate spending continued to decline. According to Eurostat unemployment rose from 3.6% in the prior year to 4.1% for 2002, but the weak economy led to a reduction in the inflation rate from 2.7% in 2001 to 1.8% for 2002.

The countries of Central and Eastern Europe recorded positive development. GDP growth rates of 3 to 4% in Croatia, Slovenia, and the Czech Republic confirm the Telekom Austria Group's strategic plans for expansion in this region.

Telecommunications in Europe and Austria

Against this backdrop, the paradigm shift in the European telecommunications sector also accelerated. Companies came under increasing pressure to reduce debt accumulated as a result of acquisitions and the purchase of UMTS licenses in recent years. This led to a reversal in strategic orientation and management changes at a number of major telecom companies. At the same time, increasing competition intensified consolidation tendencies within the branch.

Even though Telekom Austria has a relatively favorable capital structure compared to other telecom providers, the company was affected indirectly by these developments. In 2001 one of the two main shareholders, Telecom Italia, changed its foreign investment strategy in order to reduce debt and concentrate on the home market. This led Telecom Italia to sell part of its stake in Telekom Austria. The repurchase of the 25% minority share in mobilkom austria, which was owned by Telecom Italia Mobile up to June 2002, allowed Telekom Austria to simplify the group structure. In November Telecom Italia reduced its share in Telekom Austria AG by half to 14.8%, which increased the free float of Telekom Austria to 38%. This figure includes shares owned by the Capital Research & Management Company, Los Angeles, which held 5.7% of Telekom Austria's outstanding shares as of December 31, 2002.

In Austria a first wave of consolidations in 2002 led to the exit of several fixed line providers, but the overall number still remains high. The mobile communications sector has yet to show any signs of relief.

Financial highlights

(in EUR million)	2002	2001	Change in %
Total managed revenues*	3,908.2	3,859.3	1.3
Total managed EBITDA**	1,514.8	1,474.8	2.7
Total managed EBIT**	323.5	158.0	104.7
Net profit (loss) of Telekom Austria AG	12.8	-104.6	-
Earnings per share (in EUR)	0.03	-0.21	-
Total managed additions to property, plant and equipment	662.4	812.2	-18.4
Total managed net debt	3,204.2	3,282.1	-2.4

* For comparative purposes 2001 was adjusted to reflect the impact of changes in the billing of inter-connection charges between alternative telecommunications providers.

** Excluding idle workforce costs and net losses from retirement of long-lived assets.

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<http://ar2002.telekom.at/sitemap>



New regulatory decisions

Telekom Austria continues to maintain a dominant position in the fixed line, leased line, and interconnection markets based on directives issued by the Austrian regulatory authority. Most of the company's business segments are therefore subject to strict regulatory requirements. Recent important decisions were:

- a reduction of 4.8% in interconnection fees and the maintenance of fees for unbundling at the current level
- clarification that the company is not required to provide interconnection services to MVNO providers (Mobile Virtual Network Operator)
- the approval of new tariffs for directory services and the extension of the existing tariffs for public payphones, as well as the revision of the General Terms and Conditions of Business.

Changes in the Annual Financial Statements according to U.S. GAAP

In order to guarantee comparability of the group management report for 2002 with prior years, the U.S. GAAP annual financial statements were adjusted. This step was made necessary above all by two developments:

Consolidation of mobilkom austria

Prior to the repurchase of the minority stake by Telekom Austria on June 28, 2002 mobilkom austria was included in the annual financial statements of Telekom Austria under the equity method of accounting because of substantive participating rights held by the minority shareholder, a subsidiary of Telecom Italia

Mobile SpA (TIM). Therefore the consolidated statement of operations of Telekom Austria according to U.S. GAAP for 2002 reflects the results of operations of mobilkom austria through June 28, 2002 at equity in earnings, with full consolidation for the period from June 28, 2002 to December 31, 2002. This group management report bases its discussion of the business development on total managed data of Telekom Austria, which include the mobile communications segment at 100% for both 2001 and 2002.

Change in interconnection revenues and expenses

As of January 1, 2002 the regulatory authority approved an application by Telekom Austria AG for a change in the billing and collection of interconnection charges between Austrian alternative telecommunications providers. This led to a decrease in both fixed line revenues and operating expenses but had no impact on EBITDA. For comparative purposes the group management report provides adjusted figures where appropriate.

Development of results

At the end of the group management report is a table that reconciles total managed figures with the consolidated statement of operations according to U.S. GAAP.

Excluding the impact of the change in the billing of interconnection charges between alternative providers, Telekom Austria's total managed revenues increased by 1.3% to EUR 3,908.2 million in 2002 compared to revenues in 2001. Reflecting the trend noted in previous years, declining revenues in the fixed line segment

were offset by steady growth in mobile communications.

Revenues in the fixed line segment decreased by 6.5% to EUR 2,057.2 million, but the mobile communications segment recorded revenue growth of 11.5% to EUR 1,909.4 million. During the course of the year the downward trend in the fixed line sector was halted and revenues began to show a more positive development. Revenue growth in the mobile communications segment came both from Austria and, above all, foreign operations. The nearly unchanged level in data communications, which generated revenues of EUR 330.0 million in 2002, is mainly due to the weak economic environment. Rising demand in the Internet segment led to an increase of 20.2% in revenues to EUR 119.6 million.

Developments on the operating level were similar, with total managed EBITDA showing an increase of 2.7% to EUR 1,514.8 million (see table on p. 30). In the fixed line segment lower revenues led to a decline of 6.6% in EBITDA to EUR 813.2 million for 2002. The mobile communications segment showed higher profitability in all markets, with EBITDA rising by 15.7% to EUR 660.9 million. The results of the mobile communications segment include a provision for possible obligations to third parties, which was eliminated on consolidation because the group has no overall liability. The data communications segment was negatively affected by bad debt expenses, which led to a 14.8% decline in EBITDA to EUR 46.6 million. Negative EBITDA reported by

Total Managed Statements of Operations

(in EUR million, except per share information)	2002	2001
Operating revenues*	3,908.2	3,859.3
Operating expenses		
Materials	-294.0	-306.1
Employee costs, incl. benefits and taxes	-648.6	-701.3
Idle workforce costs	-29.4	-52.0
Depreciation and amortization		
incl. impairment charges	-1,191.2	-1,316.8
Net loss from retirement of long-lived assets	-21.0	-
Other operating expenses*	-1,450.9	-1,377.1
Operating income	273.1	106.0
Other income (expense)		
Interest income	93.3	84.9
Interest expense	-265.6	-272.5
Dividend income	-2.3	-1.1
Other, net	0.7	-41.8
Income (loss) before income taxes and minority interests	99.2	-124.5
Income tax expense (benefit)	-28.8	62.1
Minority interests	-57.6	-42.2
Net income (loss)	12.8	-104.6

* For comparative purposes the 2001 figure was adjusted for the impact of changes in interconnection charges between alternative telecommunications providers.

EBIT and EBITDA by segments are shown in a table on the following page.

the Internet segment improved from EUR (20.1) million in 2001 to EUR (13.4) million in 2002.

Total managed EBIT rose from EUR 158.0 million in 2001 to EUR 323.5 million in 2002. This increase was primarily the result of a 9.5% reduction in depreciation and amortization to EUR 1,191.2 million, which also includes non-recurring impairment charges to goodwill. Telekom Austria recognized impairment charges of EUR 145.1 million in 2001 and EUR 41.9 million in 2002. These charges are primarily related to the impairment of goodwill in Czech On Line, which decreased from EUR 120.0 million in 2001 to 40.4 million in 2002. The remaining goodwill in Czech On Line totaled EUR 14.6 million as of December 31, 2002.

Following a change in U.S. GAAP reporting requirements, net losses of EUR 21.0 million on the retirement of long-lived assets

are included under operating results in 2002, but shown as non-operating expenses of EUR 45.6 million in 2001. For comparative purposes the definitions of EBITDA and EBIT were adjusted accordingly. Including the impact of this reporting change, EBIT would equal EUR 302.5 million for 2002.

Costs for idle workforce include direct expenses for civil servants who have been released or transferred from the workforce, cash settlements for civil servants who have agreed to leave with severance packages, and costs for civil servants who are on medical leave and have applied for early retirement. Costs for idle workforce declined by 43.5% from the prior year level to EUR 29.4 million for 2002. Since these employees were no longer involved in the operating activities of the company, related expenses were not included in EBITDA or EBIT for 2002 or 2001. Including costs for idle workforce, total

Operating Results by Business Segments
(in EUR million)

	2002	Adjusted 2001	Change in %	As reported 2001
Revenues				
Fixed line	2,057.2	2,199.5	-6.5	2,456.7
Data communications	330.0	330.2	-0.1	330.2
Internet	119.6	99.5	20.2	99.5
Mobile communications	1,909.4	1,713.2	11.5	1,713.2
Other & eliminations	-508.0	-483.1	-5.2	-656.4
Total managed revenues	3,908.2	3,859.3	1.3	3,943.2
Mobile communications	-906.9	-1,713.2	-47.1	-1,713.2
Other & eliminations	116.8	256.3	-54.4	429.4
Consolidated revenues	3,118.1	2,402.4	29.8	2,659.4

managed EBITDA increased by 4.4% to EUR 1,485.4 million and total managed EBIT from EUR 106.0 million in 2001 to EUR 294.1 million in 2002.

A decrease in debt during the first six months and favorable refinancing of the purchase price for the mobilkom austria acquisition as of June 28, 2002 led to a reduction in total managed net interest expense for the Telekom Austria Group, e. g. including mobilkom austria, of 8.2% to EUR 172.3 million for 2002.

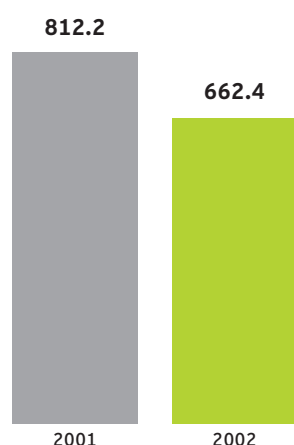
Telekom Austria closed 2002 with net income of EUR 12.8 million, which represents the first positive year since 1999 after the prior year net loss of EUR 104.6 million.

Operating Results by Business Segments (in EUR million)

	2002	2001	Change in %
EBITDA			
Fixed line	813.2	871.0	-6.6
Data communications	46.6	54.7	-14.8
Internet	-13.4	-20.1	33.3
Mobile communications	660.9	571.3	15.7
Other & eliminations	7.5	-2.1	-
Total managed EBITDA, adjusted*	1,514.8	1,474.8	2.7
Idle workforce costs	-29.4	-52.0	-43.5
Net losses for retirement of long-lived assets	-21.0	0	-
Total managed EBITDA incl. idle workforce costs and net losses for retirement of long-lived assets	1,464.4	1,422.8	2.9
Mobile communications	-351.4	-571.3	38.5
Other & eliminations	2.6	2.2	18.2
Consolidated EBITDA	1,115.6	853.7	30.7
EBIT			
Fixed line	-21.4	35.0	-
Data communications	10.5	19.3	-45.6
Internet	-65.7	-150.0	56.2
Mobile communications	392.1	303.5	29.2
Other & eliminations	7.9	-49.8	115.9
Total managed EBIT, adjusted*	323.5	158.0	104.7
Idle workforce costs	-29.4	-52.0	-43.5
Net loss from retirement of long-lived assets	-21.0	0	-
Total managed operating result	273.1	106.0	157.4
Mobile communications	-218.2	-303.5	28.1
Other & eliminations	2.5	2.1	19.0
Consolidated operating income (loss) acc. to U.S. GAAP	57.4	-195.4	129.4

* Total managed EBIT is defined as operating result excluding idle workforce costs and net losses from retirement of long-lived assets, total managed EBITDA as total managed EBIT excluding depreciation, amortization and goodwill impairment charges. Following a change in reporting under U.S. GAAP, net losses from the retirement of long-lived assets are included in operating results in 2002, while they were shown as part of non-operating expenses in 2001. For comparative purposes the definitions of EBITDA and EBIT were adjusted accordingly. At the end of the group management report, a table shows the reconciliation from total managed EBITDA to consolidated operating cash flow.

Additions to property, plant and equipment
in EUR million



Balance sheet: reduction of capital expenditures

Strict control measures throughout the Telekom Austria Group led to a further reduction in additions to property, plant and equipment by 18.4% to EUR 662.4 million for 2002. In the fixed line, data communications and Internet business segments, additions to property, plant and equipment fell by a total of 24.1% to EUR 340.7 million, while capital expenditures in the mobile communications segment declined by 11.4% to EUR 321.7 million.

Capital expenditures in the mobile communications segment were triggered by further expansion of capacity in Austria and growth in Slovenia and Croatia. A total of EUR 40.0 million was spent to continue expansion of the UMTS network in Austria. Fixed line investments focused on broadband technology (ADSL) and demand-related capacity adjustments in the main communications networks.

The Telekom Austria Group was able to slightly reduce net debt to EUR 3,204.2 million as of December 31, 2002, including 100% of mobilkom austria, from the comparable prior year level. This improvement was realized in spite of an increase in short-term debt, which was required to finance the EUR 693.1 million purchase price for the 25% interest in mobilkom austria. If these liabilities were excluded, net debt would have fallen to EUR 2,511.1 million. The debt-to-equity ratio (net gearing) fell from 131.3% at year-end 2001 to 127.7% at year-end 2002. The development of net debt includes the impact of the sale of receivables to a Qualifying Special Purpose Entity ("QSPE"), which is not related to Telekom Austria. This sale took the form of recurring monthly transactions. In 2002 cash inflows from the QSPE totaled EUR 268.4 million for both Telekom Austria and mobilkom austria. Net debt is shown without cross border lease obligations since these items are covered by the same amount of other assets.

Optimized deployment of human resources

The necessary adaptation of internal structures to meet stronger competition required the start of an extensive restructuring program concurrent with the initial public offering in 2001. The goal of this program was to reduce the number of employees in the fixed line segment by one-third within five years. Following a headcount reduction of 1,788 in the fixed line, data communications, and Internet segments during the reporting year, this goal has been met by over 80%. The increase in the number of employees in the mobile communications segment by 154 to 3,592 is due primarily to growth in Croatia and Slovenia. In total, Group headcount figures declined by 9.9% to 14,951 during the reporting year.

Research and Development

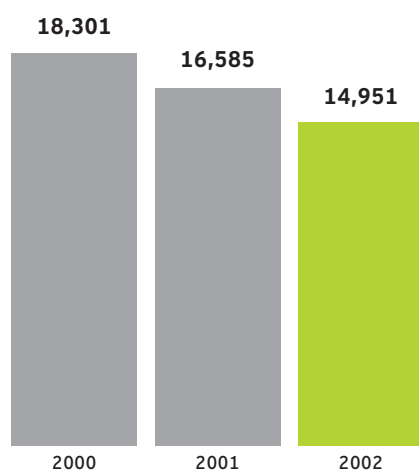
During the past year, research and development activities centered on the continuation of national and international research cooperation programs as well as the development of innovative products to expand the company's technological market leadership. Work focused on the optimization of new applications in the fixed line segment and the further development of third generation mobile networks. The Telekom Austria Group invested a total of EUR 35.4 million in research and development for all business segments in 2002.

Stabilization of market shares in the fixed line segment

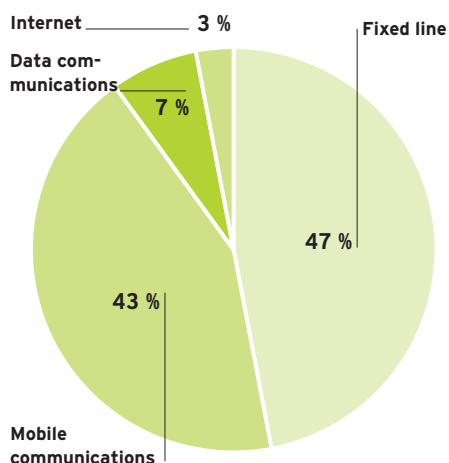
For 2002, the declared goal in the fixed line segment was to stabilize market shares. In comparison to the prior year, which showed a decline of 7.5 percentage points, market share based on minutes, including Internet dial-up, declined by only 0.9 percent points from 56.2% to 55.3%.

Although a year-to-year comparison of revenues, excluding the impact of the

Number of employees
at year-end



Operating revenues by segments (not consolidated)



change in transit call invoicing, shows a decrease of 6.5% to EUR 2,057.2 million, there was an improvement in the quarterly trend. Compared to the same periods of the prior year, revenues declined by 9.7 % during the first quarter 2002, but rose by 2.1 % during the fourth quarter of 2002.

The impact of lower revenues on EBITDA was moderated by further cost reductions and the reversal of EUR 57.4 million in voluntary retirement provisions, which were no longer required due to the transfer of a number of participants from the company's early retirement program to the state-sponsored regular retirement scheme following a change in law. EBITDA declined by 6.6% to EUR 813.2 million for the reporting year.

A decrease in additions to property, plant and equipment and the discontinuation of goodwill amortization in accordance with SFAS 142 resulted in a slight 0.2% decline in depreciation and amortization to EUR 834.6 million for 2002. EBIT fell from EUR 35.0 million in 2001 to EUR (21.4) million in 2002.

Data communications under pressure from the weak economy

In keeping with the international trend, the negative business climate also overshadowed developments in the Austrian data communications segment during 2002. Intensive marketing efforts helped to maintain revenues near the prior year level. In total, segment revenues decreased slightly by 0.1% to EUR 330.0 million in 2002.

Operating results were negatively influenced by write-downs to receivables due from alternative network providers in the amount of EUR 11.3 million. EBITDA

declined by 14.8% to EUR 46.6 million and EBIT by 45.6% to EUR 10.5 million.

Lower growth in the Internet segment

Although growth in the Internet segment has failed to meet initial expectations, Telekom Austria was able to expand activities in this area and successfully defend the leading market position. In total, revenues in the Internet segment rose by 20.2% to EUR 119.6 million, primarily due to a 27% increase in the number of Internet customers in Austria to 846,500 (thereof 143,100 ADSL customers). This result in the Internet segment also includes business operations of the Czech Internet market leader Czech On Line, which increased the number of customers by 15.6% over the prior year to 275,300.

Fast reaction to changing market developments led to an improvement in EBITDA from EUR (20.1) million in the prior year to EUR (13.4) million for 2002. EBIT for this period improved from EUR (150.0) million to EUR (65.7) million, almost entirely as a result of the lower impairment charge to goodwill in Czech On Line.

Customer growth and higher profitability in mobile communications

In spite of a highly competitive environment the Telekom Austria Group was able to expand on mobile communications markets in Austria, Slovenia, Croatia and Liechtenstein, and also improve profitability. Revenues in the mobile communications segment rose by 11.5% to EUR 1,909.4 million in 2002. EBITDA increased by 15.7% to EUR 660.9 million, with higher contributions from all areas in which the Telekom Austria Group is active.

A slight increase of 0.4% in depreciation and amortization to EUR 268.8 million in 2002 supported the 29.2% improvement in EBIT to EUR 392.1 million.

The number of customers in this segment rose by 11.9% to 4.45 million in 2002. This is not only a result of strong growth in regions with lower mobile penetration such as Croatia (+28.3%) and Slovenia (+29.8%), but also good positioning in Austria, where the number of customers increased by 5.3% in spite of high market saturation.

Risk factors

Telekom Austria operates in extremely dynamic and highly regulated markets, which provide substantial opportunities for growth but are unavoidably associated with risk. The business strategy of the company, which is defensive and directed to ensure sustainable growth, is therefore designed to make these risks calculable and incorporate potential threats in long-range strategic planning. The following description of business risks is a summary of the risk factors listed on Form 20-F, which is the annual report as filed with the US Securities and Exchanges Commission (SEC). Form 20-F is available in English from the Telekom Austria Investor Relations department or on the company website under www.telekom.at.

Market and competitive risks

90% of Telekom Austria revenues are generated on the Austrian market, and it is assumed that the market environment will remain competitive for all business segments. Especially in the mobile communications segment, competition is expected to increase through the market entry of new providers in Austria. mobilkom austria works to counter this development through clear positioning as

the innovation and technology leader and focus on high-value customers.

The successful foreign activities of Telekom Austria in Croatia, Slovenia, and the Czech Republic are conducted in an environment that is still undergoing political transformation.

Regulatory risks

The range of actions open to Telekom Austria in the competitive environment is subject to regulatory limitations. The determination of interconnection fees and granting of access to customer access lines allow other fixed line providers to compete with Telekom Austria with a comparatively low investment in infrastructure. At the same time fixed line tariffs must be approved by the regulatory authority prior to introduction, which helps competitors to react more quickly.

Financial risks

In order to strengthen the competitive ability of Telekom Austria, a further reduction in the workforce will be required. Although a major part of the restructuring measures has been successfully concluded, maneuvering room is limited because 57% of Telekom Austria employees are civil servants. A large number of wholesale customers and international suppliers are facing liquidity problems. Where it was deemed necessary and information was available, appropriate provisions were created in the annual financial statements.

Success story: Capex board

Project leader: Gernot Schieszler. Contact: gernot.schieszler@telekom.at

Gernot Schieszler: "Since the IPO, controlling has been a motor for lasting change in the Telekom Austria Group. State-of-the-art controlling tools provide us with real-time information systems. One major measure to increase cash flow was to cut capital expenditures. We introduced capex boards to reduce additions to property, plant and equipment without endangering growth in revenues."

Reduction
of wireline capital expenditures
by 24%
despite increase in customer projects

The project "Capex boards" is one of many success stories in the Telekom Austria Group and provides a good basis to maximize cash flow in 2003.



Outlook

Following the integration of the fixed line, data communications and Internet business segments into the wireline organization beginning on January 1, 2003, the Telekom Austria Group will report results under the wireline and wireless (mobile communications) segments as of 2003. Also starting in 2003, the group will report EBITDA and EBIT including idle workforce costs and net losses on the retirement of long-lived assets.

In the wireline segment, intensified marketing for residential and business customers and further strict cost control are expected to stabilize revenues and earnings in 2003 following the declines reported in recent years.

Competition in the Austrian mobile business is expected to intensify due to the market entry of up to two new competitors. Special marketing efforts to counter this new competition were intro-

duced during the past year. Roaming revenues are expected to decline due to lower tariffs. Although higher revenues and earnings are forecasted for the wireless segment, growth rates are not expected to match past levels.

Against the background of the current economic environment, the management of Telekom Austria forecasts a slight increase in total managed revenues and EBITDA for 2003. The full consolidation of mobile communications results should support the expected increase in net profit, and therefore enable the resumption of dividend payments for the financial year 2003 in 2004. Activities will continue to focus on the maximization of cash flows and debt reduction.

Major subsequent events

Immediately after the balance sheet date the mobilkom austria group entered into a strategically important cooperation with Vodafone, the world's largest mobile communications company. The primary objective of this partnership is cooperation in the fields of roaming, purchasing, development of new products and services as well as technical platforms, global account management and joint marketing initiatives. In addition, mobilkom austria increased its stake in VIPnet to 80% after the balance sheet date.

Vienna, March 2003

The Management Board

Heinz Sundt
Stefano Colombo
Rudolf Fischer
Boris Nemsic

Appendix to the Group Management Report

US stock market law requires Telekom Austria to present a reconciliation of total managed data for the group with consolidated figures prepared in accordance with U.S. GAAP.

Telekom Austria AG: Reconciliation from total managed EBITDA* (excl. idle workforce costs and net loss from retirement of long-lived assets) to consolidated cash flow
(in EUR millions)

	2002	2001
EBITDA - Total managed excl. idle workforce costs and net loss from retirement of long-lived assets	1,514.8	1,474.8
Intersegmental eliminations on EBITDA	0.3	2.2
EBITDA mobile communications	-351.4	-571.3
EBITDA on consolidated basis excl. idle workforce costs and net loss from retirement of long-lived assets	1,163.7	905.7
Depreciation, amortization and impairment charges	-1,058.2	-1,049.2
EBIT on consolidated basis excl. idle workforce costs and net loss from retirement of long-lived assets	105.5	-143.5
Depreciation, amortization and impairment charges	1,058.2	1,049.2
Net loss from retirement of long-lived assets	-18.7	-
Other income net	1.9	-44.0
Idle workforce costs	-29.4	-52.0
Net interest expense	-156.4	-158.2
Income from investments in affiliates	141.0	197.8
Income taxes	-26.1	94.9
Minority interest	-4.9	0.5
Employee benefit obligation - non cash	-49.8	3.1
Allowance for doubtful accounts	39.2	14.8
Change in deferred taxes	33.5	-95.0
Dividends from affiliates, greater than (less than) equity in income	-45.8	-80.7
Loss on sales of investments and disposal of equipment	17.5	38.9
Changes in assets and liabilities, net of effect of business acquired	105.8	16.6
Cash generated from operations on consolidated basis	1,171.4	842.4

✚ **Reconciliation of Total Managed to U.S. GAAP Consolidated Statements of Operations**
(in EUR million)

	Total managed results 2002	RECONCILIATION 2002 Elimination mobilkom austria prior to July 1, 2002	Eliminations*
Operating revenues	3,908.2	-906.9	116.8¹⁾
Operating expenses			
Materials	-294.0	103.7	-6.1
Employee costs, including benefits and taxes	-648.6	77.3	0
Idle workforce costs	-29.4	0	0
Depreciation and amortization incl. impairment charges	-1,191.2	133.2	-0.2
Net loss from retirement of long-lived assets	-21.0	2.3	0
Other operating expenses	-1,450.9	374.5	-110.3 ²⁾
Operating income (loss)	273.1	-215.9	0.2
Other income (expense)			
Interest income	93.3	-10.9	5.8
Interest expense	-265.6	26.8	-5.8
Dividend income	-2.3	0.6	2.1 ³⁾
Equity in earnings of affiliates	0	0	140.5 ³⁾
Other, net	0.7	1.1	0.1
Income (loss) before income taxes and minority interests	99.2	-198.3	143.0
Income tax expense (benefit)	-28.8	2.7	0
Minority interests	-57.6	5.1	47.6
Net income (loss)	12.8	-190.5	190.5

* Eliminations required to consolidate mobilkom austria and recognize equity in earnings of mobilkom austria for the period until June 30, 2002.

** For comparative purposes 2001 was adjusted to reflect the impact of changes in the billing of interconnection charges to alternative telecommunications providers.

	Consolidation of state- ment of operations for Telekom Austria Group and mobilkom austria group prior to June 30, 2002	Intercompany profit	Consolidation of investments
1) Revenues	116.3	0.5	
2) Other operating expenses	-110.3		
3) Equity in earnings and dividend income		-0.2	142.9

RECONCILIATION 2001					
U.S. GAAP Consolidated results 2002	Total managed results 2001	Change in interconnection**	Elimination mobilkom austria for 2001	Eliminations*	U.S. GAAP Consolidated results 2001
3,118.1	3,859.3	257.2	-1,713.2	256.4 ¹⁾	2,659.7
-196.4	-306.1		250.7	-16.5	-71.9
-571.3	-701.3		134.5	-0.3	-567.1
-29.4	-52.0				-52.0
-1,058.2	-1,316.8		267.8	-0.2	-1,049.2
-18.7	0				0
-1,186.7	-1,377.1	-257.2	756.6	-237.2 ²⁾	-1,114.9
57.4	106.0	0	-303.6	2.2	-195.4
88.2	84.9		-20.5	18.3	82.7
-244.6	-272.5		49.9	-18.4	-241.0
0.4	-1.1		0.8	2.5 ³⁾	2.2
140.5	0			195.5 ³⁾	195.5
1.9	-41.8		-2.2		-44.0
43.8	-124.5	0	-275.6	200.1	-200.0
-26.1	62.1		133.6	-100.8	94.9
-4.9	-42.2		10.1	32.6	0.5
12.8	-104.6	0	-131.9	131.9	-104.6

Eliminations in 2002	Consolidation of state- ment of operations for Telekom Austria Group and mobilkom austria group 2001	Change in interconnection	Intercompany profit	Consolidation of investments	Eliminations in 2001
116.8	429.4	-173.1	0		256.4
-110.3	-412.5	173.1	2.2		-237.2
142.7			-1.5	199.5	198.0

A black office chair is positioned on a balcony with a glass railing. The chair is viewed from a low angle, looking up at it. In the background, a modern glass skyscraper is visible, reflecting the sky. The scene is brightly lit, suggesting daytime.

Stature is reflected in personal commitment.

Much is expected from those with stature. In the past, service was an area where Telekom Austria had quite a bit of catching up to do. Decisive measures aimed at enhancing our focus on service and direct responsibility by management for achieving results have put us on the right track. Efforts are paying-off, as seen by increasing customer satisfaction and winning back market shares in 2002.



Wireline - Fixed Line Services

The business activities of the fixed line segment of Telekom Austria comprise the core business of domestic fixed line telephony along with leased line, value-added and wholesale services.

Market share fixed line

55.3%



The integration of the fixed line, data communications and Internet segments into the newly structured wireline organization was completed at year-end 2002.

Fast Facts

- Stabilization of market shares with first growth since liberalization
- Sustainable improvement in efficiency
- Competition leads to 6.5% decline in revenues to approximately EUR 2 billion
- Integration of fixed line, data communications and Internet segments into the new wireline organization

Slowed decline in revenues

The top priority of the fixed line segment for 2002 was the stabilization of market shares. This goal was achieved because of an increase in voice market share along with only a slight decline in total market share, including internet dial-up traffic. As a result, the decline in revenues was limited to 6.5% in spite of a drop in prices that was triggered by strong competition. Revenues in the fixed line segment totaled EUR 2,057.2 million for 2002, whereby the trend showed significant improvement over the course of the year. Revenues in the first quarter fell 9.7% below the comparable prior year level, but increased by

2.1% during the fourth quarter in a year-to-year-comparison. EBITDA declined by 6.6% in year-to-year comparison to EUR 813.2 million. The negative impact of the decrease in revenues was partly offset by a reduction in operating expenses and the reversal of a provision of EUR 57.4 million for early retirement programs. The above-mentioned reversal was made possible by the transfer of former employees from the company's early retirement program to the state-financed pension system due to new legal regulations or for medical reasons. Idle workforce costs decreased from EUR 52.0 million in the prior year to EUR 29.4 million for 2002.

At 39.5% the EBITDA margin remained nearly unchanged from the prior year level. EBIT fell from EUR 35.0 million in 2001 to EUR (21.4) million for the reporting year.

Traffic revenues declined following a drop in traffic volume, tariff reductions, and the unfavorable economic environment. Revenues from monthly rentals decreased from the prior year level because of a drop in the number of fixed access lines. The decrease in interconnection revenues is primarily due to an average 4.8% reduction in interconnection tariffs by the Austrian regulatory authority. Employee costs declined mainly as the result of the reversal of the provision for early retirement programs and headcount reduction. Other operating expenses increased despite cost savings, especially on consulting services, due to higher sales expenses and one-off costs associated with the centralization of business locations.

Key Data (financial data in EUR million)	2002	2001 adjusted*	Change in %	2001 as reported
Revenues	2,057.2	2,199.5	-6.5	2,456.7
EBITDA**	813.2	871.0	-6.6	
EBIT**	-21.4	35.0	-	
EBITDA margin (in %)	39.5	39.6	-	
Additions to property, plant and equipment	307.5	397.5	-22.6	
Employees***	10,213	11,903	-14.2	
Thereof idle workforce	262	332	-21.1	

*) Including netting of revenues and expenses for transit calls

**) Excluding costs for idle workforce and losses from retirement of long-lived assets

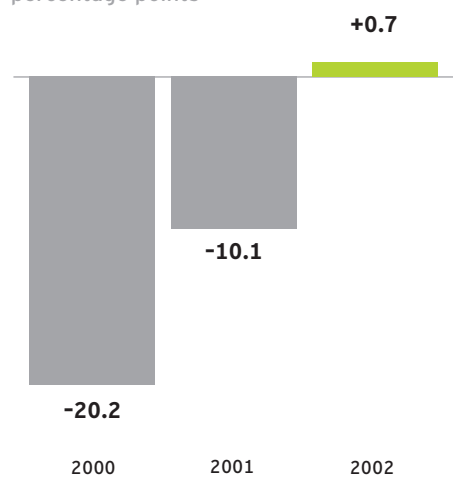
***) Full-time employees at year-end

Reduction in capital expenditures

A restrictive investment policy led to a reduction of 22.6% in additions to property, plant and equipment to EUR 307.5 million for 2002. Approximately 56% of capital expenditures were directed to the expansion of broadband activities. In the access area, investments focused prima-

Development of market shares

Market share gains/losses in voice telephony based on minutes in percentage points



rily on the introduction of new products. In the core network area, investment focused on the technical and administrative optimization of the network. Major IT projects such as billing and customer relationship management were also carried out, and further adaptations were made to the headquarters building.

First increase in market share since 1998

In 2002 marketing activities focused on the long-term retention and winning back of customers. In order to improve customer focus and profitability a sustainable action plan with concrete targets was defined and implemented within the framework of the wireline initiative that began in late 2001. An increase in sales efficiency and creative marketing efforts provided the basis to win back customers and market shares in May 2002 for the

first time since market liberalization. Market share based on minutes in voice telephony, which plays an important role in the development of revenues, improved by 0.7 percentage points to 52.6% by year-end 2002 compared to the previous year. Including Internet-dial up traffic, voice market share declined only by 0.9 percentage points to 55.3% compared to a previous year's decline of 7.5 percentage points.

In 2002 the fixed line market environment was marked by widespread marketing offensives on the part of the major alternative network providers. Although this strong competition led to a reduction in the number of competitors from 39 to 28 through bankruptcy or takeover, the Austrian fixed line market is still highly competitive in European comparison.

The decline in fixed line traffic, based on minutes including Internet dial-up, slowed significantly in 2002. After a drop of 12.6% in the prior year, the decrease totaled only 6.9% for 2002. The number of ISDN access lines rose by 7.7% over the prior year level to 438,200. The decline in PSTN access lines is primarily the result of higher migration to mobile networks and a shift to ISDN lines. The number of ADSL lines increased by 73.1% over the prior year to 174,100 as of year-end 2002. 17.8% of total ADSL lines are for wholesale customers (see tables p. 42).

Revenues (in EUR million)	2002	2001 adjusted	Change in %	2001 as reported
Traffic revenues	499.4	599.1	-16.6	599.1
Initial connection and installation fees, monthly rental and other network services	619.1	635.5	-2.6	635.5
Interconnection*	366.4	379.8	-3.5	637.0
Leased lines	246.1	256.6	-4.1	256.6
Equipment	94.5	97.7	-3.3	97.7
Other	231.8	230.8	0.4	230.8
Total fixed line revenues	2,057.2	2,199.5	-6.5	2,456.7

Operating expenditures (in EUR million)	2002	2001 adjusted	Change in %	2001 as reported
Materials	55.5	66.5	-16.5	66.5
Employee costs**	426.2	505.4	-15.7	507.5
Amortization and depreciation	834.5	836.0	-0.2	836.0
Loss from retirement of long-lived assets	5.1	-	-	-
Interconnection*	310.5	310.9	-0.1	568.1
Maintenance and repairs	123.8	129.7	-4.5	129.7
Services received	13.1	24.3	-46.1	24.3
Other operating expenses	315.0	291.7	8.0	291.7
Total fixed line operating expenses	2,083.7	2,164.5	-3.7	2,423.8

* 2001 figures are adjusted for the impact of netting of revenues and expenses for transit calls.

** Including benefits and taxes, excluding idle workforce costs.

IPO goal to reduce headcount met to over 80%

One of the goals defined in connection with the Initial Public Offering (IPO) in 2000 was a headcount reduction of 5,000 employees in the fixed line segment by 2005. During the reporting year personnel level was reduced by 1,690 to 10,213 (including 262 idle workforce employees) with a focus on socially acceptable measures. The stated target was therefore reached to over 80%.

Telekom Austria fixed line traffic

(in million minutes)	2002	2001	2000
Local traffic	3,765	4,335	6,227
National long-distance traffic	842	823	1,008
Fixed-to-mobile traffic	826	830	941
International traffic	472	476	507
Internet dial-up traffic	4,305	4,505	3,872
Total fixed line traffic*	10,210	10,969	12,555

*) Excluding value-added services, emergency calls, coin and prepaid card telephony

Fixed access lines - access channels

(in 1,000)	2002	2001	2000
PSTN access lines	2,659.1	2,759.8	2,929.1
Basic ISDN access lines	430.1	398.7	331.9
Multiple ISDN access lines	8.1	8.3	8.0
Total access lines	3,097.3	3,166.8	3,269.0
Thereof ADSL	174.1	100.6	38.5
Access channels	3,762.3	3,806.2	3,832.9

access radius. As a result, ADSL coverage increased to 80% of all Austrian households, which corresponds to roughly 2.5 million households, and represents a good European average. Rising demand for broadband access was reflected in expansion of the ATM backbone and in an increase in total capacity to 1.7 Terrabit/s. In addition, Telekom Austria also carried out a full relaunch of its broadband product portfolio. Product innovations stimulated the demand for fast Internet access, which is reflected by the increase in the number of new customers during the second half of 2002.

Numerous product innovations

For Telekom Austria, customer-orientation means continuous development of products and services. This is demonstrated by a wide range of new products, such as fixed line SMS. In the equipment area, Telekom Austria significantly improved its product range in 2002 to include lifestyle products and meet growing demand for cordless equipment. A further product innovation is the inexpensive ISDN SI self-installation service package. With "eBill", offering access to online bill records, Telekom Austria provides its customers with an additional free service.

TikTak tariffs successful

The TikTak tariffs proved to be an attractive model in 2002, particularly for high-revenue residential customers. As part of a yearlong campaign to win back customers, approximately 280,000 of over 1 million selected customers could be motivated to change to one of the attractive TikTak tariffs between mid-February and the end of September alone. At year-end 2002 over 840,300 customers made use of the various TikTak tariff options. A range of marketing measures, such as free days or "long call" promotions for TikTak customers, significantly improved price awareness and convinced numerous customers of the advantages provided by Telekom Austria services.

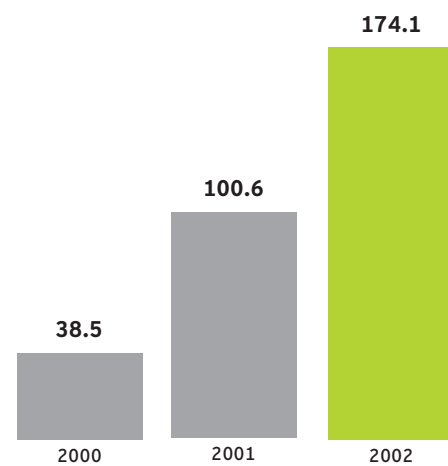
Continuation of the broadband offensive

In 2002 Telekom Austria successfully continued its marketing campaign to promote broadband Internet access. The availability of ADSL as access technology was further increased by upgrading switching centers and extending the

Leading role as infrastructure provider secured

The wholesale unit markets network and basic services of Telekom Austria's product portfolio to 100 Austrian and 250 international fixed line and mobile communications operators as well as Internet service providers. During the reporting year, the main strategic focus was placed on marketing Telekom Austria's nation-wide network to domestic service providers. With the acquisition of well-known backbone customers Telekom Austria is safeguarding follow-up commissions in the access business. On the international level, the wholesale unit was able to establish a

Development of ADSL access lines In 1,000



position as provider of high-quality services. The company's Jet2Web Stream with transmission capacity of 320 Gbits/s provided the basis for offering comprehensive communications solutions to neighboring countries, especially in central and southeast Europe. With this strategy Telekom Austria was able to position itself as the leading provider for Austrian companies with business operations in Germany, the Czech Republic, Slovakia and Hungary that require infrastructure connection to Austria. In 2003 the Jet2Web Stream will be expanded to include Croatia, Slovenia and Italy. With the high-speed backbone network Jet2Web Stream, Telekom Austria has created a landmark telecommunications gateway for international carriers to central and southeast Europe.

Important regulatory decisions

In spite of intense competition, the Austrian regulatory authority has classified Telekom Austria's position in the fixed line, leased line, and interconnection markets as dominant. Therefore, the entire fixed line segment of Telekom Austria is still subject to regulatory requirements set forth in the current Austrian telecommunications law.

Parliamentary approval of the new telecommunications act is expected for the first half of 2003. This act provides the basis to amend Austrian law to reflect the new European legal framework in the telecommunications area, which was passed by the EU in 2002. From Telekom Austria's perspective, this new telecommunications act must guarantee a gradual phasing out of regulation towards general competition law in areas dominated by intense competition. In addition, Telekom Austria calls for the creation of incentives for investment in infrastructure and innovative product development through government support as well as regular amendment of the legal framework to reflect the changing market situation. In 2002 the most important regulatory decisions in the interconnection area were an average reduction of 4.8% in interconnection fees and the fundamental decision that the current legal framework does not require the provision of interconnection services to MVNOs (Mobile Virtual Network Operator).

Success story: Customer acquisition and retention

Project leader: Martin Schmutz. Contact: martin.schmutz@telekom.at

Martin Schmutz: "The development of new sales channels and a mobilization program for direct sales, which targets the small and mid-sized company segment, helped us win back a large number of former customers at the start of the year. We also stabilized the development of business in the "private & professional" customer segment with new creative sales promotions. We were able to win back market shares in 2002 for the first time since liberalization of the Austrian market."

We have been winning back market shares since May 2002

The project "Customer Acquisition" is one of many success stories in the Telekom Austria Group and provides a good basis to win further market shares in 2003.



The most important part of a relationship is mutual trust.





This is true in any relationship: with our customers and with our personnel. The success of Telekom Austria in 2002 is a direct result of the efforts of our employees. Their commitment in the company is demonstrated by 12,000 employee shareholders – who do not only invest their know-how, but also their capital in a successful future for Telekom Austria.

Wireline – Data Communications

The product portfolio of the data communications segment ranges from leased lines and protocol-based data services to value-added and individual customer solutions.

Fast Facts

- Improved market position in spite of economic downturn
- Flat revenues and lower EBITDA due to write-off of receivables
- Integration in new wireline organization completed by year-end 2002

Business activities in this segment comprise standard products, solutions business and individual business. In order to optimize synergies – especially through a joint market approach as an all-in-one service provider for voice, data, Internet and IT services – the data communications segment was integrated with the fixed line and Internet segments into the newly defined wireline organization in 2002. In prior years the segment essentially comprised the business activities of Datakom Austria GmbH, which was merged into Telekom Austria AG retroactively as of January 1, 2002.

Stable revenue development

In 2002 business development in the data communications segment was negatively affected by a downturn in the global economy and unfavorable business conditions in Austria. At EUR 330.0 million revenues remained fairly stable near the prior year level (2001: EUR 330.2 million) thanks to significant efficiency improvement in the sales organization and strengthened marketing activities. EBITDA was negatively affected by the write-off of EUR 11.3 million in receivables to alternative network providers in 2002, and therefore declined by 14.8% to EUR 46.6 million. EBIT fell by 45.5% to EUR 10.5 million.

Key Data (financial data in EUR million)	2002	2001	Change in %
Revenues	330.0	330.2	-0.1
EBITDA*	46.6	54.7	-14.8
EBIT*	10.5	19.3	-45.5
EBITDA margin (in %)	14.1	16.6	-
Additions to property, plant and equipment	19.9	31.5	-36.8
Employees**	779	877	-11.2

*Excluding losses from retirement of long-lived assets

**Full-time employees at year-end

Operating expenses (in EUR million)	2002	2001	Change in %
Materials	12.0	11.4	5.3
Employee costs*	51.0	48.2	5.8
Depreciation and amortization	36.0	35.3	2.0
Loss from retirement of long-lived assets	1.9	-	-
Other operating expenses	220.5	215.9	2.1
Total data communications operating expenses	321.4	310.8	3.4

*) Including benefits and taxes

Expansion of market leadership

The restructuring and expansion of the product portfolio led to a further strengthening of the Telekom Austria market share in the data segment. Over 90% of the Top 100 companies in Austria rely on the expertise and know-how of Telekom Austria. In total, roughly 11,000 customers depend on data communications services provided by Telekom Austria. Data communications market share based on revenues equals 60%, and is slightly above the prior year level, according to company calculations.

Market share data communications

60%



Technology leadership and innovation potential

The product range of the data communications segment includes not only a wide range of standardized data transmission services, but also to a great extent comprehensive individual IT solutions.

The business area standard products generated 35% of segment revenues in 2002. The stable development of business was supported by datastream and dataswitch transmission services as well as standardized network components and the successful relaunch of business access services (broadband Internet access for business customers on dial-in, XDSL or

leased line basis). Business information services in the dataweb, such as national and European corporate databases, central registry or insolvency monitor, also had a positive impact on results for the reporting year.

In the solutions area, Telekom Austria was able to raise its profile as a competent partner for the realization of corporate networks in the IT service sector. Expertise and technological advantages in areas such as IP-based services, ASP enabling, and security solutions contributed to strengthening long-term customer loyalty. The development of flexible and scalable modules for the future-proof e-business area allows for the adaptation of automated business processes to meet specific customer requirements. The solutions area contributed 33% of segment revenues in 2002.

Of total data communications revenues, 32% were generated in the area of individual business. The technological expertise of Telekom Austria guarantees highest availability, even for time critical data packages such as music or videos on the basis of the multimedia technology LAN interconnect plus voice. Modern voice-over IP solutions allow internal telephone calls to be processed over an existing data network. Additional components such as voice transmission software or video communication functions complement the range of advantages provided by free internal calls. Electronic data interchange solutions (standardized communication tools for interaction with fiscal, customs or social security authorities) complete the portfolio of services provided by the individual business area.

Success story: Cost reduction in network infrastructure

Project leaders: Martin Stierle, Josef Weber

Contact: martin.stierle@telekom.at, josef.weber@telekom.at

Martin Stierle, Josef Weber: "Our technical backbone is the most modern and reliable in Austria - and not a target of our cost-cutting programs. We were able to reduce the costs of communications technology by 12% without affecting our service level. We also lowered network maintenance expenses considerably, and increased the availability of ADSL services in Austria to over 80%. And we are continually investigating new opportunity for savings."

12%

cost reduction in 2002

The project "Network Cost Reduction" is one of many success stories in the Telekom Austria Group and provides a good basis to limit costs in 2003.



Wireline – Internet

The business activities of the Internet segment primarily comprise Internet dial-up and ADSL access services as well as portal-related activities in the area of online media, e-commerce and multimedia.

Fast Facts

- Adjustment of structures to reflect moderate growth forecasts
- Revenues increase by 20.2%, EBITDA improves by 33.3%
- Reintegration of Internet segment into the new wireline organization completed by the end of 2002

In addition to the activities of Czech On Line, the leading Internet provider in the Czech Republic, the main revenue driver in 2002 was Jet2Web Internet Services GmbH, which was merged into Telekom Austria AG retroactively as of January 1, 2002 as part of the wireline reorganization. The Internet segment serves approximately 846,500 Internet users in Austria and 275,300 subscribers in the Czech Republic.

Revenue growth and improvement in profitability

Revenues increased by 20.2% from EUR 99.5 million in the prior year to EUR 119.6 million in 2002. This positive development was mainly supported by a significant increase in the number of customers in Austria. EBITDA improved from EUR (20.1) million in 2001 to EUR (13.4) million in 2002. The improvement in EBIT from EUR (150.0) million to (65.7) million was primarily a result of the decline in the goodwill impairment charge of Czech On Line from EUR 120.0 million in the prior year to EUR 40.4 million for 2002.

Steady customer growth in Austria

According to a survey by the Austrian Internet Monitor, the Telekom Austria Group was able to increase its market share in the residential Internet segment from 37% in the prior year to 38% for 2002, and thereby successfully defend market leadership. These figures also include the Internet subscribers of mobilkom austria. Despite the slowdown of the Internet hype, the number of customers rose from 666,400 in 2001 to 846,500 (+27.0%) for 2002. Of total subscribers, roughly 143,100 (+65.6%) used broadband ADSL technology.

Market penetration in Austria totals roughly 50% with 3.4 million Internet users, and corresponds to the West European average.

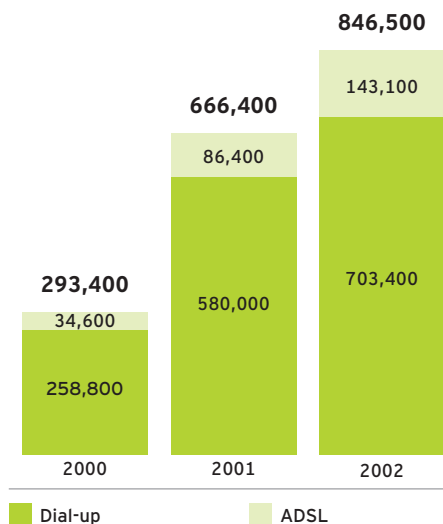
As part of internal restructuring, Telekom Austria completely redefined the strategic orientation of the Internet segment and integrated this unit into the wireline organization during 2002. Product design for Internet access (dial-up and ADSL) is now centralized under product and technology management, while sales activities are divided into the private & professional customers or business solutions unit according to customer target. The portal business with the marketing of channels, eZines, communications and community services, e-commerce, and the sale of multimedia products was defined as a strategic unit within the new Internet & media division of the wireline segment.

Key Data (financial data in EUR million)	2002	2001	Change in %
Revenues	119.6	99.5	20.2
EBITDA*	-13.4	-20.1	33.3
EBIT*	-65.7	-150.0	56.2
Additions to property, plant and equipment	13.3	20.0	-33.5
Employees**	367	368	-0.3

* Excluding losses from retirement of long-lived assets

** Full-time employees at year-end

Number of Internet customers in Austria classified by ADSL and dial-up access



Aon.at – the leading ISP portal

The wide-ranging Aon portal combines information, communications and shopping as well as fun and entertainment content into an attractive Internet full service. With Aon.at Telekom Austria has been able to achieve a leading position among the largest media portals in Austria. In comparison to ISP portals, the wireline portals of Telekom Austria are by far the undisputed leader with 520 million page impressions in 2002.

Numerous product innovations

Successful results were also reported in the area of product development. In addition to the relaunch of the online shopping zone, the conversion of the leading Austrian online dating service portal Love.at into a paid-for service proved to be a

Market share in Austria

38%



trend-setting marketing decision. The range of broadband access products was restructured in 2002 to improve transparency and clarity. Customers can now choose between Aon Speed Internet access with time or data credits. New product launches included wireless ADSL, allowing for broadband wireless Internet surfing, and Aon Videochat, a product designed to meet the communication needs of broadband users. AonSpeed combined with a webcam allows chatting participants to exchange not only text messages but also audio-visual communication.

Czech On Line confirms market leadership

Telekom Austria is represented on the Czech Internet market by Czech On Line, a wholly owned Internet service provider acquired in 2000. Czech On Line was able to successfully defend its leading position in the residential customer segment against strong competition and had over 275,300 subscribers (+15.6%) in 2002.

Czech On Line reported an increase of 32.8% in revenues to EUR 10.9 million in 2002. EBITDA more than doubled to EUR 1.1 million. Czech On Line successfully continued its brand policy in 2002, and plans to position itself as the leading alternative provider for voice and data transmission, broadband communications and value-added services in the future.

Success story: Service leadership in customer processes

Project leader: Alois Miedl Contact: alois.miedl@telekom.at

Alois Miedl: "Our goal was to make service processes faster, easier and less expensive. For example, we were able to reduce the average delivery time for high speed ADSL from 29 to 12 calendar days. At the end of April 2002 we introduced the 80:20 rule for our hotline: 80% of all calls must be answered within 20 seconds – and new multimedia dialogue forms make processes like tariff changes or registration easier for our customers."

80:20

The rule for our hotline

The project "Service Leadership" is one of many success stories in the Telekom Austria Group and provides a good basis to further improve customer service in 2003.



Outlook Wireline

Following the merger of the fixed line, data communications and Internet segments, their combined results will be reported in the future under the wireline business segment.

The business year 2003 will be marked by wide-ranging efforts to further improve the Telekom Austria market position. The new customer segmentation into private & professional customers (residential customers and small companies) business solutions (corporate customers) and wholesale (resellers) creates synergies in product development and also improves the efficiency of customer service by optimizing its structure and processes.

Simplification of the broadband product portfolio showed first positive results at the start of 2003, which will be further

strengthened by the introduction of new services.

As a continuation of the successful prior year wireline initiative, the new WIN+ program was introduced to improve efficiency in the wireline segment. The goals of this project are to make Telekom Austria the leading service provider, further rationalize network management, and optimize performance on all retail and wholesale markets.

Headcount reduction will continue during 2003, although at a slower pace, and form an important basis for concentrated efforts to lower costs.

Success story: Strategic product management

Project leader: Helmut Leopold. Contact: helmut.leopold@telekom.at

Helmut Leopold: "At the end of May 2002 we introduced a joint product portfolio for all wireline segments. We are now in a position to implement product developments faster and more efficiently, and optimize the deployment of existing resources across all areas. Close cooperation between technology and product management as well as shorter approval processes between the individual areas accelerate product implementation and avoid duplication of efforts."

Streamlining of product portfolio: classification of products into 15 clusters

The Project "Strategic Product Portfolio" is one of many success stories in the Telekom Austria Group and provides a good basis to improve the speed and efficiency of product development in 2003.



After a decline in results over prior years, the goal for the wireline segment is to achieve a stable development of revenues and earnings in 2003. In order to maximize cash flow, further cutbacks will be made in additions to property, plant and equipment.

Wireless - Mobile Communications

The Telekom Austria Group is represented in the mobile communications segment by the mobilkom austria group - mobilkom austria and its subsidiaries VIPnet, Si.mobil and mobilkom [liechtenstein] - in Austria, Croatia, Slovenia and Liechtenstein.

Fast Facts

- mobilkom austria - again under 100% ownership of Telekom Austria AG
- 11.5% growth in revenues to EUR 1,909.4 million
- Over 3 million customers in Austria - 4.5 million total customers in the mobile communications segment
- Technical launch of first national UMTS network in Europe
- Market presence strengthened by cooperation with Vodafone

Following the purchase of the 25% stake, which was owned by Telecom Italia Mobile (TIM) up to June 2002, Telekom Austria AG is now the sole shareholder of mobilkom austria. In addition to the simplification of decision-making structures, 100% of cash flows now remain within the Telekom Austria Group.

Positive EBITDA in all mobile companies

Telekom Austria can look back on another outstanding year in the mobile communications segment. Revenues increased by 11.5% to EUR 1,909.4 million in 2002, and all mobile communications companies in the Telekom Austria Group reported

Market share in Austria



positive EBITDA. In total, segment EBITDA rose by 15.7% to EUR 660.9 million.

Growth in revenues was supported primarily by an increase in the number of subscribers, share of contract customers, and volume of average minutes of use per customer. An increase in revenues was also recorded in international operations, chiefly as a result of growth in the number of customers and higher roaming revenues. In spite of higher traffic volume in Austria, interconnection revenues remained virtually unchanged from the prior year because of lower interconnection fees set by the regulatory authority in Austria.

Personnel expenses rose following an increase in headcount level due to subscriber growth, as well as salary adjustments on the basis of collective bargaining agreements, and voluntary contributions to an employee pension plan. Higher depreciation and amortization charges triggered by capital expenditures were largely offset by a decline in the amortization of goodwill. Thus total charges rose by only a slight amount above the prior year level. The increase in interconnection expenses reflects a higher volume of calls to other networks, which is the result of growth in the number of subscribers (see table next page).

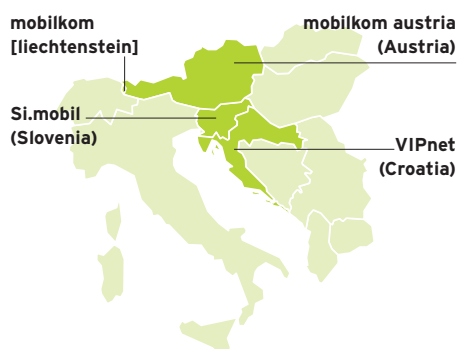
Key financial data (in EUR million)	2002	2001	Change in %
Revenues	1,909.4	1,713.2	11.5
EBITDA*	660.9	571.3	15.7
EBIT*	392.1	303.5	29.2
EBITDA margin (in %)	34.6	33.3	-
Additions to property, plant and equipment	321.7	363.2	-11.4
Employees**	3,592	3,438	4.5

* Excluding losses from retirement of long-lived assets

** Full-time employees at year-end

Revenues (in EUR million)	2002	2001	Change in %
Traffic revenues	1,000.6	853.3	17.3
Monthly rentals	283.5	252.1	12.5
Equipment	175.2	181.0	-3.2
Roaming	155.9	147.8	5.5
Interconnection	275.9	274.3	0.6
Other	27.7	26.9	3.0
Discounts	-9.4	-22.2	57.7
Total mobile communications	1,909.4	1,713.2	11.5

Mobile communications mobilkom austria group

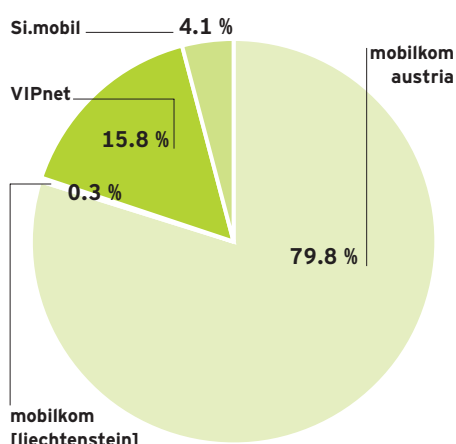


11.4% reduction in capital expenditures

Additions to property, plant and equipment in the mobile communications segment declined from EUR 363.2 million in 2001 to 321.7 million for the reporting year. In Austria lower investments in software reduced capital expenditures by 10% to EUR 206.2 million, despite expansion of the UMTS network. The number of GSM-base stations was increased by 298 to 4,957, in order to safeguard the high quality of the network and guarantee sufficient capacity. In 2002 a total of EUR 40.0 million was invested in the expansion of the UMTS network.

At VIPnet additions to property, plant and equipment dropped by 30% from EUR 103.2 million to EUR 72.2 million following a reduction in network investments. In contrast, Si.mobil intensified investments in order to improve the quality of the network, which led to an increase of 41.9% in capital expenditures to EUR 43.0 million.

Operating revenues (not consolidated) by mobile communications company in %



Customer growth in all markets

Austria, Croatia, Slovenia and Liechtenstein have a combined population of roughly 15 million; of this total, 4.5 million use the mobile communications networks of the Telekom Austria Group. Approximately one-third of these customers are served by the company's foreign sub-

sidiaries. All mobile communications companies in the Telekom Austria Group were able to increase the number of customers in 2002, and are the largest or second largest provider in their markets.

Development in Austria

Despite high market penetration of 83.1% and strong competition, mobilkom austria was able to increase its leading market position with a rise in market share from 42.9% to 44.4%. The total number of customers rose to over three million.

mobilkom austria reported an increase of 6.7% in revenues to EUR 1,538.3 million. EBITDA rose by 7.0% to EUR 545.2 million, and EBIT by 7.2% to EUR 349.2 million.

Targeted customer retention activities led to a decline in the GSM churn rate, which measures customer defection to other network providers, from 23.8% in the prior year to 17.0% for the reporting year. The development of results was also supported by a 2.0 percentage point increase in the share of profitable contract customers to 52.5% and by steady high market share of 69% in the business customer segment. The improved customer base led to an increase of 8.7% in average minutes of use per customer to 119 minutes and growth of 5.0% in average revenues per customer (ARPU) to EUR 35.8. Customer acquisition costs declined by 33.9% to EUR 65.6 million during the reporting year due to the high market penetration rate. More efficient customer retention programs led to a reduction of 15.6% in related expenses to EUR 48.7 million in 2002.

Operating expenses (in EUR million)	2002	2001	Change in %
Materials	252.3	250.7	0.6
Employee costs*	158.6	134.5	17.9
Depreciation and amortization	268.8	267.8	0.4
Loss from retirement of long-lived assets	11.4	-	-
Interconnection	192.6	169.2	13.8
Maintenance and repairs	59.3	39.9	48.6
Services received	231.2	210.2	10.0
Other operating expenses	354.4	337.3	5.1
Total mobile communications operating expenses	1,528.6	1,409.6	8.4

* Including benefits and taxes

Success story: MMS for prepaid customers in Slovenia

Project leader: Janez Bevk. Contact: janez.bevk@simobil.si

Janez Bevk: "The challenge was to find a way to make the new innovative MMS services available to all our customers in Slovenia. On August 1, 2002 we became the first telecommunications operator in Slovenia – and one of the first companies in the world – to launch MMS services for prepaid mobile phones.

Not many of our competitors have been able to match this up to now."

Pioneer

in the introduction of MMS for prepaid customers

The project "MMS for our Customers in Slovenia" is one of many success stories in the Telekom Austria Group and provides a good basis to further increase customer satisfaction in 2003.



share of the Croatian market. In 2002 the number of customers rose by 28.3% to approximately 1.1 million.

VIPnet recorded an increase of 31.4% in revenues to EUR 303.5 million for the reporting year. EBITDA rose to EUR 114.8 million for this period (+45.0%), and EBIT grew to EUR 56.8 million (+53.9%).

In international comparison VIPnet has a very low churn rate of 16.7%. During the reporting year the company was able to increase its share of contract customers in the Croatian traditional prepaid market to 16.0%. An innovative product portfolio – especially for small and medium enterprises – supported growth in VIPnet's share of the business customer market to over 30%. Expansion of the customer base to include low-income groups resulted in a slight 5.2% decline in monthly average revenues per customer to EUR 20.0.

Development in Croatia

mobikom austria increased its stake in the Croatian mobile communications subsidiary VIPnet by a further 5% to 71% during the reporting year, and raised this share to a total of 80% in January 2003. The Croatian mobile market has shown outstanding development in recent years, and has already reached a penetration rate of 51.9%. VIPnet is one of the most successful start-up companies in the branch, and currently holds a 48.2%

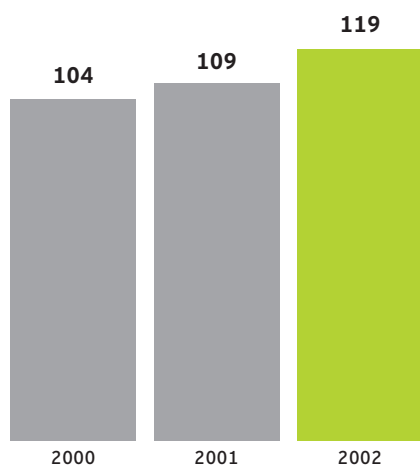
Development in Slovenia

mobikom austria holds 75% plus 1 share in Si.mobil. In 2002 a contract was signed with the other six local shareholders for the acquisition of the remaining shares in July 2007. With a penetration rate of 74.7%, Si.mobil has gained a 23.4% share of the highly competitive Slovenian market and has a total of 350,000 customers (+29.8%).

In 2002 Si.mobil increased revenues by 65% to EUR 79.2 million over the prior year, in which the activities of Si.mobil were included under the mobile communications segment for 10 months following the acquisition in late February 2001. EBITDA rose from EUR (15.6) million in the prior year to EUR 1.9 million, and EBIT improved from EUR (23.1) million in 2001 to EUR (12.3) million. Si.mobil reported positive EBITDA for the first time as a result of efficient cost management, a significant improvement in network quality, and continuation of the new operating orientation. The share of contract customers rose by 7.8% to 44.1% in 2002 and average monthly revenues per customer increased

Mobile communications customers (in 1,000)	2002	2001	2000
mobikom austria	3,001.4	2,849.9	2,804.3
Contract customers	1,574.9	1,439.4	1,336.6
Prepaid customers	1,426.5	1,410.5	1,467.7
VIPnet (Croatia)	1,097.8	855.7	531.4
Contract customers	176.0	119.0	61.9
Prepaid customers	921.8	736.7	469.5
Si.mobil (Slovenia)	350.0	269.6	-
Contract customers	154.5	97.5	-
Prepaid customers	195.5	172.1	-
mobikom [liechtenstein]			
(100% contract customers)	2.0	1.3	0.2
Total mobile communications customers	4,451.2	3,976.5	3,335.9

Minutes of use mobilkom austria
In minutes per customer/month



by 11.2% to EUR 15.5. The Slovenian regulatory authority classified the market position of Si.mobil as dominant in 2002 – a decision that appears questionable given the company's 23.4% market share. In view of Slovenia's forthcoming entry into the EU, however, harmonization of local law with EU standards is anticipated.

Development in Liechtenstein

The penetration rate in Liechtenstein totals 70.7%. With roughly 2,000 customers (+55.3% vs. the prior year), mobilkom [liechtenstein] holds a market share of 8.9%.

In 2002 revenues tripled to EUR 5.0 million. EBITDA was positive for the first time at EUR 0.1 million and EBIT improved to EUR (0.4) million. mobilkom [liechtenstein] stands out among the mobile communications companies of the Telekom Austria Group with its focus on premium rate services and average monthly revenue of EUR 86 per customer.

Growth opportunities in mobile data communications

The mobile communications companies of the Telekom Austria Group leverage their innovation leadership for the benefit of their customers. The year 2002 saw the mobilkom austria group playing a key role in GPRS roaming, MMS and UMTS. Added value for customers, user friendliness, and independence from location and equipment are the key success factors in the area of mobile data communications. For customers, not technology but the application is the most important factor.

In 2002 mobile data services, primarily SMS, generated roughly 10% of traffic revenues in Austria. Over 223,000 GPRS users in Austria and a high percentage of business customers form an outstanding basis for the future acceptance of innovative products and services – especially given the forthcoming launch of commercial UMTS.

The introduction of multimedia messaging services (MMS) in 2002 expanded the range of applications from the transmission of photos to the use of subscriber services, such as up-to-date weather reports with satellite images. At the end of 2002 over 25,000 customers in Austria used MMS to send or receive more than 424,000 multimedia messages via mobile telephones. In Slovenia Si.mobil became one of the first providers in the world to also introduce MMS for prepaid users in mid-2002. The other mobile communications providers in the Telekom Austria Group also implemented this solution during the second half of 2002.

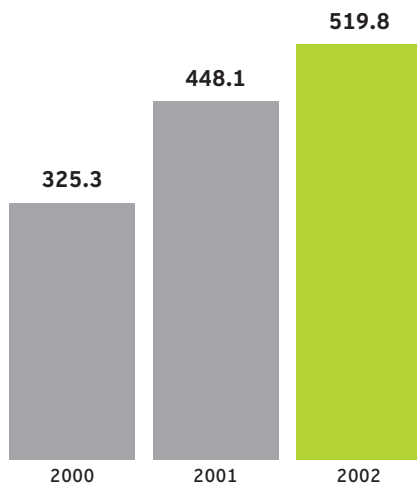
The number of SMS messages billed continued to grow without interruption in 2002, reaching a total volume of 519.8 million (+16%) in Austria. With an average of 80 messages sent per customer per month, VIPnet recorded the highest SMS share within the Telekom Austria Group and ranked second in Europe.

mobilkom austria continually sets new standards and, in 2002, became the first mobile communications company in the world to acquire a banking license through its subsidiary – A1 Bank. In addition to mobilkom austria's 49% share in Paybox Austria this opens new opportunities for cash-free payments via mobile telephones. Along with ski, concert and movie tickets, customers are able to purchase more than 50,000 mail-order articles, place bets on sporting events, and arrange for accident insurance via mobile telephone.

Introduction of UMTS technology in Austria

In September 2002 mobilkom austria again demonstrated its innovation leadership with the technical launch of the first nation-wide UMTS network in Europe. Cooperation with well-known content partners such as Reuters, ORF, the international sports rights agency ISPR, and film distributors will allow the transmission of up-to-date news, soccer goals or

Charged SMS in Austria In million



movie trailers with both picture and sound via mobile telephone.

Investments in the UMTS network total approximately EUR 70 million to date, with EUR 40 million of this amount spent during the reporting year. With roughly 1,000 base stations, coverage reached 40% of the population at the end of 2002. The coverage ratio of 25% by the end of 2003, which was a condition for the award of the license, has been exceeded. Well-timed expansion of the network has allowed mobilkom austria to design and test future UMTS services today.

In the future capacity expansion will focus on the UMTS network, whose further development in densely populated areas will be demand-driven. Plans will be based on the synchronization of capital expenditures and revenue generation to the greatest extent possible.

Outlook Wireless

In 2003 we expect a fifth mobile network operator to enter the Austrian mobile communications market. Further competitors may start operations as service providers in cooperation with an existing network operator. mobilkom austria intensified its market presence during the last months of the past year to counteract this anticipated development. In order to defend the company's strong market position the mobilkom austria group will continue to focus on service and innovation leadership. In the current year this will be supported by the commercial start of UMTS services.

The development of foreign activities should continue to profit from the current growth potential of these markets. In Croatia VIPnet will participate in the UMTS license auction, assuming commercial conditions are acceptable.

In total, this segment is expected to record further growth in revenues and EBITDA during 2003, but will not be able to match the growth rates of prior years.

Subsequent events

In January 2003 mobilkom austria and its subsidiaries VIPnet and Si.mobil signed a partnership agreement with Vodafone, the world's largest mobile communications company with over 112.5 million customers. The primary objective of this partnership is intensive cooperation especially in the fields of roaming, purchasing, product development, as well as marketing and sales.

mobilkom austria increased its stake in the Croatian network provider VIPnet from 71% to 80% at the end of January 2003. The remaining shares are owned by Western Wireless International (19%) and the Vecernji List media company (1%).

Success story: Vodafone partnership

Project leader: Marie-Helene Magenschab. Contact: m.magenschab@mobilkom.at

Marie-Helene Magenschab: "Our partnership with Vodafone is a milestone in the development of the mobilkom austria group. It will help us safeguard the profitable roaming business over the long-term and create synergy effects in the procurement area. We are adding our expertise to a global network at an early stage of development, and this will benefit both companies over the long-term. Vodafone will provide the perfect complement to our markets and products."

Partnership with the
world's largest
mobile communications company

The project "Vodafone Partnership" is one of many success stories in the Telekom Austria Group and provides a good basis to further expand our international position in 2003.



A good partner is someone
who never lets you down.





You can depend on us for a **stable, long-term customer relationship**. This implies prompt assistance any time, especially when it gets tricky. We are well aware that this commitment is important for our customers. In 2002 over 3 million customers in the fixed line area and roughly 4.5 million in mobile communications placed their trust in Telekom Austria - and we intend to remain a reliable partner for each and every one of them.

TELEKOM AUSTRIA AG

Consolidated Balance Sheets

(in EUR '000s)

	Dec. 31, 2002	Dec. 31, 2001
ASSETS		
Current assets		
Cash and cash equivalents	27,337	26,393
Short-term investments	5,327	0
Accounts receivable trade, net of allowances of EUR 74,945 and EUR 47,074 as of December 31, 2002 and 2001	451,934	455,272
Receivables due from related parties	6,723	105,979
Inventories	91,261	55,786
Deferred tax assets	4,657	3,822
Prepaid expenses	81,935	25,405
Taxes receivable	22,829	38,069
Assets held for sale	30,512	0
Other current assets	142,743	128,465
Total Current Assets	865,258	839,191
Property, plant and equipment, net	5,000,659	4,591,757
Goodwill	590,727	60,244
Other intangible assets, net	725,893	20,406
Investments in affiliates	8,642	510,682
Other investments	162,682	171,504
Deferred tax assets	193,414	323,911
Due from related parties	0	218,018
Other assets	987,063	991,609
TOTAL ASSETS	8,534,338	7,727,322
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current liabilities		
Short-term borrowings	1,309,905	978,092
Accounts payable-trade	649,890	439,529
Accrued liabilities	256,790	131,296
Payables to related parties	37,198	15,982
Deferred income	129,963	55,266
Income taxes payable	6,077	0
Other current liabilities	141,210	59,969
Total Current Liabilities	2,531,033	1,680,134
Long-term debt, net of current portion	2,079,885	2,005,226
Lease obligations, net of current portion	1,076,354	1,086,874
Employee benefit obligations	232,529	378,125
Other	104,997	76,569
Stockholders' Equity		
Common stock, issued and outstanding shares 500,000,000 with zero par value	1,090,500	1,090,500
Additional paid in capital	452,498	451,677
Retained earnings	969,626	956,837
Accumulated other comprehensive income (loss)	(3,084)	1,380
Total Stockholders' Equity	2,509,540	2,500,394
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	8,534,338	7,727,322

see accompanying notes to consolidated financial statements

TELEKOM AUSTRIA AG

Consolidated Statements Of Operations

(in EUR '000s, except share information)

Twelve months ended December 31, _____	2002	2001	2000
Operating revenues _____ a)	3,118,064	2,659,660	2,814,397
Operating expenses _____ b)			
Materials _____	(196,434)	(71,908)	(108,167)
Employee costs, including benefits and taxes _____	(571,329)	(567,128)	(856,718)
Idle workforce _____	(29,389)	(51,952)	(8,881)
Depreciation and amortization _____	(1,016,312)	(904,075)	(913,744)
Impairment charges _____	(41,871)	(145,126)	(2,145)
Net loss from retirement of long lived assets _____	(18,715)	0	0
Other operating expenses _____	(1,186,639)	(1,114,910)	(1,223,918)
Operating income (loss) _____	57,375	(195,439)	(299,176)
Other income (expense)			
Interest income _____ c)	88,191	82,683	78,552
Interest expense _____ d)	(244,628)	(240,986)	(239,914)
Dividend income _____	448	2,229	1,405
Equity in earnings of affiliates _____	140,543	195,450	36,314
Other, net _____	1,882	(44,005)	(38,196)
Income (loss) before income taxes, minority interests and extraordinary items _____	43,811	(200,068)	(461,015)
Income tax (expense) benefit _____	(26,112)	94,913	178,829
Minority interests _____	(4,910)	530	75
Income (loss) before extraordinary items _____	12,789	(104,625)	(282,111)
Extraordinary loss, net of tax _____	0	0	(3,453)
Net income (loss) _____	12,789	(104,625)	(285,564)
Basic and fully diluted earnings per share _____	0.03	(0.21)	(0.57)
Basic and fully diluted earnings per share excluding extraordinary items _____	0.03	(0.21)	(0.56)
a) includes revenues from related parties of _____	147,990	293,459	289,818
b) includes operating expenses from related parties of _____	178,857	314,769	309,094
c) includes interest income from related parties of _____	4,992	17,619	3,138
d) includes interest expense from related parties of _____	938	749	13,045

see accompanying notes to consolidated financial statements

Download the statement of operations as
Excel-file for further calculations under
<http://ar2002.telekom.at/income>



TELEKOM AUSTRIA AG

Consolidated Statements Of Cash Flows

(in EUR '000s)

Twelve months ended December 31, _____	2002	2001	2000
Cash generated from operations			
Net income _____	12,789	(104,625)	(285,564)
Adjustments to reconcile net income to cash generated from operations			
Depreciation, amortization and impairment charges _____	1,058,183	1,049,201	915,889
Employee benefit obligation - non cash _____	(49,840)	3,145	262,058
Allowance for doubtful accounts _____	39,184	14,818	26,483
Change in deferred taxes _____	33,498	(94,969)	(180,726)
Equity in earnings of affiliates in excess of dividends received _____	(45,801)	(80,731)	30,805
Stock purchase plan _____	0	0	7,196
Loss (gain) on sale of investments _____	195	0	(524)
Loss on disposal / retirement of equipment _____	17,280	38,922	35,161
	1,052,699	930,386	1,096,342
Changes in assets and liabilities, net of effect of businesses acquired			
Accounts receivable-trade _____	175,522	24,401	94,224
Due from related parties _____	3,759	69,050	(12,508)
Inventories _____	6,052	19,030	4,920
Prepaid expenses _____	(13,792)	(8,874)	2,005
Other assets _____	4,772	(47,568)	7,808
Accounts payable-trade _____	10,979	(85,734)	143,480
Employee benefit obligation _____	(102,565)	(73,592)	(61,985)
Accrued liabilities _____	3,881	(54,414)	38,723
Due to related parties _____	17,088	3,830	(27,054)
Other liabilities _____	230	170,490	7,282
	105,926	16,619	196,895
	1,171,414	842,380	1,007,673

Twelve months ended December 31, _____	2002	2001	2000
Cash from (used in) investing activities			
Capital expenditures, including interest capitalized _____	(560,742)	(459,039)	(601,538)
Acquisitions and investments (net of cash acquired) _____	(665,128)	(4,759)	(334,662)
Proceeds from sale of equipment _____	49,819	12,106	16,133
Purchase of investments - short-term _____	(1,629)	(2,790)	(176)
Purchase of investments - long-term _____	(1,107)	0	0
Sale (purchase) of American call for stock option plan _____	2,609	0	(12,527)
Proceeds from sale of investments - short-term _____	6	8	36,336
Proceeds from sale of investments - long-term _____	225	1,285	2,719
	(1,175,947)	(453,189)	(893,715)
Cash from (used in) financing activities			
Principal payments on bonds _____	(72,673)	(61,845)	(202,030)
Proceeds from issuance of long-term debt _____	127,857	0	377,553
Principal payments on long-term debt _____	(406,294)	(335,159)	(138,151)
Change in short-term bank borrowings _____	237,973	74,968	387,710
Changes in financing with ÖIAG _____	0	0	(492,516)
Changes from financing with mobilkom austria _____	114,921	(73,166)	268,520
Proceeds from sale of tax benefits _____	0	14,547	0
Dividends paid _____	0	0	(140,549)
	1,784	(380,655)	(476,503)
Effect of exchange rate changes _____	3,693	142	158
Net increase (decrease) in cash and cash equivalents _____	944	8,678	(362,387)
Cash and cash equivalents at beginning of period _____	26,393	17,715	380,102
Cash and cash equivalents at end of period _____	27,337	26,393	17,715

see accompanying notes to consolidated financial statements

TELEKOM AUSTRIA AG

Consolidated Statements Of Changes In Stockholder's Equity

(in EUR '000s, except per share information)

	COMMON STOCK		Additional	Retained	Accumulated	Total
	Number of	Par value	paid	earnings	other	stockholders'
	shares		in capital	(see note 20)	comprehensive	equity
					income (loss)	
Balance January 31, 2000	500,000,000	1,090,500	452,105	1,487,575	(107)	3,030,073
Dividends declared				(140,549)		(140,549)
Stock purchase plan			7,924			7,924
Change in stock options			(8,352)			(8,352)
Comprehensive loss						
Net loss				(285,564)		(285,564)
Unrealized losses on securities, net of						
EUR 62 deferred income tax					(121)	(121)
Foreign currency translation adjustment					201	201
Total comprehensive loss						(285,484)
Balance December 31, 2000	500,000,000	1,090,500	451,677	1,061,462	(27)	2,603,612
Comprehensive income						
Net loss				(104,625)		(104,625)
Net unrealized loss on securities, net of						
EUR 83 deferred income tax					(162)	(162)
Foreign currency translation adjustment					14,630	14,630
Accumulative effect of accounting change,						
net of EUR 5,646 deferred income tax					(10,959)	(10,959)
Unrealized net loss of hedging activities,						
net of EUR 954 deferred income tax					(2,102)	(2,102)
Total comprehensive loss						(103,218)
Balance December 31, 2001	500,000,000	1,090,500	451,677	956,837	1,380	2,500,394
Comprehensive income						
Sale of call options, net of						
EUR (424) income tax			821			821
Net income				12,789		12,789
Net unrealized loss on securities, net of						
EUR 362 deferred income tax					(687)	(687)
Foreign currency translation adjustment					(6,496)	(6,496)
Unrealized net gain of hedging activities,						
net of EUR (1,386) deferred income tax					2,719	2,719
Total comprehensive income						8,325
Balance December 31, 2002	500,000,000	1,090,500	452,498	969,626	(3,084)	2,509,540

see accompanying notes to consolidated
financial statements

TELEKOM AUSTRIA AG

Notes to Consolidated Financial Statements (continued)

(all amounts in EUR '000s)

(1) THE COMPANY AND SIGNIFICANT ACCOUNTING POLICIES

Description of business, organization and relationship with the Federal Republic of Austria

Telekom Austria AG and subsidiaries (the "Company" or "Telekom Austria") is engaged as a full service telecommunications provider of long distance, local and wireless services, corporate data communication services as well as internet services. The Company also provides services through pay phones and supplying telephones and technical equipment for telephone communication. These activities are conducted and operated primarily in Austria.

On May 1, 1996, Post und Telekom Austria Aktiengesellschaft ("PTA") was incorporated as successor to Post und Telegraphenverwaltung. The Poststrukturgesetz (Austrian Post Restructuring Act) provided the basis for the separation of PTA from the Federal Republic of Austria. PTA's operations included postal services, telecommunications, coach line services and other activities.

As of December 31, 1997, the postal services, coach line services and other non-telecommunication-related operations of PTA were transferred to different legal entities. The operations remaining related to the telecommunications business and were named Telekom Austria AG.

In 1998, Telecom Italia SpA ("Telekom Italia"), through its subsidiary STET Internationale Netherlands NV, became a strategic investor in the Company by acquiring 25% plus one share in Telekom Austria AG from the Austrian government. Telecom Italia previously owned 29.78% of Telekom Austria but sold 75,000,000 shares on November 4, 2002 in a private placement, reducing its level of ownership to 14.78% as of December 31, 2002.

The Federal Republic of Austria, through Österreichische Industrie-Holding AG ("ÖIAG"), continues to be a significant shareholder owning approximately 47.17% of the voting common stock of the Company. In addition to the transactions described in note (6), the Federal Republic of Austria authorizes and supervises the Rundfunk und Telekom Regulierungs - GmbH ("RTR"), which regulates certain activities of the Company. The government holds the taxing authority for the Austrian operations of Telekom Austria and imposes taxes such as income and value added taxes on the Company.

All of the Company's interests in mobile communications business are held through mobilkom austria AG & Co KG ("mobilkom KG") and mobilkom austria AG and its subsidiaries, collectively these companies are referred to as mobilkom austria. Prior to a change in tax status in the first quarter 2001 this group was called mobilkom austria AG (note (18)). Through June 28, 2002, the Company owned 75% minus one share of the common stock in mobilkom austria AG and a 74.999% interest in mobilkom KG. The remaining 25% plus one share of the common stock in mobilkom austria AG and 25.001% interest in mobilkom KG were held by AUTEL Beteiligungs GmbH ("Autel") a subsidiary of Telecom Italia Mobile SpA, a publicly-traded subsidiary of Telecom Italia.

On June 28, 2002, the Company acquired 100% of Autel, including its 25.001% equity interest in mobilkom austria, bringing its total interest in mobilkom austria to 100%. Consequently, the Company has consolidated mobilkom austria effective June 28, 2002. The consolidated statement of operations for the year ending December 31, 2002 reflects the Company's equity in earnings of mobilkom austria through June 28, 2002 and mobilkom austria's results of operations for the period June 28, 2002 until December 31, 2002.

Basis of presentation

The consolidated financial statements of Telekom Austria have been prepared in accordance with accounting principles generally accepted in the United States of America ("U.S. GAAP").

The Company has reclassified certain amounts in prior year financial statements to conform to the current year presentation.

In December 2001, the RTR enacted a regulation that revised the manner in which phone calls that are both i) initiated and terminated within Austria and ii) require inter-connection between multiple networks, are controlled. Historically, the Company served as a central hub through which all such calls were inter-connected based on agreements in place between the Company and Austrian alternative service providers or mobile phone operators. Accordingly, the Company would recognize revenue and a trade receivable on the inter-connection fee charged to the provider on whose network the call was initiated and recognize expense and a trade payable to the provider on whose network the call was terminated. As a result of the new regulation, the Company is no longer a party to such trans-

actions unless the call either originates or terminates on its network. Had the new regulation been in place during 2001 and 2000, revenues and expenses in the accompanying consolidated statements of operations would have been lower by EUR 257,243 and EUR 220,692 for the years ended December 31, 2001 and 2000, respectively, all of which relates to the fixed-line segment. This reduction in revenue would not have a significant impact on consolidated operating or net income:

Year ended December 31,	2001 adjusted	2001 as reported	2000 adjusted	2000 as reported
Revenues	2,402,417	2,659,660	2,593,705	2,814,397
Operating expenses	(2,597,856)	(2,855,099)	(2,892,881)	(3,113,573)
Operating income	(195,439)	(195,439)	(299,176)	(299,176)

Principles of consolidation

The consolidated financial statements include the accounts of Telekom Austria AG and all material subsidiaries. All significant inter-company transactions and balances have been eliminated in consolidation.

Investments in companies in which the Company has significant influence, but less than a controlling financial interest, are accounted for using the equity method. Under the equity method, only the Company's investments in and net amounts due to and due from the equity investee are included in the consolidated balance sheet. The Company's share of the investee's earnings is included in the consolidated operating results and only dividends, cash distributions, loans or other cash received from or paid to the investee are included in consolidated cash flows.

Cash and cash equivalents

The Company considers cash in banks and highly liquid investments with original maturities of three months or less as cash and cash equivalents. Money market deposits with original maturities of more than three months are classified as short-term investments along with marketable securities.

Marketable securities

Marketable debt and equity securities, other than investments accounted for by the equity method, are categorized as either available-for-sale or held-to-maturity. Securities classified as available-for-sale are reported at fair value at the balance sheet date and held-to-maturity securities are reported at amortized cost. Unrealized gains and losses on available-for-sale securities are included in accumulated other comprehensive income, net of applicable deferred tax.

Inventories

Inventories consist of merchandise sold in retail shops and material and spare parts used for the construction of networks, mainly for the Company's own use. Inventories are valued at the lower of cost or market, cost being determined on the basis of weighted average cost.

Property, plant and equipment

Property, plant and equipment are stated at cost, which includes certain costs that are capitalized during the installation and expansion of the telecommunication network including material, payroll, direct overhead and interest costs. Value added tax ("VAT"), which is charged by suppliers and refunded by the tax authorities, is not included in cost. Plant and equipment under capital leases are stated at the lower of present value of minimum lease payments or fair value.

Depreciation on plant and equipment is calculated on the straight-line method over the estimated useful lives of the assets. Plant and equipment under capital lease and leasehold improvements are amortized on the straight-line method over the lease term or the estimated useful life of the asset, whichever is shorter.

The useful lives are:

	Years
Transmission equipment	3-20
Cables and wires	10-20
Communication equipment	4-10
Software	4-8
Furniture, fixtures and other	3-8
Buildings and leasehold improvements	10-50

Maintenance and repairs are expensed as incurred while replacements and improvements are capitalized. The cost and accumulated depreciation of assets sold or retired are removed from the accounts, and any resulting gain or loss is reflected in other operating expenses. In the years ended before December 31, 2001 these gains or losses were reflected in other income or expense.

Goodwill and other intangible assets

The Company accounts for goodwill and other intangible assets in accordance with the provisions of SFAS No. 141, "Business Combinations", and SFAS No. 142, "Goodwill and Other Intangible Assets". These statements require that goodwill and other intangible assets with indefinite useful lives not be amortized, but tested for impairment in accordance with SFAS No. 142 at least annually, but also on an interim basis if an event or circumstance indicates that an asset may be impaired. Other intangible assets with estimable useful lives are amortized over their respective useful lives to their estimated residual values and reviewed for impairment in accordance with SFAS No. 144, "Accounting for the Impairment or Disposal of Long-Lived Asset".

The goodwill impairment test is a two-step evaluation. The first step requires the Company to compare the fair value and carrying value of any reporting unit, as defined by SFAS No. 142, to which goodwill has been allocated. If the fair value of the reporting unit is less than its carrying value, an indication of goodwill impairment exists and the second step of the impairment test must be performed. In the second step, the implied fair value of goodwill, determined by allocating the aggregate fair value of the reporting unit to all identifiable tangible and intangible assets, is compared to its carrying amount. Any shortfall in fair value compared to carrying value is recognized as an impairment loss.

In each reporting period, the Company is required to reevaluate its decision that an other intangible asset has an indefinite useful life each reporting period. If a nonamortizable intangible asset is subsequently determined to have a definite useful life, the intangible asset is written down to the lower of its fair value or carrying amount and amortized prospectively based on its remaining useful life. The impairment test is a comparison of the fair value of the intangible asset with its carrying value. Any excess of carrying value over fair value is recognized as an impairment loss.

Amortizable intangible assets are stated at cost and are amortized on the straight-line method over their estimated useful life, as shown below:

	Years
Wireless and wireline licenses	10-15
Patents and proprietary rights	5-20
Subscriber base	6
Other	10-30

Impairment of long-lived assets and long-lived assets to be disposed of

The Company accounts for long-lived assets in accordance with the provisions of SFAS No.144 "Accounting for the Impairment or Disposal of Long-Lived Assets". This statement requires that long-lived assets and certain identifiable intangibles be reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. Recoverability of assets to be held and used is measured by a comparison of the carrying amount of an asset to undiscounted future net cash flows expected to be generated by the asset. If such assets are considered to be impaired, the impairment to be recognized is measured as the amount by which the carrying amount of the assets exceeds the fair value of the assets. Assets held for sale are reported at the lower of the carrying amount or estimated proceeds less cost to sell.

Internally developed software

Certain direct and indirect development costs associated with internal-use software, including external direct costs of material and services, and payroll costs for employees devoting time to the software projects, are capitalized and amortized using the straight-line method over a period not exceeding four years, beginning when the asset is substantially ready for use. Costs incurred during the preliminary project stage, maintenance and training costs and research and development costs are expensed as incurred.

Advertising and promotional costs

Generally, advertising and promotional costs are expensed as incurred and totaled EUR 153,737, EUR 75,368 and EUR 73,920 for the years ended December 31, 2002, 2001 and 2000, respectively.

Research and development costs

Research and development costs are expensed as incurred and amounted to EUR 30,338, EUR 21,817 and EUR 28,190 for the years ended December 31, 2002, 2001 and 2000, respectively and are classified in the consolidated statement of operations according to their functional nature.

Income taxes

Income taxes are accounted for under the liability method. Deferred tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amount of an existing asset or liability and its respective tax basis and operating losses and tax credit carry-forwards. Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which these temporary differences are expected to be recovered or settled. The effect on deferred tax assets and liabilities of changes in tax rates is recognized as income or expense in the period that includes the enactment date.

Investment tax credits are recognized as a reduction of income taxes in the period in which those credits are granted.

Deferred income taxes on investments in pass-through enterprises are provided on the excess of the financial statement carrying amount of the investment, including the goodwill within the pass-through enterprise, over the tax basis of the investment.

Earnings per share

Basic and diluted earnings (loss) per share are computed by dividing consolidated net income (loss) by the weighted average number of common shares outstanding for the year. As the Company will not issue new shares for the stock option plan, but has purchased an American call option to satisfy the obligation, diluted earnings per share equals basic earnings per share, there were no potentially dilutive securities for any of the periods presented.

Concentration of risks

A portion of the Company's revenue is derived from services provided to other companies in the telecommunications industry, mainly to alternative telecommunication and cellular companies and internet online services. As a result, the Company has some concentration of credit risk in its customer base. The Company performs ongoing credit evaluations of its large customers' financial condition to support its receivables. As of the balance sheet dates, the Company does not have any significant concentrations of business transacted with a particular supplier or lender that could, if suddenly eliminated, severely impact operations. The Company also does not have a concentration of available sources of labor, services, franchises, or licenses or other rights that could, if suddenly eliminated, severely impact operations. The Company invests its cash with several high-quality credit institutions.

Foreign currency translation

Until December 31, 2001, the Company prepared its consolidated financial statements in Austrian schilling and then translated them into Euro using the official fixed exchange rate of 13.7603. Since January 1, 2002 the Company has adopted the Euro as its functional currency.

Foreign currency receivables and liabilities are recognized at the exchange rate applicable on the transaction date. Unrealized foreign currency losses and gains due to exchange rate fluctuations through the balance sheet date are recognized in the statement of operations.

The functional currency for the Company's foreign operations is the applicable local currency. The translation from the applicable foreign currencies to Euro is performed for assets and liabilities using the current exchange rate in effect at the balance sheet date. Revenues and expenses are translated using the weighted average exchange rate during the period. Resulting translation adjustments are recorded as other comprehensive income or loss.

Revenue recognition

The Company generates revenues from fixed line services to individuals, commercial and non-commercial organizations and other national and foreign carriers. Fixed line services include access fees, domestic and long distance services, including internet, local and fixed line to mobile calls, international traffic, voice value-added services, interconnection, call center services and public payphone services.

The Company recognizes long distance and local service revenue based upon minutes of traffic processed or contracted fee schedules when the services are rendered. Revenues due from other national and foreign carriers for incoming calls from outside the company's network are recognized in the period the call occurs.

Access fees, monthly base fees and lines leased to commercial customers are billed in advance resulting in deferred revenues. These fees are amortized over the period the service is provided. Cash discounts and incentives are accounted for as reductions in revenues when granted.

Product and other service revenues are recognized when the products are delivered and accepted by customers or when services are provided in accordance with contract terms.

The installation of customer lines in residences is a separate service and the Company provides this installation service in situations where it is not providing other services. Revenue on such installation work is recognized when the installation work is completed.

The Company has entered into a limited number of agreements with other telecommunication operators outside of Austria whereby the Company grants some pre-defined access to existing capacity on its physical network in return for similar access to the physical network of the counterparty. The Company does not recognize revenue or an obligation to the counterparty under such agreements apart from the trade revenue arising from subscriber transactions under normal tariff plans. The benefits and costs of such swap agreements will be reflected in the Company's results of operations in the periods in which they are realized through reduced inter-connection obligations and revenues, respectively.

The Company provides mobile communications services to individuals and commercial and non-commercial organizations through mobilkom austria. mobilkom austria generates revenue primarily by providing digital wireless services as well as value-added services, text and multimedia messaging, m-commerce and information services to a lesser extent, mobilkom austria generates revenue from the sale of wireless handsets.

The Company recognizes mobile usage and roaming service revenue based upon minutes of traffic processed or contracted fee schedules when the services are rendered. Revenues due from foreign carriers for international roaming calls are included in revenues in the period in which the call occurs.

Certain prepaid usage services in the mobile communication segment are billed in advance resulting in deferred revenues. These fees are amortized over the period the service is provided. Cash discounts and incentives are accounted for as a reduction in revenues when granted. Customer acquisition costs are recognized ratably over the contract period as marketing expense when a service contract exists.

Revenue and related expenses associated with the sale of wireless handsets to distributors are recognized when the products are delivered and accepted, as such sales are separate and distinct from the sale of wireless services.

Activation fees in excess of related expenses are deferred. Activation fees are recognized as revenues over the average expected contract term. When direct incremental expenses exceed revenues the amounts are not deferred.

Other service revenues are recognized when delivered and accepted by customers and when services are provided in accordance with contract terms.

Allowance for doubtful accounts

The Company estimates the portion of its outstanding receivables that are uncollectible based on aging schedules. Based on historical experience, uncollectibility is estimated as an increasing percentage of each aging category. Additionally, the Company records an allowance for specific customers if circumstances indicate non-collectibility.

The estimated allowance for doubtful accounts relating to receivables sold under the securitizations described in note (5) are recorded as accrued liabilities.

Stock compensation

The Company accounts for stock-based employee compensation in accordance with the intrinsic value method proscribed by Accounting Principles Board Opinion No. 25, Accounting for Stock Issued to Employees. Further, the Company accounts for its combination stock option and stock appreciation right plan in accordance with the provisions of Financial Accounting Standards Board ("FASB") Interpretation No. 28, Accounting for Stock Appreciation Rights and Other Variable Stock Option or Award Plans, which requires the plan be accounted for as a stock appreciation right plan.

The Company will recognize a liability and pro rata compensation expense in the first period in which it is probable that the target stock price criteria outlined in the plan will be met. Based on historical trends of the stock and current market conditions, no compensation expense has been recognized under the plan for any of the years presented. Application of the fair-value approach proscribed by SFAS No. 123, Accounting for Stock-Based Compensation, would not effect the amount of compensation expense recognized under this combination plan.

In 2000, under the stock purchase plan, each eligible employee was allowed to purchase shares worth up to a specified amount at a discount. The Company reported the whole discount as compensation expense in 2000 as no vesting period was agreed. Application of the fair-value approach proscribed by SFAS No. 123, Accounting for Stock-Based Compensation, would not effect the amount of compensation expense recognized under this combination plan.

Derivative financial instruments

Prior to the adoption of SFAS No. 133, "Accounting for Derivative Instruments and Hedging Activities", as amended by SFAS No. 137 and SFAS No. 138, derivative instruments which were not designated as hedges of specific assets, liabilities, or firm commitments were marked to market with any resulting gains or losses recognized in earnings. If there was a direct connection between a derivative instrument and an underlying transaction and a derivative was so designated, gains and losses did not affect earnings until the underlying transaction was realized.

Effective January 1, 2001, the Company adopted SFAS No. 133, as amended, which requires all derivative instruments, such as interest rate swap contracts and foreign-currency exchange contracts, be recognized in the financial statements and measured at fair value regardless of the purpose or intent for holding them. Changes in the fair value of derivative financial instruments are recognized periodically either in income or stockholders' equity (as a component of other comprehensive income), depending on whether the derivative is being used to hedge changes in fair value or cash flows. For derivatives designated as fair value hedges, changes in fair value of the hedged item and the derivative are recognized currently in earnings. For derivatives designated as cash flow hedges, fair value changes of the effective portion of the hedging instruments are recognized in accumulated other comprehensive income in the balance sheet until the hedged item is recognized in earnings. The ineffective portion of the value changes are recognized in earnings immediately. SFAS No. 133 also requires that certain derivative instruments embedded in host contracts be accounted for separately as derivatives.

Upon the adoption of SFAS No. 133, the Company had cash flow hedges only and, therefore, recorded a transition loss of EUR 11,492, net of tax of EUR 5,920, related to the interest rate swap contracts and a transition gain of EUR 533, net of tax of EUR 275, related to the cross currency swap agreements, in other comprehensive income. Additionally, the adoption resulted in the recognition of a derivative instrument asset of EUR 48,359 and a derivative liability of EUR 17,412.

The Company has entered into various foreign currency forward contracts which are accounted for as free standing derivatives. These forward contracts serve as economic hedges of the Company's operating exposure to fluctuations in foreign currencies. Changes in the fair values of such forward contracts are recorded directly in income.

Fair value of financial instruments

The carrying amounts of cash, accounts receivable, accounts payable, receivables due from and payables due to related parties and accrued liabilities approximate their fair value. The fair values of securities held-to-maturity and securities available-for-sale is based on quoted market rates. The fair value of long-term debt and swap agreements is determined based on the cash flows from such financial instruments discounted at the Company's estimated current interest rate to enter into similar financial instruments.

The fair value of some investments is estimated based on quoted market prices. For other investments, mainly in unconsolidated subsidiaries and equity investments, for which there are no quoted market prices, the Company estimates the fair value to approximate the carrying value based on the audited financial statements, if available. Those investments are tested for impairment if losses are generated over an extended period or the business environment changes materially.

Use of estimates

The preparation of financial statements in conformity with U.S. GAAP requires the use of estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results could differ from these estimates.

Changes in accounting principles

Effective January 1, 2002 the Company adopted SFAS Nos. 141, 142, 144 and EITF 01-9, "Accounting for Consideration Given by a Vendor to a Customer (Including a Reseller of the Vendor's Products)".

The adoption of SFAS No. 141 changed, prospectively, the manner in which the Company accounts for business combinations, primarily relating to the identification and recognition of goodwill and intangible assets.

As discussed in "Goodwill and other intangible assets" above, the adoption of SFAS No. 142 changed the manner in which the Company accounts for goodwill and intangible assets acquired in business combinations. Upon adoption of SFAS No. 142, the Company ceased amortization of goodwill and did not recognize amortization on the indefinite lived intangible assets acquired in the acquisition of the outstanding interest in mobilkom austria. The following table reconciles reported net income (loss), basic earnings (loss) per share and diluted earnings (loss) per share to the corresponding adjusted amounts excluding the effects of amortization recognized for goodwill in prior years:

Year ended December 31,	2002	2001	2000
Reported net income (loss)	12,789	(104,625)	(285,564)
Add back amortization			
Goodwill		50,444	24,366
Goodwill included in equity in earnings from mobilkom austria		25,362	1,267
Goodwill included in equity in earnings, others		1,639	13,933
Adjusted net income	12,789	(27,180)	(245,998)
Basic and diluted earnings (loss) per share			
Reported net income (loss)	0.03	(0.21)	(0.57)
Add back amortization			
Goodwill		0.10	0.05
Goodwill included in equity in earnings from mobilkom austria		0.05	0.00
Goodwill included in equity in earnings, others		0.00	0.03
Adjusted net income	0.03	(0.06)	(0.49)

Adoption of SFAS No. 144, "Accounting for the Impairment or Disposal of Long-Lived Assets", changed, prospectively, the criteria which must be met to classify and account for assets to be disposed of by sale as assets held-for-sale, requires assets meeting the held-for-sale criteria be reported separately in the balance sheet and proscribes various incremental disclosure requirements. SFAS No. 144 also expands the concept of discontinued operations to include components of an entity that comprise operations and cash flows that can be clearly distinguished from the rest of the entity and eliminates any accrual of future operating losses associated with discontinued operations. As a result of the adoption of SFAS No. 144, the Company classified assets associated with previously initiated disposal activities meeting the criteria specified in SFAS No. 144 as held-for-sale separately in the consolidated balance sheet. Aside from their required classification in the balance sheet, such assets will continue to be accounted for in accordance with the provisions of SFAS No. 121, "Accounting for the Impairment of Long-Lived Assets and for Long-Lived Assets to be Disposed Of", until disposal. In addition, under SFAS No. 144 the Company included "net loss from retirement of Long-Lived Assets" in arriving at operating income in 2002. In prior years such losses were included in "other, net".

EITF 01-9, addresses the income statement characterization of cash consideration given by a vendor to a customer, specifically whether that consideration should be presented in the vendor's income statement as a reduction of revenue or as a cost or expense, and when to recognize the "cost" of a sales incentive and how to measure it. The issue concludes that cash consideration given by a vendor to a customer is presumed to be a reduction of revenue unless the vendor receives an identifiable benefit sufficiently separable from the customer's purchase of the vendor's products and the vendor can reasonably estimate the fair value of that benefit. The adoption of EITF Issue 01-9 did not have a material impact on the Company's financial statements.

In December 2002, the Company adopted SFAS No. 148, "Accounting for Stock-Based Compensation - Transition and Disclosure". SFAS No. 148 amends SFAS No. 123 to provide alternative methods of transition for a voluntary change to the fair value based method of accounting for stock-based employee compensation and proscribes specific guidance on the content, placement and format of required disclosures. The adoption of SFAS No. 148 did not have a material impact on the Company's financial statements.

New accounting pronouncements

In August 2001, the FASB issued SFAS No. 143, "Accounting for Asset Retirement Obligations". This statement addresses financial accounting and reporting for obligations associated with the retirement of tangible long-lived assets and the associated asset retirement costs. SFAS No. 143 requires an enterprise to record the fair value of an asset retirement obligation as a liability in the period in which the entity incurs a legal obligation associated with the retirement of a tangible long-lived asset. SFAS No. 143 also requires the enterprise to record the contra to the initial obligation as an increase to the carrying amount of the related long-lived asset and to depreciate that cost over the remaining useful life of the asset. The liability is adjusted at the end of each period to reflect the passage of time and changes in the estimated future cash flows underlying the initial fair value measurement. Enterprises are required to adopt SFAS No. 143 for fiscal years beginning after June 15, 2002. The Company will adopt SFAS No. 143 as of January 1, 2003 and is currently evaluating the impact of the adoption.

In June 2002, the FASB issued SFAS No. 146, "Accounting for Costs Associated with Exit or Disposal Activities". SFAS No. 146 replaces previous accounting guidance provided by EITF 94-3, "Liability Recognition for Certain Employee Termination Benefits and Other Costs to Exit an Activity (including Certain Costs Incurred in a Restructuring)", and requires companies to recognize costs associated with exit or disposal activities only when a liability for these costs is incurred rather than at the date of a commitment to an exit or disposal plan. Examples of costs covered by SFAS No. 146 include lease termination costs and certain employee severance costs that are associated with a restructuring, discontinued operations, plant closings, or other exit or disposal activities. The provisions of SFAS No. 146 are to be applied prospectively to exit or disposal activities initiated after December 31, 2002. Although management believes the adoption of SFAS No. 146 will not have a material impact on the Company's financial statements, adoption of the statement will result in differences in the timing of recognition and measurement of expenses relating to exit and disposal activities.

In November 2002, the FASB issued Interpretation ("FIN") No. 45, "Guarantor's Accounting and Disclosure Requirements for Guarantees, Including Indirect Guarantees of Indebtedness of Others", which adopts a characteristics based approach to identify contracts that qualify as guarantees, clarifies that a guarantor is required to recognize a liability for the non-contingent aspect of most guarantees at inception of the guarantee, provides guidance regarding measurement of any such liability and enhances the disclosure requirements of guarantors. The provisions of FIN No. 45 applicable to initial recognition and measurement of non-contingent liabilities associated with a guarantee are applicable to guarantees issued or modified after December 31, 2002. Management believes the adoption of these provisions will not have a material effect on the Company's financial statements. The disclosure requirements of FIN No. 45 are effective for all interim and annual periods ending after December 15, 2002 and have been fully incorporated in these financial statements.

In November 2002, the Emerging Issues Task Force reached consensus on EITF Issue 00-21, "Accounting for Revenue Arrangements with Multiple Deliverables", which addresses when and, if so, how an arrangement involving multiple deliverables should be divided into separate units of accounting. The Issue also provides guidance with respect to the effect of certain customer rights due to vendor nonperformance on the recognition of revenue allocated to delivered units of accounting and addresses the impact on the measurement and/or allocation of arrangement consideration of customer cancellation provisions and consideration that varies as a result of future actions of the customer or the vendor. Finally, this Issue provides guidance with respect to the recognition of the cost of certain deliverables that are excluded from the revenue accounting for an arrangement. The Issue is effective for annual reporting periods beginning after June 15, 2003. The Company has not yet determined the impact, if any, of the expected adoption of Issue 00-21.

In January 2003, the FASB issued FIN No. 46, "Consolidation of Variable Interest Entities", which provides guidance regarding the consolidation of certain entities in which equity investors do not have the characteristics of controlling financial interest or do not have sufficient equity at risk for the entity to finance its activities without additional subordinated financial support from other parties. FIN No. 46 introduces the concept of variable interest entities, explains how to identify a variable interest entity, and requires that the primary beneficiary of any variable interest entity consolidate that entity. FIN No. 46 also requires certain disclosures regarding variable interest entities if the reporting entity is the primary beneficiary of the variable interest entity or if that enterprise holds a significant variable interest in a variable interest entity but is not the primary beneficiary. A transferor of financial assets to a

qualifying special-purpose entity ("QSPE") subject to the reporting requirements of SFAS No. 140, "Accounting for Transfers and Servicing of Financial Assets and Extinguishments of Liabilities", is not required to consolidate that QSPE. The accounting provisions of FIN No. 46 are effective immediately for all variable interest entities created after January 31, 2003 and no later than the beginning of the first interim or annual reporting period beginning after June 15, 2003 for variable interest entities created before February 1, 2003. Certain disclosure provisions of this interpretation are effective for financial statements initially issued after January 31, 2003. The Company does not believe the adoption of FIN No. 46 will have a material effect on its financial statements.

(2) BUSINESS COMBINATION

All acquisitions have been accounted for under the purchase method, with the excess of the purchase price over the estimated fair value of the net assets acquired accounted for as goodwill. The results of operations of the acquired businesses are included in the consolidated financial statements from the dates of the acquisition.

mobikom austria operates mobile telecommunication networks and provides ancillary services in Austria, Croatia, Slovenia and Liechtenstein. The operations include wireless internet access.

Prior to June 28, 2002, the Company held a 74.999% interest in mobikom austria. Due to certain substantive participating rights held by the minority shareholder, the Company's investment in mobikom austria was accounted for under the equity method. These participation rights included significant blocking rights over operating decisions including operating budgets, capital spending, senior management positions, strategy and dividend distributions.

On June 28, 2002, the Company acquired 100% of Autel, which held a 25.001% equity interest in mobikom, from STET Mobile Holding NV, an affiliate of Telecom Italia, bringing its total interest in mobikom austria to 100%. Consequently, the Company has consolidated the balance sheet of mobikom austria as of December 31, 2002. The consolidated statement of operations for the year ending December 31, 2002 reflects the Company's equity in earnings of mobikom austria through June 28, 2002 and mobikom austria's results of operations for the period June 28, 2002 until December 31, 2002. As a result of the acquisition, the Company gained strategic and operating control of mobile communications service providers in Austria, Croatia, Slovenia and Liechtenstein.

Autel is a non-operating holding company, the sole purpose of which was to hold its parent's investment in mobikom austria. The aggregate purchase price was EUR 693,064, including EUR 3,064 of acquisition related costs. The following table summarizes the final fair value of the assets acquired and liabilities assumed at the date of acquisition.

Current assets	120,558
Tangible assets	229,774
Intangible assets	388,165
Goodwill	431,304
Other long-term assets	64,012
Current liabilities	(167,781)
Long-term liabilities	(238,640)
Deferred tax liability from acquisition	(134,328)
Net assets acquired	693,064

Goodwill of EUR 102,957 is expected to be deductible for tax purposes.

The estimated proportional fair value, by class, of the intangible assets acquired through the acquisition of Autel are as follows:

Wireless operating licenses	101,863
Subscriber base	121,241
Brand name	159,161
Other	5,900
	388,165

The intangible asset recognized related to brand name is not subject to amortization. Intangible assets recognized related to wireless operating licenses and subscriber base have weighted average useful lives of 14.8 and 6.0 years, respectively. Other intangible assets are comprised primarily of easement rights and have a weighted average useful life of 5.3 years. The weighted average useful life of acquired amortizable intangible assets in total is 11.0 years.

The pro forma consolidated results of operations for the years ended December 31, 2002 and 2001, as if Autel had been acquired at the beginning of 2002 and 2001, respectively, are estimated to be:

	2002	2001
Revenues	3,908,226	3,943,455
Net income	29,844	36,084
Net income excluding amortization of goodwill and taxes thereon	29,844	105,479
Basic and fully diluted earnings (loss) per share	0.06	0.07
Basic and fully diluted earnings per share excluding amortization of goodwill and taxes thereon	0.06	0.21

The pro forma results include amortization of the intangible assets presented above, interest expense on debt assumed to finance the purchase and income taxes as well as other adjustments including amortization of fair value adjustments to long-term debt and pension benefit obligations and the reversal of deferred gain not representing a liability. The pro forma results of operations are not necessarily indicative of what actually would have occurred if the acquisition had been completed as of the beginning of each period presented, nor are they necessarily indicative of future consolidated results. During 2001, an unusual charge was made due to the change in tax status of mobilkom austria, as described in note (18).

On May 21, 2002, the Company purchased the remaining 2.5% interest of Jet2Web Internet Services GmbH, a consolidated Austrian internet subsidiary. The Company acquired this interest for total consideration of EUR 7,851, consisting of EUR 6,761 in cash, communication services with a fair value of EUR 1,090 and the assumption of net liabilities in the amount of EUR 860. Given the insignificant percentage of voting shares acquired, and considering the level of separately identifiable intangible assets, the Company recorded the total consideration paid as goodwill. The acquisition was to eliminate the minority interest.

On January 1, 2002 the Company sold a 75% interest in Output Service GmbH ("OSG"), a formerly consolidated subsidiary, for EUR 26. The Company accounts for its remaining 25% interest in OSG using the equity method of accounting.

In January 2002, the Company purchased 26% of World direct eBusiness Solutions GmbH ("World direct") for EUR 565 and signed a purchase option agreement for an additional 25% interest. The purchase price for the additional 25.1% interest was fixed at EUR 534 and prepaid. The Company is providing all financial funds to and consolidates World direct, since it is effectively controlled by the Company.

The following acquisitions were completed by mobilkom austria prior to June 28, 2002. These acquisitions impacted the Company's equity in earnings of mobilkom austria as well as mobilkom austria's basis in the acquired companies and, therefore, are presented for information purposes. All amounts noted below represent 100% of the acquisition as recorded in the books and records of mobilkom austria while, as described above, the Company's proportionate share of mobilkom austria's earnings was only 74.999% at the time the acquisitions were completed.

On May 28, 2002, mobilkom austria purchased an additional 5% of VIPnet d.o.o. ("VIPnet"), a consolidated Croatian subsidiary, for EUR 11,076 resulting in goodwill recognized of EUR 7,326 and bringing its ownership interest to 71%. Management paid a purchase price exceeding net assets acquired because a long-term strategic aim is to acquire all of the remaining stock held by other shareholders.

On February 27, 2001, mobilkom austria purchased, through intermediate subsidiaries, 75% plus one share of Si.mobil telekomunikacijske storitve d.d., Ljubljana ("Si.mobil"), a cellular phone service provider in Slovenia with 15% market share and approximately 155,000 customers, for EUR 145,811 in cash plus assumption of the seller's shareholder loan totaling EUR 3,591. mobilkom austria began immediately to manage the business and controls the board of directors. As the acquisition price was contractually fixed and management's intent was to acquire the remaining 25% less one share, the Company recorded the acquisition of 100% of Si.mobil and recognized a liability in the amount of the contractually agreed purchase price totaling EUR 42,795. Accordingly, the total purchase price of

EUR 188,606 was allocated to the assets and liabilities acquired based on fair market value and the balance of EUR 186,157 was recorded as goodwill.

Subsequent to the closing, mobilkom austria committed to provide Si.mobil with shareholder loans totaling EUR 117,209, EUR 58,000 of which was advanced to Si.mobil in 2002 and EUR 52,169 in 2001.

During 2002, the Company renegotiated the final closing of the remaining 25% less one share of Si.mobil. A new agreement was reached stating that the final closing was postponed until 2007.

(3) INVESTMENTS IN AFFILIATES

As of December 31, 2002, the investments in affiliates comprise 26.0% interests in Herold Business Data ("Herold"), Omnimedia Werbegesellschaft mbH ("Omnimedia") and 25.1% interest in OSG and a 49.0% interest in paybox österreich AG ("Paybox").

In 1998, the Company acquired its 26% interest in Herold, which is engaged in the media and information business and is the provider of the telephone directory in Austria including electronic versions. Goodwill was amortized over five years and amortization for each of the years 2001 and 2000 was EUR 841. As of January 1, 2002 the Company ceased amortization in accordance with the provisions of SFAS Nos. 141 and 142.

In October 2001, the Company purchased 26% of the common stock of Omnimedia, a marketing and advertising company for EUR 3,401. In accordance with SFAS Nos. 141 and 142, goodwill totaling EUR 3,161 was not amortized in 2001 and 2002.

In July 2002, the Company sold its 49% interest in Walky Talky Telekom GmbH, which was acquired in April 2000 for a purchase price of EUR 7,703 for one Euro and realized a loss of EUR 252 recorded in equity of earnings of affiliated companies.

The acquisition of a 49% interest in Paybox for a total purchase price of EUR 5,699 was completed by mobilkom austria prior to June 28, 2002. This acquisition impacted the Company's equity in earnings of mobilkom austria and, therefore, is presented for information purposes. An impairment charge of EUR 4,462 was recorded in the year ended December 31, 2002, as the business model assuming the market roll-out of payments via mobile phones was materially changed due to the decision of the majority shareholder to cancel the support of the main products.

A summary of aggregated financial information as reported by equity investees is as follows:

Year ended December 31, _____	2002	2001	2000
Revenues _____	68,045	67,491	333,561
Operating income (loss) _____	7,833	10,922	(35,306)
Net income (loss) _____	8,285	6,867	(45,790)
At December 31, _____	2002	2001	
Total current assets _____	81,914	86,185	
Total assets _____	92,911	97,382	
Current liabilities _____	70,129	72,021	
Long-term debt _____	3,846	2,921	
Total liabilities _____	73,975	74,942	
Total stockholders' equity _____	18,936	22,440	

(4) MARKETABLE SECURITIES

Debt securities originating from cross border lease transactions entered into in 1998 and 1999 (see note (14)) are classified as held-to-maturity as the Company is contractually obligated to hold these securities until maturity. The securities are bonds of triple A rated issuers and held by a custodian. Through a further asset based swap the cash inflows from the securities are transformed into the cash flow stream required to match a specified portion of the lease payments. The securities are pledged to a counter-party in the swap agreement. No sales of securities occurred in 2002, 2001 and 2000. The interest rates on the securities are fixed and range from 5.65% to 9.01%. Accrued interest is recorded as interest income. The securities will mature between 2006 and 2011.

	Amortized cost	Gross unrealized holding gains	Gross unrealized holding losses	Fair value
At December 31, 2002				
Non-current assets				
Available-for-sale				
debt securities	5,908	298	1	6,205
equity securities	2,456	0	258	2,198
mutual funds	11,516	37	1,008	10,545
Held-to-maturity	138,454	21,015	0	159,469
At December 31, 2001				
Non-current assets				
Available-for-sale				
mutual funds	8,747	20	244	8,523
Held-to-maturity	158,274	4,308	0	162,582

The contractual maturity of debt securities classified as held-to-maturity were as follows at December 31, 2002.

	Amortized cost	Fair value
Held-to-maturity		
Due after one year through five years	6,558	7,354
Due after five years through ten years	131,896	152,115
	138,454	159,469

Proceeds from sales of available-for-sale securities amounted to EUR 7,070 and EUR 8 in 2002 and 2001, respectively. Gross realized gains from sales of available-for-sale securities were EUR 46 in 2002. In 2001 and 2000 no such gains or losses occurred. The specific identification method was used to determine the cost in computing realized gains and losses.

(5) ACCOUNTS RECEIVABLE - TRADE

The roll forward of the allowance for accounts receivable trade is as follows:

	2002	2001
Allowance beginning of the year	47,074	72,202
Foreign currency adjustment	2	(34)
Change in consolidated entities	32,838	0
Reclassification to accruals for sold receivables	(26,485)	0
Charged to expenses	39,184	15,069
Amounts written-off	(17,668)	(40,163)
Allowance at the end of the year	74,945	47,074
	December 31,	December 31,
	2002	2001
Accounts receivable trade, gross	526,879	502,346
Allowances	(74,945)	(47,074)
Accounts receivable trade, net	451,934	455,272

Of these receivables EUR 219,920 are held-for-sale due to the securitization program described in the following paragraphs.

In January 2002, the Company entered into a revolving period securitization and sold trade receivables to a Qualifying Special Purpose Entity (QSPE) unrelated to the Company. The Company retains servicing responsibilities relating to the sold receivables. Solely for the purpose of credit enhancement from the perspective of the QSPE, the Company retains interests in the sold receivables (retained interests). These retained interests are initially measured at estimated fair values, which the Company believes approximate

historical carrying values, and are subsequently measured based on a periodic evaluation of collections and delinquencies. A maximum of EUR 250,000 may be transferred to the trust under the program. Although mobilkom austria has the same contract with a different trust the total amount is limited to EUR 290,000 for Telekom Austria and mobilkom austria together. The maximum amount for mobilkom austria is EUR 80,000. At December 31, 2002, retained interest occurred for mobilkom austria as the program limit was exceeded by EUR 7,930. Given the short-term, lower-risk nature of the assets securitized, market movements in interest rates would not impact the carrying value of the Company's retained interests.

The Company routinely evaluates its portfolio of trade receivables for risk of non-collection and records an allowance for doubtful accounts to reflect the carrying value of its trade receivables at estimated net realizable value. Pursuant to the provisions of the revolving-period securitizations, the Company effectively bears the risk of potential delinquency or default associated with trade receivables sold or interests retained. Accordingly, in the normal course of servicing the assets sold, the Company evaluates potential collection losses and delinquencies and updates the estimated fair value of the Company's retained interest.

The allowances recorded for sold receivables are classified as accrued liabilities. At December 31, 2002 the accrual totaled EUR 62,481 of which EUR 36,860 relates to mobilkom austria.

In accordance with SFAS No. 140, "Accounting for Transfers and Servicing of Financial Assets and Extinguishment of Liabilities", the Company has not recorded a servicing asset as management believes it is not practicable to estimate this value given that verifiable data as to the fair value of the compensation and or cost related to servicing the types of the assets sold is not readily obtainable.

In the period ended December 31, 2002, the net cash received from the QSPE develops as follows:

Gross trade receivables sold to QSPE	2,044,513
Collections made on behalf of and paid to the QSPE	(1,732,372)
Deferred purchase price	(104,616)
Unearned discount	(4,100)
Liquidity and program fees	(8,499)
Increase in retained interests	(7,930)
Net cash received from QSPE during the period	186,996

Cash settlement with the QSPE takes place on a monthly basis. Gross trade receivables sold represent the fair value of billed and unbilled receivables during the period ended December 31, 2002 to the QSPEs. As the Company services these receivables, collection of the receivables previously sold is made on behalf of the QSPE. The Company recorded discounts, liquidity and program fees of EUR 8,427 for the period ended December 31, 2002 related to the securitization of trade receivables in interest expense in the consolidated statement of operations.

(6) RELATED PARTY TRANSACTIONS

The disclosures below present balances and transactions relating to the immediate shareholder ÖIAG and its subsidiary Österreichische Post AG as "ÖIAG", while other government agencies and government-owned entities are for practical reasons not disclosed. None of the individual accounts associated with government agencies or government-owned entities is considered significant to the Company.

The majority of the related party transactions were carried out with mobilkom austria through June 28, 2002. Since June 28, 2002, mobilkom austria is consolidated and intercompany transactions are eliminated in consolidation. The Company charged mobilkom austria for interconnection fees, voice telephony, leased lines, rent, repair and other services. mobilkom austria charged the Company mainly for interconnection fees and handsets.

Österreichische Post AG and its subsidiaries ("the Post"), a subsidiary of ÖIAG, which provide postal services, charged the Company for services received such as postal charges, rent, repair and administration. The Company charged the Post for IT support, voice telephony, technical services, rent, repair and other services.

The terms of the services provided by Telekom Austria to government entities are generally based on standard pricing policies. However, the Company is obligated to provide voice telephone services for disadvantaged individuals at reduced tariffs for which it is entitled to an appropriate compensation from the government on a contractual basis. The reimbursement was EUR 41,670,

EUR 43,032 and EUR 83,574 in 2002, 2001 and 2000, respectively. The reimbursement in 2000 was a result of negotiations with the government which led to an additional one time payment for the remaining amounts for the years 1998, 1999 and 2000. Beginning January 1, 2001, the new contract with the government specifies the reimbursement of Euro 13.81 per customer per month, which is recorded as revenue in the service period.

Telecom Italia and subsidiaries charged the Company for technical and management services and interconnection fees while the Company charged Telecom Italia for interconnection services.

One of the Company's consolidated subsidiaries, Telekom Finanzmanagement GmbH ("TFG"), provides treasury services for the Company and, until December 29, 2000, for subsidiaries of ÖIAG. As of December 31, 2001, the Company held investments accounted for under the equity method of accounting in an amount of EUR 510,682, essentially all of which related to mobilkom austria. As mobilkom austria is consolidated since June 28, 2002 investments in affiliates only include investment interests described in note (3) and amount to EUR 8,642.

On June 28, 2001, a partner in a law firm which provides legal services to the Company was elected to the supervisory board. In 2002 and 2001 (since the day of appointment), respectively, the Company was charged EUR 993 and EUR 409 for legal services by that law firm.

The Company has entered into agreements with Telecom Italia whereby the Company grants some predefined access to existing capacity on its physical network in return for similar access to the physical network of Telecom Italia. The Company does not recognize revenue or an obligation under such agreements apart from the trade revenue arising from subscriber transactions under normal tariff plans. The benefits and costs of such swap agreements will be reflected in the Company's results of operations in the periods realized through reduced interconnection obligations and revenues, respectively.

The following is the detail of the accounts receivable with related parties:

At December 31,	2002	2001
ÖIAG	4,296	11,590
Telecom Italia	435	0
Affiliated companies and other	1,992	235
mobilkom austria - accounts receivable	0	25,691
mobilkom austria - financing short-term	0	68,463
Total receivables due from related parties	6,723	105,979
mobilkom austria - financing long-term	0	218,018

The following is the detail of the accounts payable to related parties:

At December 31,	2002	2001
ÖIAG	4,997	4,761
Telecom Italia	0	1,663
Affiliated companies and other	32,201	8,723
mobilkom austria - accounts payable	0	835
Total	37,198	15,982

As of December 31, 2002, EUR 25,032 of the total balance due to affiliated companies and other relate to Omnimedia, which mainly provides marketing and advertising services to the Company.

The following is the detail of revenues and expenses charged from and to related parties:

Year ended December 31, _____	2002	2001	2000
Revenues			
mobikom austria _____	72,879	222,231	216,727
ÖIAG _____	56,660	55,344	63,905
Telecom Italia _____	14,361	13,448	9,186
Other _____	4,090	2,436	0
Total _____	147,990	293,459	289,818
Interest income			
mobikom austria _____	4,988	17,619	3,010
Other _____	4	0	128
Total _____	4,992	17,619	3,138
Expenses			
mobikom austria _____	43,590	207,172	221,005
ÖIAG _____	44,989	66,421	61,490
Telecom Italia _____	23,559	25,841	26,599
Other _____	66,719	15,335	0
Total _____	178,857	314,769	309,094
Interest expense			
mobikom austria _____	837	731	386
ÖIAG and other _____	101	18	12,659
Total _____	938	749	13,045

For the year ended December 31, 2002, EUR 55,289 of other expenses mainly relate to advertising and marketing services provided by Omnimedia.

(7) INVENTORIES

Inventories consist of:

At December 31, _____	2002	2001
Spare parts, cables and supplies _____	36,830	47,758
Merchandise _____	54,431	8,028
Total _____	91,261	55,786

(8) GOODWILL AND OTHER INTANGIBLE ASSETS

Other intangible assets consist of:

At December 31, _____	2002	2001
Wireless and wireline licenses _____	544,893	650
Patents and proprietary rights _____	47,100	1,205
Brandnames _____	158,934	0
Subscriber base _____	120,999	0
Other _____	37,952	28,956
Total intangibles _____	909,878	30,811
Less accumulated amortization _____	(183,985)	(10,405)
Net intangibles _____	725,893	20,406

Amortization expense was EUR 27,410, EUR 53,339 and EUR 26,802 for the years 2002, 2001 and 2000, respectively.

In 2002, the main additions to licenses, brandnames and subscriber base relate to the acquisition of mobilkom austria. Information regarding intangible assets acquired by mobilkom austria prior to June 28, 2002 is presented for information purposes as such activity impacted the Company's equity in earnings. All amounts noted below represent 100% of the acquisition as recorded in the books and records of mobilkom austria while, as described above, the Company's proportionate share of mobilkom austria's earnings was only 74.999% at the time the acquisitions were completed.

Licenses are recorded at cost and amortized on a straight-line basis over the estimated useful life. In November 2000, mobilkom austria purchased a UMTS license for Austria with a term of 20 years for EUR 171,540. Interest in the amount of EUR 6,495 and EUR 8,283 was capitalized in 2002 and 2001, respectively, on the UMTS license. The UMTS license was not amortized in 2002, because it has not been placed in commercial services.

The Company holds licenses to operate as a mobile telecommunication service provider from the Austrian, Croatian and Slovenian communication commissions. The Croatian license, granted for 10 years, was acquired for EUR 13,672 in 1998. Licenses from the Slovenian Government granted in 2001 and 1999 for 15 years, were acquired for EUR 4,637 and EUR 11,121, respectively.

Upon adoption of SFAS 142 on January 1, 2002, as described in note (1), the Company ceased amortizing goodwill. The following tables illustrate the changes in net book value of goodwill by segment for the period ended December 31, 2002 and 2001, respectively:

	Internet	Data communications	Mobile communications	Total
Goodwill, January 1, 2002	59,904	340	0	60,244
Acquisitions	8,724	1,100	563,153	572,977
Impairment	(40,893)	0	0	(40,893)
Translation adjustment	1,620	0	(3,221)	(1,601)
Goodwill, December 31, 2002	29,355	1,440	559,932	590,727

	Internet	Data communications	Total
Goodwill, January 1, 2001	216,785	453	217,238
Acquisitions	477	0	477
Disposals	(115)	0	(115)
Amortization	(50,331)	(113)	(50,444)
Impairment	(119,950)	0	(119,950)
Translation adjustment	13,038	0	13,038
Goodwill, December 31, 2001	59,904	340	60,244

In 2002 and 2001, impairment charges in the amount of EUR 40,441 and EUR 119,950 were recorded for goodwill originally recorded from the acquisition of Czech On Line ("COL"). The acquisition was based on a business plan assuming the full liberalization of the Czech market in the year 2001. As this was first postponed to the year 2002 and currently the liberalization of the Czech market overall remains unsatisfactory with regard to interconnection and limited wholesale offers to alternative operators, the business of COL has not developed as originally expected. This resulted in an impairment charge in both years subsequent to the acquisition. The valuation of the reporting unit in 2002 was based on forecasted cash flows and used the weighted average cost of capital employed of 13.2% as discount rate. The impairment loss was recorded in the internet segment in 2002. In 2001 the impairment losses of goodwill were originally not allocated to segments, but were reclassified in 2002 to the segments for comparability purposes.

The gross carrying amounts and accumulated amortization of intangible assets subject to amortization, by major class, are as follows:

	Acquisition cost	Accumulated amortization	Carrying value
At December 31, 2002			
Wireless and wireline licenses	544,893	(139,043)	405,850
Subscriber base	120,999	(10,083)	110,916
Other	85,052	(34,859)	50,193
Total	750,944	(183,985)	566,959
At December 31, 2001			
Wireline license	770	(32)	738
Other	30,160	(10,492)	19,668
Total	30,930	(10,524)	20,406

The following table presents the current and expected amortization expense related to amortizable intangible assets for each of the following periods:

2003	56,007
2004	54,582
2005	52,756
2006	50,097
2007	47,746
Thereafter	305,773

The total carrying amount of intangible assets, other than goodwill, not subject to amortization is EUR 158,934 as of December 31, 2002. This amount relates entirely to the value of brandnames.

(9) PROPERTY, PLANT AND EQUIPMENT

Property, plant and equipment transferred to the Company by the government was recorded upon transfer at cost less accumulated depreciation as of that date. Acquisitions since then have been recorded at cost.

At December 31,	2002	2001
Land	62,462	64,031
Buildings and leasehold improvements	653,010	655,807
Communications network and other equipment	9,358,138	7,819,867
Capital leases	16,207	6,779
Software	325,387	105,686
Construction in progress, network	235,263	102,143
	10,650,467	8,754,313
Less accumulated depreciation (other than capital leases)	(5,640,965)	(4,157,643)
Less accumulated depreciation, capital leases	(8,843)	(4,913)
Property, plant and equipment, net	5,000,659	4,591,757

Total interest capitalized and amortization and depreciation expenses for the years ended December 31, 2002, 2001 and 2000 are as follows:

	2002	2001	2000
Interest capitalized	2,635	2,893	3,876
Depreciation and amortization expense	989,878	875,912	889,088
Thereof			
Amortization expense of software	42,623	24,276	16,499
Amortization expense of leased assets	2,341	1,025	2,611

In the period ended December 31, 2002, 2001 and 2000, respectively, impairment charges of EUR 977, EUR 23,181 and EUR 2,145 are included in depreciation. These impairment charges related primarily to buildings which the Company no longer uses. The impairments recorded related to these buildings equals the carrying value in excess of estimated fair value.

(10) SHORT-TERM BORROWINGS

The Company's short-term borrowings include:

At December 31, _____	2002	2001
Current portion of long-term debt _____	458,995	413,470
Short-term debt _____	737,144	471,768
Lines of credit _____	5,823	5,354
Current portion of lease obligations _____	107,943	87,500
Total _____	1,309,905	978,092

The weighted-average interest rate on lines of credit was 4.02% and 4.77% in 2002 and 2001, respectively. As of December 31, 2002 the Company has unused committed lines of EUR 100,000 and recorded commitment fees for these unused lines of EUR 240, which are 0.1% of the committed lines. The credit line will expire on April 2, 2003 and is expected to be renewed on a three months roll forward basis.

The current portion of lease obligations increased mainly due to the reclassification of certain payments under the cross border lease that will become due in 2003.

(11) ACCRUED LIABILITIES

Accrued liabilities consist of the following:

At December 31, _____	2002	2001
Taxes, other than income _____	8,517	10,138
Employees _____	67,384	57,928
Customer discounts _____	53,240	49,438
Customer retention programs _____	37,693	0
Exit costs _____	8,363	1,912
Bad debt for sold receivables _____	62,481	0
Other _____	19,112	11,880
Total _____	256,790	131,296

Other accruals mainly relate to legal fees and law suits, audit fees, public fees and consulting services.

In establishing accruals management assesses different scenarios of reasonably estimated outcomes in determining the amount that the Company is expected to pay upon the resolution of a contingency. The Company records the most likely of all scenarios contemplated or, if none of the scenarios is more likely to occur, the scenario with the lowest amount is considered in establishing the accrual.

During the year ended December 31, 2001, the Company formally terminated certain leases, which require the Company to refurbish the properties as they are vacated. Upon termination of the leases the Company had recorded an accrual totaling EUR 1,912. The Company utilized EUR 1,456 and released EUR 456 of this accrual in 2002. As of December 31, 2002, the Company recorded an accrual totaling EUR 8,363 for certain lease contracts, that cannot be terminated, but the Company will move out in 2003, and accrued the minimum lease payments until the end of the lease contracts.

(12) DEFERRED INCOME

At December 31, _____	2002	2001
Unearned income _____	122,850	48,728
Unamortized balance on sale of tax benefits _____	58,686	54,558
	181,536	103,286
Less non-current portion _____	(51,573)	(48,020)
Deferred income net of non-current portion _____	129,963	55,266

The deferred income mainly relates to access fees, monthly base fees, leased lines to commercial customers, and as of December 31, 2002 prepaid mobile fees and rental income from site sharing relating to mobilkom austria. These fees are amortized over the period the service is provided.

Additional information concerning the sale of the tax benefits is contained in note (14).

(13) LONG-TERM DEBT

The outstanding long-term debt, other than lease obligations are summarized as follows:

At December 31, _____	Maturity _____	2002	2001
Bonds and debentures _____	2003-2006 _____	175,537	249,641
Bank debt _____	2003-2011 _____	2,347,652	2,169,055
Other _____	2008 _____	15,691	0
		2,538,880	2,418,696
Less current portion of long-term debt _____		(458,995)	(413,470)
Long-term debt, net of current portion _____		2,079,885	2,005,226

Most of the bonds were issued and loans granted while the Company was still owned by the government. Of the bank total debt, amounts of EUR 1,751,264 and EUR 2,032,650 at December 31, 2002 and 2001, respectively, are guaranteed by the Federal Republic of Austria. From the total long-term debt, as of December 31, 2002 and 2001, respectively, EUR 286,947 and EUR 268,390 are denominated in Japanese Yen and Swiss Francs. The Company uses cross currency swaps to reduce the exposure to the risks of adverse changes in exchange rates as described in note (19).

The interest rates of these loans vary between 4.4% and 7.3%. The weighted average interest rate for the periods ended December 31, 2002 and 2001, respectively, were 5.2% and 5.4% for bank debt and 3.7% and 5.0% for bonds.

The following loans are not guaranteed by the government as they were entered into after the privatization of the Company.

In March 2000, the Company entered into a loan agreement for EUR 145,000 with the European Investment Bank. As of December 31, 2002 the loan is outstanding in full in accordance with the repayment terms. Under the terms of this agreement, the Company must observe covenants requiring the Company to meet certain financial ratios. If these ratios are not met, the bank would be entitled to receive collateral from the Company.

Further, in October 2000 the Company entered into a loan agreement for EUR 232,553. As of December 31, 2002 the loan is outstanding in full in accordance with the repayment terms. Under the terms of the contract the Company has to maintain certain investments, otherwise the loan becomes due. The interest rates vary depending on the rating of the Company.

As of December 31, 2002, EUR 260,160 of a syndicated loan granted to mobilkom austria was outstanding. The original loan totaled EUR 305,000 and was guaranteed by Telekom Austria AG.

In December 2002 the VIPnet entered into a syndicated loan of EUR 150,000 of which EUR 96,200 were drawn as of December 31, 2002. The loans become due between 2003 and 2008 and incurred interest of three month EURIBOR plus margin, depending on operating performance and indebtedness and 0.375% commitment fees. The loan was used for the refinancing of the loans to VIPnet.

In March 1999, Si.mobil entered into a loan agreement amounting to EUR 36,000 (original currency: Deutsche Mark 71,000) to finance the construction of the GSM network in Slovenia. The interest incurred is three month LIBOR plus 1.075%. The loan is secured by bills of exchange, property, receivables and shares of Si.mobil. The loan is due in March 2007.

As of December 31, 2002, the Company was in compliance with all covenants agreed in the different loan agreements mentioned above.

As of December 31, 2002 loans to VIPnet's minority shareholders in the amount of EUR 15,061 are outstanding.

In March 1999, Si.mobil also issued 5,000 bonds with a par value of Deutsche Mark 1,000. The bonds incur interest of 6% and are payable semiannually through March 1, 2006.

The year-end average interest rates for the long-term debt excluding interest rate swap agreements for 2002 and 2001 are as follows:

	2002	2001
Bonds	5.32%	4.32%
Bank debt	3.49%	5.42%

Following is a table that shows the aggregate amounts of long-term debt maturing during the next five years and thereafter:

2003	458,995
2004	423,931
2005	596,450
2006	532,217
2007	161,808
Thereafter	365,479

(14) LEASING

The Company leases equipment used in its operations which are classified as either operating or capital leases. The lease contracts expire on various dates through 2010.

Future minimum lease payments for noncancelable operating leases, capital leases and cross border leases as of December 31, 2002 are:

	Cross border leases	Capital leases	Operating leases
2003	102,719	5,340	69,122
2004	112,878	2,137	64,239
2005	122,292	56	55,963
2006	138,022	18	53,533
2007	163,038	0	52,251
after 2007	1,049,353	0	12,767
Total minimum lease payments	1,688,302	7,551	307,875
Less amount representing interest	(511,268)	(289)	
Present value of lease payments	1,177,034	7,262	
Less current portion	(102,719)	(5,223)	
Non-current lease obligations	1,074,315	2,039	

Total rent expense was EUR 67,666, EUR 52,130 and EUR 52,299 in 2002, 2001 and 2000, respectively.

Cross border leases

In 1999 and 1998, the Company entered into various cross border lease transactions whereby certain equipment items, mainly switches, were sold to a U.S.-based trust and leased back over certain terms. Concurrent with the inception, the Company entered into Payment Undertaking Agreements ("PUA") with several counter-parties whereby the counter-parties agreed to make lease payments on behalf of the Company in exchange for a deposit. The counter-parties in the PUAs received upfront payments totaling EUR 509,285 and EUR 113,763 for a portion of the debt assumed in 1999 and 1998, respectively. Interest accruing on the cash deposits matches interest on the debt portion financed through the deposit. In addition to the cash deposits, the Company purchased debt securities, deposited those securities with a custodian and pledged the securities to one of the counter-parties in the PUA; the balance is to cover the remaining portion of the present value of the lease obligation not yet covered by the cash deposit made by the Company. The Company then also entered into a swap agreement with that very counter-party swapping the entire cash flows from the securities for cash flows from the portion of the lease payments that the counter-party is obligated to pay under the PUA. As a result of the swap agreement, interest income on the securities matches interest expense on the lease.

In 2001, the Company entered a cross border lease transaction whereby certain equipment items, mainly switches were leased to a U.S.-based trust and leased back over certain terms. Concurrent with the inception, the Company entered into Payment Undertaking Agreements ("PUA") with several counter-parties whereby the counter-parties agreed to make lease payments on behalf of the Company in exchange for the upfront lease payments received under the head lease. The counter-parties in the PUAs received upfront payments totaling EUR 200,526 for a portion of the debt assumed in 2001. In addition to the PUAs the Company provided a loan of EUR 66,554 to the U.S.-based trust. Interest accruing on the PUAs and the loan match interest on the debt portion.

The difference between the cash proceeds from the sale and the present value of the future minimum lease payments represents a gain on the sale of a tax benefit. The net cash effect resulting from these transactions relates to the total gain from the sale of the tax benefits which amounted to EUR 14,547, EUR 44,437 and EUR 7,337 in 2001, 1999 and 1998, respectively. The Company is amortizing these amounts over the term of the lease. The cash deposits, the securities purchased in connection with the PUA contracts and the upfront payments received for the head lease and the lease obligations are recorded separately on the balance sheets as the Company has not been released from their obligation under the lease and a legal right of offset does not exist. Accordingly, interest income and expenses totaling EUR 70,634, EUR 58,598 and EUR 56,773 have been recognized in 2002, 2001 and 2000, respectively.

In 1999, mobilkom austria entered into similar cross border lease transactions whereby certain equipment items (mainly transceiver stations, base station controllers and location registers) were sold to four U.S.-based trusts and leased back over certain terms. As mobilkom austria is consolidated since June 28, 2002 at December 31, 2002 assets and lease obligations relating to these transactions totaling EUR 203,386 are now included in the figures below. Total assets and liabilities recorded in connection with the cross border leases are as follows:

At December 31,	2002	2001
Securities held-to-maturity, non-current	138,454	158,274
Other assets	1,038,580	1,008,572
Thereof current	103,978	82,421
Lease obligations	1,177,034	1,166,846
Thereof current	102,719	82,421

In 2001, two banks issued letters of credit to the trust for the liabilities of the Company. As of December 31, 2002 these letter of credits totaled EUR 107,776.

(15) EMPLOYEE BENEFIT OBLIGATIONS

Long-term liabilities for employee benefits consist of the following:

At December 31,	2002	2001
Contractual termination benefits	132,346	287,300
Service awards	57,862	59,186
Severance	32,612	21,751
Pensions	9,709	9,888
Total	232,529	378,125

Contractual termination benefits

In June 2000, June 1999 and in November 1997, the Company offered voluntary retirement incentive programs ("VRIPs") to eligible employees meeting the criteria detailed in the programs and recorded appropriate accruals. Under the terms of these programs employees are eligible to receive payments over a maximum period of 7.5 years until the day of retirement and the benefits are indexed to inflation.

As of December 31, 2002, the accrual for the VRIPs relate to 1,723 employees. In connection with the VRIPs, the Company made payments of EUR 95,262, EUR 68,456 and EUR 61,985 in 2002, 2001 and 2000, respectively.

An obligation for voluntary termination benefits is recognized when the eligible civil servant, who cannot be terminated involuntarily, accepts the offer. The present value of the obligation is determined based on current compensation levels and the law. An annual increase of 2.5% for future years and a discount rate of 4.5% are used. VRIPs are not funded.

On January 1, 2002 a new law was enacted that allows voluntary early retirement of Austrian civil servants as early as at the age of 55. In the year ended December 31, 2002 the Company reversed EUR 57,366 of these accruals because 656 employees either elected early retirement under the new law or qualified for early retirement as the result of medical disability. Consequently, the Company's obligation under the VRIPs was reduced as these former employees are now covered by the governmental retirement plan. Expenses associated with the VRIPs as well as the reversals of accruals are reflected as a reduction of employee costs in the accompanying consolidated statement of operations.

Actuarial assumptions

The assumptions used in the measurement of obligations for service awards, severance payments and pensions are shown in the following table:

At December 31,	2002	2001	2000
Actuarial assumptions:			
Discount rate	5.0%	5.0%	5.5%
Rate of compensation increase	3.7%	3.6%	3.5%
Rate of increase of pensions	1.1%	1.1%	1.7%

Service awards

Civil servants and employees (together "employees") are eligible to receive service awards. Under these plans, eligible employees receive a cash bonus after a specified service period. The bonus is equal to two months salary after 25 years of service and four months salary after 40 years of service. Employees with at least 35 years of service when retiring are also eligible to receive a bonus equal to four months salary. The compensation is accrued as earned over the period of service taking into account estimates of employees whose employment will be terminated or who will retire prior to reaching the required service period. All actuarial gains and losses are recognized immediately in the period realized.

The following table provides a reconciliation of the changes of service award for the years ended December 31, 2002 and 2001, respectively:

	2002	2001
Accrual at the beginning of the year	59,186	60,289
Change in reporting entities	2,744	0
Service cost	2,348	2,433
Interest cost	3,024	3,255
Recognized actuarial losses (gains)	(6,930)	(1,967)
Benefits paid	(2,510)	(4,824)
Accrual at the end of the year	57,862	59,186

Severance

Certain employees are eligible to receive severance payments upon termination of their employment. Civil servants generally are not eligible to receive severance payments.

Eligible employees receive severance payments equal to a multiple of their monthly compensation which comprises fixed compensation plus variable elements like overtime and bonus. Maximum severance is equal to a multiple of twelve times eligible monthly compensation. Up to three months of benefits are paid upon termination, any benefit in excess of that amount are paid in monthly installments over a period not exceeding ten months. In case of death, the heirs of an eligible employee will receive 50% of the severance benefits.

The following table provides a reconciliation of the changes of severance benefit obligations for the years ended December 31, 2002, 2001 and 2000, respectively:

	2002	2001	2000
Service cost	3,926	1,893	1,452
Interest cost	1,311	924	816
Amortization of unrecognized net obligation	221	29	0
Curtailment loss	683	1,876	0
Net periodic benefit cost	6,141	4,722	2,268
	2002	2001	
Projected benefit obligation at the beginning of the year	22,415		16,328
Change in reporting units	4,249		0
Service cost	3,926		1,893
Interest cost	1,311		924
Actuarial losses	7,459		6,658
Curtailment loss	683		1,876
Benefits paid	(3,194)		(5,264)
Projected benefit obligation at the end of the year	36,849		22,415
Unrecognized net actuarial losses	(16,093)		(7,968)
Accrued liability at the end of the year	20,756		14,447
Voluntary severance obligation	11,856		7,304
Total accrued severance liabilities at the end of the year	32,612		21,751

The liability for voluntary severance payments relates to individuals, who are generally not entitled to severance payments, but have accepted a special offer by the Company to receive severance payments for voluntary termination of employment.

Pensions

Defined contribution pension plans

Pension benefits are generally provided by social security for employees and by the government for civil servants in Austria. The Company is required to assist in funding the Austrian government's pension and health care obligations to the Company's current and former civil servants and their surviving dependents. The Company was legally obligated to make annual contributions to the Austrian government of 27.5% until September 30, 2000, of the compensation of active civil servants (including contributions from the civil servants). The contribution to the Austrian government was increased to 29.6% in 2002. Beginning October 2005 the contribution will be reduced to 28.3%. Contributions to the government, net of the share contributed by civil servants, were EUR 52,647, EUR 56,380 and EUR 59,064 in 2002, 2001 and 2000, respectively.

In 2000 and 1999, the Company sponsored a defined contribution plan covering substantially all employees of one subsidiary. In 2001, this plan was also offered to the employees of Telekom Austria and all its other Austrian subsidiaries. The Company's contributions to this plan are based on a percentage of the compensation not exceeding 5% of the salaries. The annual cost of this plan amounted to approximately EUR 6,961, EUR 4,669 and EUR 1,364 in 2002, 2001 and 2000, respectively.

Defined benefit pension plan

The Company provides defined benefits for certain former employees of one subsidiary. All of such employees are retired and were employed prior to January 1, 1975. This unfunded plan provides benefits based on a percentage of the salary depending on the years employed not exceeding 80% of the salary before retirement including the pension provided by social security.

The Company uses the projected unit credit method to determine pension cost for financial reporting purposes. In conjunction with this method the Company amortizes actuarial gains and losses using the corridor method.

The pension benefits for 2002, 2001 and 2000 are shown in the following table:

	2002	2001	2000
Service cost	0	0	0
Interest cost	424	504	695
Amortization of actuarial gain	(50)	(59)	(17)
Amortization of unrecognized transition obligation	343	343	343
Net periodic pension benefit cost	717	788	1,021

The following table provides a reconciliation of the changes of benefit obligations for the years ended December 31, 2002 and 2001, respectively:

	2002	2001
Projected benefit obligation at the beginning of the year	8,926	9,145
Service cost	0	0
Interest cost	424	504
Actuarial losses (gains)	(128)	90
Benefits paid	(895)	(813)
Projected benefit obligation at the end of the year	8,327	8,926
Unrecognized net gain	1,725	1,647
Unrecognized transition obligation	(343)	(685)
Accrued pension liability	9,709	9,888

(16) IDLE WORKFORCE

In connection with its formation and privatization the Company was required to retain a significant number of employees that are recognized as civil servants under Austrian law. Despite the Company's conclusion that the service of such employees is redundant and they are not required to report to work, they may not be involuntarily terminated according to Austrian law. For the years ended December 31, 2002, 2001 and 2000, respectively, the Company had an average of 592, 614 and 261 redundant employees who are referred to as the idle workforce. In addition, beginning January 1, 2002, the Company expanded its definition of idle workforce to include employees who are on medical leave and have applied for early retirement, of which there are 292 for the period ended December 31, 2002. As a result of the change in definition, the Company reclassified prior year costs of EUR 2,024 and EUR 1,290 associated with an average of 56 and 38 such employees from employee costs in the 2001 and 2000 statement of operations to idle workforce.

Additionally, the Company periodically offers voluntarily termination benefits to selected employees. Costs associated with these special programs were EUR 9,412 and EUR 27,916 for the period ended December 31, 2002 and 2001, respectively. Such costs are included in idle workforce.

Costs related to the idle workforce are reported separately in the accompanying consolidated statements of operations.

(17) STOCK BASED COMPENSATION

Stock option plan

On October 4, 2000, the shareholders of Telekom Austria approved stock option plans for employees of the Company and mobilkom austria. Under this plan, the Company may grant a total of 4,686,881 options, each of which entitle eligible grantees upon exercise of the option to receive at their choice either cash equal to the difference between the average quoted price of Telekom Austria stock during the five trading days preceding the exercise and the IPO price of EUR 9 or shares at an exercise price of EUR 9. One option is convertible into one share. The options granted may be exercised on specific dates between May 31, 2002, and February 27, 2004, as long as the average share price during the five days prior to exercise exceeds the initial public offering price by 30% or more. The Company will recognize compensation expense over the applicable service periods if the performance hurdles are met.

On November 21, 2000, the Company granted all 4,686,881 options. In 2002 and 2001, respectively, 520,766 and 733,188 options were forfeited, therefore, 3,432,927 and 3,953,693 options are outstanding as of December 31, 2002 and 2001, respectively.

As the stock option plans are accounted for in accordance with APB Opinion 25 and related interpretations, the amount of the liability is measured each period based on the current stock price. As the stock price as of December 31, 2002 and 2001 did not exceed the hurdle, no compensation expense was recorded in 2002 and 2001.

Stock purchase plan

ÖIAG, the selling shareholder, approved a stock purchase plan for employees of Telekom and its subsidiaries in which the Company has at least a 50% interest. Under the stock purchase plan, each eligible employee was allowed to purchase shares worth up to EUR 1.8 at a total discount of 45% from the offering price made up of the 5% Austrian retail discount and an additional 40% employee discount if they purchase at least EUR 0.7 worth of shares. The maximum benefit to each employee was EUR 0.7. In 2000, the Company reported a capital contribution by ÖIAG of EUR 7,924 and compensation expense of EUR 7,196.

(18) INCOME TAXES

Income (loss) before income taxes, minority interests and extraordinary items is attributable to the following geographic locations:

	2002	2001	2000
Domestic	33,710	(199,049)	(460,184)
Foreign	10,101	(1,019)	(756)
Total	43,811	(200,068)	(460,940)

As described in note 2, on June 28, 2002 the Company acquired the remaining outstanding interest of mobilkom austria through the acquisition of Autel. mobilkom austria has been consolidated since that date. Prior to the acquisition of Autel on June 28, 2002, the Company held a 74.999% interest in mobilkom austria which was accounted for under the equity method. In the first quarter 2001, mobilkom austria recorded a tax expense of EUR 134,437 due to a change in tax status of mobilkom austria AG from a taxable entity to a nontaxable pass-through entity which occurred in the first quarter of 2001 and which was effective retroactive to July 1, 2000 for tax purposes. Correspondingly, the Company recorded its 74.999% proportional share of mobilkom austria's tax expense and recognized a deferred tax benefit during the three month period ended March 31, 2001. Thus, the direct income tax effects on the Company of the change in tax status of mobilkom austria and the proportional pickup from the income tax expense reported by mobilkom austria essentially offset each other in the income tax expense reported by the Company for the year ended December 31, 2001.

Income tax expense (benefit) attributable to income (loss) before income taxes, minority interests and extraordinary items for the years ended December 31, consisted of the following:

	2002	2001	2000
Current			
Domestic	1,097	(292)	68
Foreign	5,771	0	0
	6,868	(292)	68
Deferred			
Domestic	15,627	(94,278)	(178,784)
Foreign	3,617	(343)	(113)
	19,244	(94,621)	(178,897)
Total	26,112	(94,913)	(178,829)

Benefits of operating loss carryforwards of EUR 8,641, EUR 7,799 and EUR 194,991 were included in the deferred tax expense (benefit) for the years ended December 31, 2002, 2001 and 2000, respectively.

Total income tax expense (benefit) was recorded as follows:

	2002	2001	2000
Continuing operations	26,112	(94,913)	(178,829)
Extraordinary items	0	0	(1,779)
Other comprehensive income	(1,024)	(6,683)	(62)
Additional paid in capital	(424)	0	4,162
	24,664	(101,596)	(176,508)

The Company is subject to income taxes in Austria at a rate of 34% of taxable income. The following table shows the principal components for the difference between the reported income tax expense (benefit) and the amount of income tax expense (benefit) that would result from applying the Austrian statutory income tax rate to income (loss) before income taxes, minority interests and extraordinary items:

	2002	2001	2000
Income tax expense (benefit) at statutory rate	14,896	(68,023)	(156,719)
Tax incentives	(3,626)	(2,105)	(19,613)
Tax rate differential on equity in earnings of affiliates	(2,552)	9,008	(12,913)
Nondeductible goodwill amortization and impairment charges	4,388	647	8,700
Tax benefit recognized for prior year goodwill amortization and impairment	0	(40,080)	0
Change in valuation allowance	11,008	5,456	0
Other	1,998	184	1,716
Income tax expense (benefit)	26,112	(94,913)	(178,829)
Effective income tax rate	59.6%	47.4%	38.8%

Tax incentives principally consist of research incentives for 2002 and 2001 and principally consist of investment tax credits for 2000.

The tax effects of each type of temporary differences that give rise to deferred tax assets and liabilities at December 31 are shown below.

	2002	2001
Deferred tax assets		
Goodwill	44,615	108,588
Deferred deduction for write downs of investments in subsidiaries	76,858	82,467
Operating loss carryforwards	207,232	193,325
Long-term debt	13,362	15,707
Other liabilities	5,542	0
Other	12,354	15,775
Total deferred taxes	359,963	415,862
Valuation allowance	(16,214)	(5,456)
Deferred tax assets, net of valuation allowance	343,749	410,406
Deferred tax liabilities		
Property, plant and equipment	(39,683)	(48,313)
Other intangible assets	(88,178)	0
Accrued liabilities	(4,892)	(3,043)
Other assets	(13,866)	(17,543)
Employee benefit obligation	(30)	(8,714)
Other	(12,351)	(5,570)
Total deferred tax liabilities	(159,000)	(83,183)
Net deferred tax	184,749	327,223

At December 31, 2002, the Company had approximately EUR 639,768 of operating loss carryforwards. Thereof EUR 109,058 relate to foreign subsidiaries. The expiration dates are as follows:

Years	Amount
2003	26
2004	8,341
2005	28,959
2006	42,667
2007	26,946
2008	934
2009	1,185
Total	109,058

The remaining amount of operating loss carryforwards are in Austria and do not expire. Their annual usage is limited to 75% of the taxable income in Austria for that year.

In assessing the recoverability of deferred tax assets, management considers whether it is more likely than not that all the deferred tax assets will be realized. The ultimate realization of deferred tax assets is dependent upon the generation of future taxable income during the periods in which those temporary differences become deductible. Management considers the scheduled reversal of deferred tax liabilities, projected future taxable income and tax planning strategies in making this assessment. As of December 31, 2002 the Company has recognized a net deferred tax asset of EUR 171,404 related to the operations in Austria. In order to realize this deferred tax asset the Company will need to generate future taxable income exclusive of reversing taxable temporary differences of approximately EUR 672,174 over an indefinite period in Austria. Additionally, certain foreign subsidiaries will need to generate future taxable income exclusive of reversing taxable differences of approximately EUR 54,688 in order to realize the deferred tax asset, net of valuation allowance, that has been recognized in those jurisdictions. Based on the level of historical taxable income and projections for future taxable income over the periods in which the deferred tax assets are deductible, management believes it is more likely than not the Company will realize the benefits of these deductible differences, net of the existing valuation allowance. The amount of deferred tax asset considered realizable, however, could be reduced in the near term if estimates of future taxable income are reduced.

During the year ended December 31, 2002 a deferred tax expense of EUR 16,214 and a separate deferred tax benefit of EUR 5,456 were recognized as adjustments to the valuation allowance because of a change in circumstances that caused a change in judgement about the realizability of the related deferred tax asset in future years.

As of December 31, 2002, a deferred tax liability has not been provided for the excess in the amount of EUR 1,912 for financial reporting over the tax basis of an investment in a foreign subsidiary that is essentially permanent in duration. This amount becomes taxable upon a repatriation of assets from the subsidiary or a sale or liquidation of the subsidiary. It is not practicable to estimate the amount of the related unrecognized deferred tax liability.

(19) FINANCIAL INSTRUMENTS

Derivative financial instruments are used by the Company to manage its exposure to adverse fluctuations in interest and foreign exchange rates. The Company has established a control environment which includes policies and procedures for risk assessment, approval, reporting and monitoring of derivative financial instrument activities. The Company is not a party to leveraged derivatives and the policies prohibit the holding or issuing of financial instruments for speculative purposes.

The Company enters into various types of financial instruments in the normal course of business including derivative financial instruments, for purposes other than trading.

By their nature, all such instruments involve risk, including market risk and credit risk of nonperformance by counter-parties, and the maximum potential loss may exceed the amount recognized in the balance sheets. However, at December 31, 2002 and 2001, in management's opinion the probability of nonperformance of the counter-parties in these financial instruments was remote.

Credit risk

The Company monitors its exposure to credit risk. The Company does not have any significant exposure to any individual customer or counter-party, nor does it have any major concentrations of credit risk related to any financial instruments other than noted under section concentration of credit risk in significant accounting policies.

The Company does not require collateral in respect of financial assets. In order to reduce the risk of nonperformance by the other parties to swap agreements, the contracts are subject to the International Swap Dealers Agreement.

Market risk

The market risk is monitored by using value at risk models for interest rate as well as currency risk for the long-term debt and derivative portfolio.

Information with respect to cash flow hedges

Changes in the fair value of interest rate swaps designated as hedging instruments of variability of cash flows associated with variable rate long-term debt are reported in accumulated other comprehensive income. These amounts are subsequently classified into

financial income as a yield adjustment in the same period in which the related interest on the floating-rate debt obligations affect earnings. In 2002 and 2001, respectively, no hedge ineffectiveness occurred.

Interest rate swap agreements

The Company entered into interest rate swaps to reduce the aggregate exposure to changes in floating interest rates of the debt portfolio. Fixed interest rate payments as of December 31, 2002, ranged from 6.7% to 3.0%. Floating-rate payments are based on rates tied to different inter-bank offered rates.

The following table indicates the types of swaps in use at December 31, 2002 and 2001, and their weighted-average interest rates and the weighted-average remaining terms of the interest rate swap contracts. Average variable rates are those in effect at the reporting date and may change significantly over the lives of the contracts:

	2002	2001
Variable to fixed swaps in EUR		
Notional amount in EUR	181,682	181,682
Average receive rate	3.35%	4.01%
Average pay rate	6.47%	6.38%
Average maturity in years	2.4	3.0
Variable to fixed swaps in Japanese Yen ("JPY")		
Notional amount in JPY	10,000,000	10,000,000
Notional amount in EUR	86,392	86,708
Average receive rate	0.01%	0.02%
Average pay rate	3.15%	3.15%
Average maturity in years	1.5	2.5

Foreign exchange agreements

The Company entered into foreign currency denominated loans, because of low interest rates connected to loans denominated in Japanese Yen and Swiss Francs ("SFR"). The use of cross currency swaps allows the Company to reduce the exposure to the risk of adverse changes in exchange rates. Fixed interest rates as of December 31, 2002, range from 6.4% to 7.7%.

Additionally, the Company entered into a foreign currency forward contract to cover the exposure from a loan and interest payments denominated in Swiss Francs.

The following table indicates the types of foreign exchange agreements in use at December 31, 2002 and 2001, and if applicable their weighted-average interest rates, the weighted-average remaining terms and the respective exchange rates of the contracts:

	2002	2001
Cross Currency Swaps EUR - SFR		
Notional amount in EUR	176,635	235,028
Notional amount in SFR	300,000	400,000
Average receive rate - SFR	5.47%	5.58%
Average pay rate - EUR	7.65%	7.74%
Average maturity in years	2.4	2.7
Cross Currency Swaps EUR - JPY		
Notional amount in EUR	73,554	73,554
Notional amount in JPY	10,000,000	10,000,000
Average receive rate - JPY	3.15%	3.15%
Average pay rate - EUR	6.41%	6.41%
Average maturity in years	1.5	2.5
Foreign Currency Forward Contract - SFR		
Notional amount in EUR	0	74,446
Notional amount in SFR	0	105,906
Forward exchange rate	-	1.42
Exchange rate as of the balance sheet date	-	1.48
Term of the contract	-	Nov. 2002
Forward exchange contracts - US \$		
Notional amount in EUR	3.599	0
Notional amount in US \$	3.600	0
Forward exchange rate (weighted)	1.00	-
Exchange rate as of the balance sheet date	1.05	-
Longest term of the contracts	March 2003	-

The notional amounts of the derivative instruments above do not represent amounts exchanged by the parties and, therefore, are not a measure of our exposure. The Company's exposure is limited to the fair value of the contracts with a positive fair value plus interest receivable, if any, at the reporting date.

The following table summarizes the fair values of financial instruments:

	2002 Carrying amount	2002 Fair value	2001 Carrying amount	2001 Fair value
Financial instruments				
Cash	27,337	27,337	26,393	26,393
Accounts receivable-trade	451,934	451,934	455,272	455,272
Balances due from related parties	6,723	6,723	105,979	105,979
Accounts payable-trade	(649,890)	(649,890)	(439,529)	(439,529)
Payables to related parties	(37,198)	(37,198)	(15,982)	(15,982)
Securities held-to-maturity	138,454	159,469	158,274	162,582
Securities available-for-sale	18,948	18,948	8,523	8,523
Long-term debt	(2,079,885)	(2,203,008)	(2,005,226)	(2,102,008)
Derivative financial instruments				
Interest rate swap agreements	(20,996)	(20,996)	(20,317)	(20,317)
Cross currency swap agreements	36,034	36,034	43,998	43,998
Foreign currency forward contract	(160)	(160)	(2,173)	(2,173)

(20) SHAREHOLDERS' EQUITY

Accounting for derivative and hedging activities

Derivative financial instruments are used by the Company to manage its exposure to adverse fluctuations in interest and foreign exchange rates. The Company has established a control environment which includes policies and procedures for risk assessment, approval, reporting and monitoring of derivative financial instrument activities. The Company is not a party to leveraged derivatives and the policies prohibit the holding or issuing of financial instruments for speculative purposes.

For derivatives designed either as fair value or cash flow hedges, changes in the time value of the derivatives are excluded from the assessment of hedge effectiveness and are recorded in earnings. Hedge ineffectiveness, determined in accordance with SFAS No. 133 had no impact on the Company's earnings for years ended December 31, 2002 and 2001, respectively. No fair value hedges or cash flow hedges were derecognized or discontinued during the years ended December 31, 2002 and 2001, respectively.

Unrealized gains and losses recorded in other comprehensive income are as follows:

	December 31, 2002	December 31, 2001
Unrealized Losses		
Gross	(17,148)	(18,581)
Less income tax	5,559	6,317
Net of income tax	(11,589)	(12,264)
Unrealized Derivative Gains		
Gross	1,890	0
Less income tax	(643)	0
Net of income tax	1,247	0
Unrealized net loss	(10,342)	(12,264)

Additionally, the Company recorded its share of mobilkom austria's derivative loss of EUR 1,064, net of deferred income taxes of EUR 376. This resulted in a total loss of EUR 13,061, net of deferred income taxes as of December 31, 2001.

Other comprehensive income

Other comprehensive income consist of the following items:

	Unrealized gain (loss) on securities	Unrealized gain (loss) on hedging activities	Foreign currency translation	Accumulated other comprehensive income
Balance January 1, 2000	122	0	(229)	(107)
Changes, net of income tax	(121)	0	201	80
Balance December 31, 2000	1	0	(28)	(27)
Cumulative effect of accounting change, net of income tax	0	(10,959)	0	(10,959)
Changes, net of income tax	(162)	(2,102)	14,630	12,366
Balance December 31, 2001	(161)	(13,061)	14,602	1,380
Changes, net of income tax	(687)	2,719	(6,496)	(4,464)
Balance December 31, 2002	(848)	(10,342)	8,106	(3,084)

Sale of American call option

On November 21, 2000, Telekom Austria purchased 3,832,248 American call options for a premium of EUR 12,527. The expiration date is February 27, 2004. The underlying share of the American call option is the share of Telekom Austria AG. The strike and execution price of the call option is EUR 9 and settlement is either physical delivery of the shares or cash, at the request of Telekom Austria. The American call option will be used to satisfy any obligation resulting from the stock option plan. The American call option is recorded net of tax of EUR 4,162 in stockholders' equity.

In May 2002, the Company sold 717,701 American call options for an aggregate price of EUR 1,245. As the original acquisition of the options was accounted for as permanent equity under the provisions of EITF 96-13, proceeds from the sale of the options have been credited directly to additional paid in capital in the accompanying statement of changes in shareholders' equity.

Restricted earnings

Dividend distributions are based on earnings determined in accordance with Austrian accounting standards for Telekom Austria AG on a stand-alone basis. As of December 31, 2002, no retained earnings as determined under Austrian accounting rules were available for potential distribution.

(21) REVENUES

Year ended December 31, _____	2002	2001	2000
Revenues from services _____	2,931,892	2,555,596	2,700,521
Revenues from sales of merchandise _____	186,172	104,064	113,876
Total _____	3,118,064	2,659,660	2,814,397

(22) OTHER OPERATING EXPENSES

Year ended December 31, _____	2002	2001	2000
Interconnection _____	361,608	562,736	655,013
Repairs _____	167,496	137,345	133,346
Services received _____	186,516	98,653	72,491
Advertising and marketing _____	153,737	75,368	73,920
Rental expenses _____	67,666	52,130	52,299
Commission expenses _____	25,347	4,531	4,072
Bad debt expenses _____	39,184	15,069	26,483
Legal and other consulting _____	54,368	55,304	59,058
Charges from related parties _____	32,980	35,062	40,433
Travel expenses _____	23,363	24,676	35,644
Other taxes _____	8,665	5,242	8,411
Energy _____	21,285	21,752	21,835
Training expenses _____	11,773	7,131	11,859
Other _____	32,651	19,911	29,054
Total _____	1,186,639	1,114,910	1,223,918

(23) OTHER, net

Year ended December 31, _____	2002	2001	2000
Foreign exchange losses _____	(216,261)	(63,632)	(89,430)
Foreign exchange gains _____	211,422	56,474	80,474
Loss from retirement of long-lived assets _____	0	(39,020)	(35,161)
Other _____	6,721	2,173	5,921
Total _____	1,882	(44,005)	(38,196)

In accordance with SFAS No. 144, as amended, the net loss from retirement of long-lived assets is presented in 2002 in operating income.

(24) EXTRAORDINARY ITEMS

In 2000, the Company recorded an extraordinary loss of EUR 3,453, net of tax of EUR 1,779, representing management's commitment to contribute EUR 5,232 to the Austrian fund for forced laborers. This fund was established by the Parliament of the Federal Republic of Austria and representatives of Austrian companies in response to claims filed by forced laborers and their descendants as a result of activity between 1938 and 1945. In April 2001, the Company paid EUR 5,232 to the Austrian fund for forced labor victims.

(25) COMMITMENTS AND CONTINGENCIES

In the normal course of business the Company is subject to proceedings, lawsuits and other claims, including proceedings under laws and regulations related to interconnection. Such matters are subject to many uncertainties, and outcomes are not predictable with assurance. Consequently, management is unable to ascertain the ultimate aggregate amount of monetary liability or financial impact with respect to these matters at December 31, 2002. These matters could affect the operating results or cash flows of any one quarter when resolved in future periods. However, management believes that after final disposition, any monetary liability or financial impact to the Company beyond that provided for at year-end would not be material to its consolidated financial statements.

The Company is aware that other telecommunication companies have recently recorded impairment charges related to certain investments in UMTS technology. The Company believes UMTS remains technologically viable and intends to continue supporting the development of UMTS technology. Further, the Company believes that future cash flows generated by UMTS will be sufficient to recover the carrying amount of its investment. The Company's total investment in the Austrian UMTS license and technical equipment as of December 31, 2002 is EUR 226,974 including capitalized interest of EUR 15,422.

At December 31, 2002, the Company has a carrying value of EUR 7,261 in assets related to its right to use telephone lines owned by Global Crossing. Though Global Crossing is under bankruptcy protection, the Company continues to utilize the leased lines with uninterrupted service. Therefore no impairment has been taken as of December 31, 2002.

(26) CASH FLOW STATEMENT

Following is a summary of supplemental cash flow information:

Year ended December 31, _____	2002	2001	2000
Cash paid for			
Interest _____	173,940	180,436	190,278
Income taxes _____	10,558	10,235	0
Cash received for			
Interest _____	11,122	18,176	30,882
Tax refunds _____	21	91,255	0
Non cash investing and financing			
Dividends _____	28,294	267,505	0
Cross border leasing _____	0	86,315	0

(27) SEGMENT REPORTING

The Company's results are segmented according to the way the business is managed: Fixed line services, mobile communications, data communications, internet and other. In connection with the corporate restructuring program set forth in late 2000, the existing segments reflect certain managerial changes since the publication of our 2000 annual results. The changes are as follows:

Beginning in 2001, management started evaluating segment performance based on operating income before depreciation and amortization and idle workforce ("EBITDA"). As net losses on the disposal of long-lived assets were reclassified to operating income in 2002 in accordance with SFAS No. 144, as amended. EBITDA is further adjusted in the segment reporting to exclude such amounts.

Costs related to the idle workforce are not controlled by segment heads but are the responsibility of corporate management, and have not been allocated to any segment.

All comparative figures for 2000 have been reclassified for the changes in 2001. The accounting policies of the segments are the same as those described in the summary of significant accounting policies (note (1)).

Fixed line services include access fees, domestic long distance services including internet, local and fixed line to mobile calls, international traffic, voice value added services, interconnection, call center services, and public payphone services. The personnel costs of the civil servants not operatively working were excluded from the fixed line segment as well as the costs for the golden handshakes and are reported separately as corporate.

Mobile communication services include digital mobile communications services including value-added services like text and multi-media messaging, m-commerce and information services. Prepaid services are also offered.

The mobile communication segment comprises 100% of the financial position and result of operations of mobilkom austria. As discussed in note (1), prior to June 28, 2002 mobilkom austria was accounted for as an equity method investee due to certain substantial participation rights of the minority shareholder, Telecom Italia. Despite such participating rights the day to day management of mobilkom has been, and remains the responsibility of the segments heads. Accordingly mobilkom austria is presented as a segment.

Data communication services include domestic and international leased lines, switched data services, corporate network services and additional international data service. In the years reported, the data communications segment received cash discounts from the fixed line segment for the usage of datalines. Due to a change in cost allocation strategy, these cash discounts were reduced in 2001 and 2002, compared to prior year, which effected EBIT and EBITDA of the data communication segment.

The internet includes access, portals and advertising, e-business and application service provision. The internet business is operated in Austria and the Czech Republic.

Other includes primarily the treasury activities of the Company.

Year ended December 31, 2002	Fixed line services	Mobile communi- cations	Data communi- cations	Internet	Other	Segment totals
External revenues	1,851,257	1,819,219	269,709	66,130	0	4,006,315
Intersegmental revenues	205,992	90,132	60,298	53,494	0	409,916
Total revenues	2,057,249	1,909,351	330,007	119,624	0	4,416,231
EBITDA	813,168	660,863	46,552	(13,409)	(70)	1,507,104
Depreciation and amortization	834,553	268,757	36,009	52,280	0	1,191,599
Income/loss from retirement of equipment	(5,051)	(11,376)	(1,894)	(720)	0	(19,041)
EBIT	(26,436)	380,730	8,649	(66,409)	(70)	296,464
Interest income	77,307	23,466	370	93	34,911	136,147
Interest expense	217,404	53,150	423	3,104	34,415	308,496
Income tax expense (benefit)	12,922	18,177	1,305	(5,712)	145	26,837
Extraordinary losses	0	0	0	0	0	0
Net income (loss)	(131,162)	312,877	9,831	(64,480)	281	127,347
Total assets	6,236,558	2,832,149	168,461	94,903	1,007,021	10,339,092
Additions to property, plant and equipment	307,531	321,656	19,888	13,291	0	662,366

	Fixed line services	Mobile communi- cations	Data communi- cations	Internet	Other	Segment totals
Year ended December 31, 2001						
External revenues	2,147,083	1,506,026	247,351	42,995	0	3,943,455
Intersegmental revenues	309,657	207,153	82,815	56,493	292	656,410
Total revenues	2,456,740	1,713,179	330,166	99,488	292	4,599,865
EBITDA	870,999	571,307	54,690	(20,143)	(73)	1,476,780
Depreciation and amortization	835,986	267,784	35,340	129,822	0	1,268,932
EBIT	35,013	303,523	19,350	(149,965)	(73)	207,848
Interest income	65,727	20,518	372	168	30,090	116,875
Interest expense	222,171	49,910	758	1,816	29,915	304,570
Income tax expense (benefit)	(185,275)	133,645	(5,429)	(4,346)	37	(61,368)
Extraordinary losses	0	0	0	0	0	0
Net income (loss)	(70,546)	131,772	20,934	(147,012)	63	(64,789)
Total assets	7,106,580	2,214,101	195,022	140,022	520,062	10,175,787
Additions to property, plant and equipment	397,516	363,177	31,493	20,022	0	812,208

	Fixed line services	Mobile communi- cations	Data communi- cations	Internet	Other	Segment totals
Year ended December 31, 2000						
External revenues	2,375,649	1,280,043	209,078	32,419	0	3,897,189
Intersegmental revenues	279,199	221,005	103,755	28,662	0	632,621
Total revenues	2,654,848	1,501,048	312,833	61,081	0	4,529,810
EBITDA	573,506	436,548	57,439	(5,427)	(133)	1,061,933
Depreciation and amortization	856,700	174,442	33,011	1,851	0	1,066,004
EBIT	(283,194)	262,106	24,428	(7,278)	(133)	(4,071)
Interest income	68,223	18,201	692	368	24,813	112,297
Interest expense	229,999	35,296	422	836	24,201	290,754
Income tax expense (benefit)	(176,100)	76,034	(454)	(2,463)	188	(102,795)
Extraordinary losses	3,118	1,343	336	0	0	4,797
Net income (loss)	(208,987)	167,456	31,136	(4,645)	727	(14,313)
Total assets	7,268,585	1,921,469	204,620	264,786	417,489	10,076,949
Additions to property, plant and equipment	545,454	323,074	34,560	14,605	0	917,693

EBITDA differs from consolidated net income as a result of the following differences:

Year ended December 31, _____	2002	2001	2000
EBITDA - segment totals _____	1.507.104	1.476.782	1.061.933
Idle workforce _____	(29,389)	(51,952)	(8,881)
Depreciation and amortization _____	(1,058,183)	(1,049,201)	(915,889)
Income/loss from retirement of equipment _____	(18,715)	0	0
Interest income _____	88,191	82,683	78,552
Interest expense _____	(244,628)	(240,986)	(239,914)
EBITDA - mobilkom austria prior to acquisition _____	(351,409)	(571,307)	(436,548)
Equity in earnings of affiliates - mobilkom prior to acquisition _____	142,906	197,941	125,265
Equity in earnings of affiliates - other _____	(2,362)	(2,491)	(88,951)
Other _____	10,296	(41,537)	(36,582)
Income (loss) before taxes, minority interests and extraordinary items _____	43,811	(200,068)	(461,015)
Income tax (expense) benefit _____	(26,112)	94,913	178,829
Extraordinary _____	0	0	(3,453)
Minority interests _____	(4,910)	530	75
Net income _____	12,789	(104,625)	(285,564)

The segment totals reconcile to the consolidated financial statements as a result of eliminating transactions and balances between consolidated segments and the results of operations by mobilkom austria prior to June 28, 2002 (note (2)). Therefore, the mobile communication column in the reconciliation for the period ended December 31, 2002 represents the results of operations of mobilkom austria for the period from January 1 through June 28, 2002, while the same column in the reconciliation for the period ended December 31, 2001 represents the results of operations of mobilkom austria for the period from January 1 through December 31, 2001. The following tables reconcile the segment totals to the accompanying consolidated financial statements:

Year ended December 31, 2002 _____	Segment totals	Eliminations	Mobile communications	Consolidated
Total revenues _____	4,416,231	(391,217)	(906,950)	3,118,064
Depreciation and amortization _____	1,191,600	(197)	(133,220)	1,058,183
Interest income _____	136,147	(37,051)	(10,905)	88,191
Interest expense _____	308,496	(37,058)	(26,810)	244,628
Income tax (expense) benefit _____	26,837	1,966	(2,691)	26,112
Net income (loss) _____	127,347	75,986	(190,544)	12,789
 Total assets _____	 10,339,092	 (1,804,754)	 0	 8,534,338
Additions to property, plant and equipment _____	662,366	(2,300)	(129,100)	530,966

Year ended December 31, 2001	Segment totals	Eliminations	Mobile communications	Consolidated
Total revenues	4,599,865	(227,026)	(1,713,179)	2,659,660
Depreciation and amortization	1,268,932	48,053	(267,784)	1,049,201
Interest income	116,875	(13,674)	(20,518)	82,683
Interest expense	304,570	(13,674)	(49,910)	240,986
Income tax (expense) benefit	(61,368)	100,100	(133,645)	(94,913)
Net income (loss)	(64,789)	91,936	(131,772)	(104,625)
Total assets	10,175,787	(234,364)	(2,214,101)	7,727,322
Additions to property, plant and equipment	812,208	0	(363,177)	449,031

Year ended December 31, 2000	Segment totals	Eliminations	Mobile communications	Consolidated
Total revenues	4,529,810	(214,365)	(1,501,048)	2,814,397
Depreciation and amortization	1,066,004	24,327	(174,442)	915,889
Interest income	112,297	(15,544)	(18,201)	78,552
Interest expense	290,754	(15,544)	(35,296)	239,914
Income tax (expense) benefit	(102,795)	0	(76,034)	(178,829)
Net income (loss)	(14,313)	(103,795)	(167,456)	(285,564)
Total assets	10,076,949	(92,793)	(1,921,469)	8,062,687
Additions to property, plant and equipment	917,693	0	(323,074)	594,619

In 2002, 2001 and 2000, more than 90%, 94% and 97%, respectively, of the revenues generated by the reportable segments relate to operations in Austria and essentially all of the long-lived assets were located in Austria.

(28) SUBSEQUENT EVENTS

As of January 1, 2003 management reorganized its operations into two distinct business lines: wireline, which will include fixed line, data communication and internet services, and wireless. Wireline will focus on wholesale and retail customers. Wholesale customers including telecommunication operators and service providers, will be offered network-based services, while retail customers, including business and residential end-users will be offered voice telephony, data communications, internet and other services. Wireless, operated by our wholly-owned mobile communication segment, offers a full range of digital mobile communications services to business and residential customers.

On January 7, 2003 mobilkom austria signed a partnership agreement with Vodafone to co-operate in the Austrian, Croatian and Slovenian market. The co-operation will extend the range of existing products and services of mobilkom and improve the product portfolio in particular for business customers. Both companies will collaborate in the field of roaming, purchasing, development of new products and services, technical platforms, global account management and joint marketing initiatives. With Eurocall, the first joint product to be launched in the first quarter 2003, mobilkom austria will offer favorable and transparent roaming prices to users in 26 European countries and will be receiving visitor roaming traffic as the preferred mobile operator for Vodafone customers from 26 countries.

As of January 30, 2003, mobilkom austria has acquired additional 9% of VIPnet for a total purchase price of EUR 20,920, which brings total holding to 80%.

In January 2003, the Company sold 500,000 American call options for an aggregate price of EUR 880. The underlying share of the American call options is the share of Telekom Austria AG.

In January and February 2003, credit lines totaling EUR 300,000 were made available to the Company by various banks. They expire between November 2003 and January 2004.

Independent Auditor's Report

The Supervisory Board and Stockholders
Telekom Austria Aktiengesellschaft:

We have audited the accompanying consolidated balance sheet of Telekom Austria Aktiengesellschaft as of December 31, 2002, and the related consolidated statements of operations, cash flows and changes in stockholders' equity for the year ended December 31, 2002. These consolidated financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We did not audit the financial statements of mobilkom austria AG & Co KG and mobilkom austria AG and subsidiaries (collectively "mobilkom"), wholly-owned consolidated subsidiaries (74.999 percent owned unconsolidated subsidiaries from January 1, 2002 to June 28, 2002) whose total assets as of December 31, 2002 constitute 32.2 percent of total consolidated assets and whose revenues for the period from June 28, 2002 to December 31, 2002 constitute 30.7 percent of total consolidated revenues. The Company's equity in earnings of mobilkom for the period from January 1, 2002 to June 28, 2002 was € 142,905,720.77. The financial statements of mobilkom were audited by other auditors whose report has been furnished to us, and our opinion, insofar as it relates to the amounts included for mobilkom, is based solely on the report of the other auditors.

We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit and the report of the other auditors provide a reasonable basis for our opinion.

In our opinion, based on our audit and the report of the other auditors, the consolidated financial statements referred to above present fairly, in all material respects, the financial position of Telekom Austria Aktiengesellschaft as of December 31, 2002, and the results of their operations and their cash flows for the year then ended in conformity with accounting principles generally accepted in the United States of America.

As discussed in note 1 to the consolidated financial statements, the Company adopted the provisions of Statements of Financial Accounting Standards No. 141 "Business Combinations" and No. 142 "Goodwill and Other Intangible Assets" effective January 1, 2002.

Vienna, March 12, 2003

KPMG Alpen-Treuhand GmbH
Wirtschaftsprüfungs- und Steuerberatungsgesellschaft

Review the pages certified
by the auditor under
<http://ar2002.telekom.at/audited>



Independent Auditor's Report

The Supervisory Board and Stockholder
mobilkom austria AG & Co KG and
mobilkom austria AG:

We have audited the combined consolidated balance sheet of mobilkom austria AG & Co KG and mobilkom austria AG and subsidiaries (collectively "mobilkom"), wholly-owned consolidated subsidiaries of Telekom Austria Aktiengesellschaft (74.999 % owned unconsolidated subsidiaries from January 1, 2002 to June 28, 2002), as of December 31, 2002, and the related combined consolidated statements of operations, cash flows and changes in stockholders' equity for the year then ended (not presented separately herein). These combined consolidated financial statements are the responsibility of mobilkom's management. Our responsibility is to express an opinion on these combined consolidated financial statements based on our audit.

We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the specified forms are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

In our opinion, the combined consolidated financial statements referred to above present fairly, in all material respects, the financial position of mobilkom as of December 31, 2002, and the results of its operations and its cash flows for the year then ended in conformity with accounting principles generally accepted in the United States of America.

As discussed in note 1 to the combined consolidated financial statements, the Company adopted the provisions of Statements of Financial Accounting Standards No. 141 "Business Combinations" and No. 142 "Goodwill and Other Intangible Assets" effective January 1, 2002.

Vienna, March 12, 2003

Grant Thornton
Wirtschaftsprüfungs-und Steuerberatungs-GmbH

Independent Auditors' Report

The Supervisory Board and Stockholders
Telekom Austria Aktiengesellschaft:

We have audited the accompanying consolidated balance sheets of Telekom Austria Aktiengesellschaft and subsidiaries ("Telekom Austria") as of December 31, 2001, and the related consolidated statements of operations, cash flows and changes in stockholders' equity for each of the years in the two year period then ended. These consolidated financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these consolidated financial statements based on our audits.

We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the consolidated financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the financial position of Telekom Austria as of December 31, 2001, and the results of its operations and its cash flows for the years then ended in conformity with accounting principles generally accepted in the United States of America.

Vienna, March 20, 2002

Grant Thornton - Jonasch & Platzer
Wirtschaftsprüfungs- und Steuerberatungs-OHG

KPMG Austria GmbH
Wirtschaftsprüfungs- und Steuerberatungsgesellschaft

Additional Disclosures to the Consolidated Financial Statements required by Austrian Accounting Rules

(All amounts in EUR '000s omitted)

Financial reporting pursuant to US Generally Accepted Accounting Principles (U.S. GAAP)

The consolidated financial statements as of December 31, 2002 were prepared in accordance with accounting principles generally accepted in the United States of America (U.S. GAAP). According to the provisions of section 245a of the Austrian Commercial Code ("Handelsgesetzbuch" or "HGB"), a company is exempted from preparing consolidated financial statements under Austrian law if it prepares consolidated financial statements in accordance with international principles and thereby also meets the requirements set forth in subsection 1, paragraphs 1 to 3. The disclosures necessary to meet these requirements are provided in the following.

Disclosures required to harmonize the consolidated financial statements with EC directives (sect. 245a subsect. 1 para 1 HGB)

Marketable securities

In accordance with U.S. GAAP for the valuation of securities, all securities were valued at fair value with the exception of securities that are held to maturity, even in cases where fair value exceeds cost. Gains or losses arising from changes in fair value are not recognized in earnings but are reported in a separate component of stockholders' equity. The differences between acquisition cost and fair value are shown in note (4) of the notes to the consolidated financial statements.

Contractual termination benefits

In the consolidated financial statements prepared in accordance with U.S. GAAP, a contractual termination benefit must be recognized when an employee has accepted the company's offer and the amount of the obligation can be reasonably estimated. The obligation is recorded at the present value of the expected future payment. This method contradicts the Fourth EC Directive in most cases, however.

According to the Fourth Directive an obligation must be recognized as soon as occurrence is likely and the amount can be reasonably estimated, independent of acceptance by the employee. As of December 31, 2002 and December 31, 2001 the differences between values reported in the consolidated financial statements prepared according to U.S. GAAP and values in the individual financial statements prepared according to HGB were EUR 8,248 and EUR 33,723, respectively. These figures also include the difference between present value and the undiscounted amount.

Accruals for severance payments, service awards and pensions

In the consolidated financial statements prepared according to U.S. GAAP, the accruals for severance payments and pensions are calculated according to the projected unit credit method. According to the prevailing view, the projected unit credit method does not contradict the Fourth EC Directive. Application of the corridor method does not agree with the requirements of this directive, however. The effects of using the corridor method for severance payments and pension accruals (unrecognized net actuarial gains or losses) are shown in note (15) of the notes to the consolidated financial statements.

Goodwill and intangible assets with indefinite useful lives

U.S. GAAP do not allow the amortization of goodwill and intangible assets with indefinite useful lives, but require these assets be tested for impairment at least once each year. This rule does not comply with the provisions of the Fourth and Seventh EC Directives. The resulting variance is a shortfall of EUR 88,636 in amortization.

Classification of the consolidated financial statements

The SEC requires a different classification for the consolidated financial statements than the Fourth and Seventh EC Directives. Classification pursuant to the provisions of the Fourth and Seventh EC Directives results in the following balance sheet in condensed form (values according to U.S. GAAP):

	December 31, 2002	December 31, 2001
ASSETS		
A. Fixed assets		
I. Intangible assets	1,460,029	128,453
II. Property, plant and equipment	4,857,250	4,543,954
III. Financial assets	171,324	673,663
	6,488,603	5,346,070
B. Other assets		
I. Inventories	91,261	55,786
II. Accounts receivable and other assets	1,641,804	1,937,412
III. Short-term investments	5,327	8,523
IV. Cash in hand, bank balances	27,337	26,393
	1,765,729	2,028,114
C. Prepaid expenses	280,006	353,138
TOTAL ASSETS	8,534,338	7,727,322
LIABILITIES AND STOCKHOLDERS' EQUITY		
A. Stockholders' equity		
I. Common stock (500,000,000 zero par value shares)	1,090,500	1,090,500
II. Additional paid in capital	452,498	451,677
III. Retained earnings	969,626	956,837
IV. Accumulated other comprehensive income (loss)	-3,084	1,380
	2,509,540	2,500,394
B. Accrued liabilities	489,319	509,931
C. Liabilities	5,405,516	4,661,731
D. Deferred income	129,963	55,266
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	8,534,338	7,727,322

Major differences between Austrian Accounting Rules and U.S. GAAP (sect. 245a subsect. 1 para. 1 HGB)

In part, the accounting rules set forth in HGB and U.S. GAAP are based on different underlying principles. Accounting under HGB places greater emphasis on the principles of prudence and creditor protection, while U.S. GAAP focus more strongly on providing investors with relevant information for decision-making.

In these financial statements, the differences between HGB and U.S. GAAP regulations affect the following accounting areas:

1. Internally developed software

Under certain conditions, U.S. GAAP require the capitalization of development costs for internal-use software. HGB does not permit the capitalization of such assets.

2. Deferred taxes

U.S. GAAP require the capitalization of deferred taxes arising from temporary differences between the carrying amounts of an asset or liability in the U.S. GAAP balance sheet and its related tax base, as well as the capitalization of expected benefits from tax loss carry-forwards. Austrian accounting rules require the capitalization of deferred tax liabilities; the capitalization of deferred tax assets

is optional for individual financial statements, but mandatory for consolidated financial statements. According to the prevailing view, the recognition of deferred tax assets on tax loss carry-forwards is prohibited by HGB.

3. Other accruals

Under U.S. GAAP accruals must be created for obligations to third parties if these obligations are considered likely to arise and can be reliably valued. According to HGB, the principle of conservatism governs the creation of accruals. In practice, this frequently leads to the creation of accruals as soon as a potential obligation is identified.

According to U.S. GAAP, non-current obligations should generally be discounted. According to the prevailing view, such discounting is prohibited by HGB.

4. Accruals for contractual termination benefits

In the consolidated financial statements prepared in accordance with U.S. GAAP, a contractual termination benefit obligation must be recognized when an employee has accepted the company's offer and the amount of the obligation can be reasonably estimated. The accrual is recorded at the present value of the expected future payment. According to HGB, this obligation must be recognized as soon as occurrence is probable and the amount can be reasonably estimated, independent of acceptance by the employee. According to the prevailing view, HGB does not allow the valuation of such obligations at present value.

5. Accruals for severance payments, service awards and pensions

In the consolidated financial statements prepared according to U.S. GAAP, the accruals for severance payments, service awards and pensions are calculated according to the projected unit credit method with the corridor method used for severance payment and pension accruals. According to the prevailing view, the projected unit credit method does not contradict the provisions of HGB but the corridor method does not meet HGB requirements.

6. Valuation marketable securities

With the exception of securities held-to-maturity, securities are stated at fair value in accordance with U.S. GAAP. Unrealized gains and losses are recorded in a separate component of stockholders' equity with no effect on earnings. According to HGB, marketable securities must be reported at cost less any extraordinary write-downs made to reflect expected permanent impairment. Under HGB, marketable securities are reported at the lower of purchase price or fair value as of the balance sheet date.

7. Asset backed securitization

In accordance with U.S. GAAP, trade receivables that are sold to a special purpose entity must be recorded as an asset disposal if certain conditions are met. Individual valuation adjustments for uncollectible receivables are shown under accruals.

Under Austrian accounting rules, the accounting treatment of sold receivables must be based on economic principles if the risk of collection remains with the seller (artificial factoring transaction). In such cases, economic ownership remains with the selling company, which must continue to record these sold receivables on its balance sheet.

8 Foreign currency translation

In accordance with U.S. GAAP, monetary balance sheet items denominated in foreign currencies are translated at the average exchange rate on the balance sheet date. Both unrealized gains and unrealized losses are recognized. HGB does not allow the recognition of unrealized foreign currency translation gains. For this reason, HGB prescribes the lower of cost or market principle for the translation of monetary items.

9. Derivative financial instruments

According to U.S. GAAP, derivative financial instruments are carried at fair value. Changes in fair value are recognized immediately in earnings. For derivatives that qualify for hedge accounting in accordance with SFAS 133, changes in fair value are recorded in stockholders' equity (as a component of other comprehensive income) for cash flow hedges or recognized in earnings for fair value hedges. Moreover, the ineffective portion of any value changes to a cash flow hedge is immediately recognized in earnings. When a cash flow hedge is realized, all relevant amounts recorded under equity are transferred to earnings.

According to Austrian accounting principles, an accrual must be created for unrealized losses arising from changes in fair value. Unrealized gains are not recognized. In cases where the derivative financial instrument and host contract may form a single valuation unit, changes in the value of the derivative and hedged item are not recognized.

	Jan. 1, 2002	Additions	Additions from initial consolida- tion/merger	Disposal	Reclassifi- cation	Currency adjustments	Dec. 31, 2002
Acquisition/manufacturing costs							
Goodwill ¹⁾	63,105	8,725	598,943	(39,927)	-	(3,119)	627,727
Concessions, industrial property and similar rights and assets, and licenses in such rights and assets ¹⁾	107,660	54,480	1,035,838	(13,254)	13,940	(1,351)	1,197,313
Other intangible assets	28,955	2,046	5,508	(299)	1,839	(97)	37,952
Intangible assets	199,720	65,251	1,640,289	(53,480)	15,779	(4,567)	1,862,992
Land, buildings and leasehold improvements ²⁾	719,838	24,803	42,163	(66,690)	(4,390)	(252)	715,472
Communication networks and other equipment	7,819,869	337,076	1,269,269	(189,085)	125,881	(4,872)	9,358,138
Capital leases	6,779	254	6,715	-	2,444	15	16,207
Construction in progress	102,143	133,359	140,139	(312)	(139,714)	(352)	235,263
Property, plant and equipment	8,648,629	495,492	1,458,286	(256,087)	(15,779)	(5,461)	10,325,080
Investments in affiliates ³⁾	510,682	145,860	4,938	(648,376)	-	-	13,104
Other financial assets	162,981	10,495	9,233	(20,027)	-	-	162,682
Financial assets	673,663	156,355	14,171	(668,403)	-	-	175,786
Total	9,522,012	717,098	3,112,746	(977,970)	-	(10,028)	12,363,858

1) the difference between 1/1/2002 and 12/31/2001 is due to minor reclassifications

2) value of land thereof: 64,031 (Jan. 1, 2002) 62,462 (Dec. 31, 2002)

3) Equity valuation of investment within consolidated accounting

	Jan. 1, 2002	Additions	Additions from initial consolida- tion/merger	Disposal	Reclassifi- cation	Currency adjustments	Dec. 31, 2002
Accumulated amortization and depreciation							
Goodwill ¹⁾	2,861	40,893	34,691	(39,927)	-	(1,518)	37,000
Concessions, industrial property and similar rights and assets, and in such rights and assets ¹⁾	58,988	66,466	239,217	(12,974)	(1,270)	(343)	350,084
Other intangible assets ¹⁾	9,418	3,567	2,157	(296)	1,073	(40)	15,879
Intangible assets	71,267	110,926	276,065	(53,197)	(197)	(1,901)	402,963
Land, buildings and leasehold improvements	224,836	39,406	8,162	(26,471)	(7,002)	(49)	238,882
Communication networks and other equipment	3,874,116	905,451	596,786	(162,121)	6,955	(1,952)	5,219,235
Capital leases	4,913	2,342	1,343	-	244	1	8,843
Construction in progress	810	58	0	-	-	2	870
Property, plant and equipment	4,104,675	947,257	606,291	(188,592)	197	(1,998)	5,467,830
Investments in affiliates	0	4,462	0	-	-	-	4,462
Other financial assets	0	0	0	-	-	-	0
Financial assets	0	4,462	0	-	-	-	4,462
Total	4,175,942	1,062,645	882,356	(241,789)	-	(3,899)	5,875,255

1) the difference between 1/1/2002 and 12/31/2001 is due to minor reclassifications

	Jan. 1, 2002	Additions	Additions from initial consolidation/merger	Disposal	Reclassi- fication	Amor- tization & Depre- ciation	Currency adjust- ments	Dec. 31, 2002
Carrying amount								
Goodwill ¹⁾	60,244	8,725	564,252	-	-	(40,893)	(1,601)	590,727
Concessions, industrial property and similar rights and assets, and licenses in such rights and assets ¹⁾	48,672	54,480	796,621	(280)	15,210	(66,466)	(1,008)	847,229
Other intangible assets ¹⁾	19,537	2,046	3,351	(3)	766	(3,567)	(57)	22,073
Intangible assets	128,453	65,251	1,364,224	(283)	15,976	(110,926)	(2,666)	1,460,029
Land, buildings and leasehold improvements	495,002	24,803	34,001	(40,219)	2,612	(39,406)	(203)	476,590
Communication networks and other equipment	3,945,753	337,076	672,483	(26,964)	118,926	(905,451)	(2,920)	4,138,903
Capital leases	1,866	254	5,372	-	2,200	(2,342)	14	7,364
Construction in progress	101,333	133,359	140,139	(312)	(139,714)	(58)	(354)	234,393
Property, plant and equipment	4,543,954	495,492	851,995	(67,495)	(15,976)	(947,257)	(3,463)	4,857,250
Investments in affiliates	510,682	145,860	4,938	(648,376)	-	(4,462)	-	8,642
Other financial assets	162,981	10,495	9,233	(20,027)	-	-	-	162,682
Financial assets	673,663	156,355	14,171	(668,403)	-	(4,462)	-	171,324
Total	5,346,070	717,098	2,230,390	(736,181)	-	(1,062,645)	(6,129)	6,488,603

1) the difference between 1/1/2002 and 12/31/2001 is due to minor reclassifications

The totals in the above tables may differ from the sum of their components as a result of rounding.

Affiliated Companies

Name and Corporate Seat	Share in capital as of Dec. 31, 2002 %
Fully consolidated subsidiaries:	
Telekom Finanzmanagement GmbH, Vienna	100.00
Telekom Beteiligungs- und Entwicklungs GmbH, Vienna	100.00
Telekom Austria Personalmanagement GmbH, Vienna	100.00
Telekom Building Systems GmbH, Vienna	100.00
Jet2Web Net Internet Betriebs GmbH, Vienna	100.00
mobikom austria AG & Co KG, Vienna	100.00
mobikom austria AG, Vienna	100.00
Mobikom International GmbH, Vienna	100.00
Mobikom International GmbH & Co KEG, Vienna	100.00
mobikom [liechtenstein] AG, Vaduz	100.00
Jet2Web Magyarorszag Kft, Budapest	100.00
Jet2Web Slovakia s.r.o., Bratislava	100.00
TA Mreža d.o.o., Ljubljana	100.00
Czech On Line a.s., Prague	100.00
TELEIMPULS, družba za telekomunikacije d.o.o., Ljubljana	100.00
A1 Bank AG, Vienna	100.00
Jet2Web Bizmarket e-Business Services GmbH, Vienna	85.00
Si.mobil telekomunikacijske storitve d.d., Ljubljana	75.00
VIPnet d.o.o., Zagreb	71.00
IVS Interactive Video Services GmbH, Vienna	66.67
World-Direct eBusiness Solutions GmbH, Vienna	26.00
medienprojekte + service GmbH, Klosterneuburg	1) ¹⁾
Affiliated companies consolidated at equity:	
paybox österreich AG, Munich	48.98
Herold Business Data AG, Mödling	26.00
Omnimedia Werbegesellschaft mbH, Vienna	26.00
Output Service GmbH, Vienna	25.10
Subsidiaries accounted for at cost (due to minor significance):	
Österreichische Fernmeldetechnische Entwicklungs- und Fördergesellschaft m.b.H., Vienna	100.00

1) This company is fully consolidated even though no shares are owned.

Employees

The average number of employees during the business year 2002 was 15,714 (2001: 17,549).

	Pensions	Pensions	Severance	Severance
Expenses for Severance Payments and Pensions:	2002	2001	2002	2001
Board members	92	72	38	111
Other employees	7,586	5,362	30,388	30,210
Total	7,678	5,434	30,426	30,321

Remuneration paid to the Managing Board and Supervisory Board

The remuneration expenses for the members of the Managing Board amounted to EUR 1,822, of which were bonuses of EUR 598 in 2002. The bonuses will only be paid out in case of a 100% achievement of performance goals. In 2001 the amount of remuneration was EUR 1,582 (thereof bonuses of: EUR 325). Fees paid to the members of the Supervisory Board totaled EUR 113 in 2002 and EUR 135 in 2001.

Vienna, March 12, 2003

The Managing Board

Heinz Sundt (CEO), Stefano Colombo (Deputy CEO and CFO), Rudolf Fischer (COO Wireline), Boris Nemsic (COO Wireless)

Confirmation According to Para 245a Austrian Commercial Code

According to the provisions of Austrian commercial law, the group management report and the existence of the legal preconditions granting exemption from drawing up consolidated financial statements according to Austrian law must be examined.

We confirm that the group management report is consistent with the consolidated financial statements and that the legal requirements for exemption from the obligation to prepare consolidated financial statements according to Austrian law have been fulfilled.

Vienna, March 12, 2003

KPMG Alpen-Treuhand GmbH
Wirtschaftsprüfungs- und Steuerberatungsgesellschaft

DDr. Martin Wagner
Certified Public Accountant

Mag. Helmut Kerschbaumer
Certified Public Accountant

Glossary

ADSL (Asymmetric Digital Subscriber Line): digital transmission method that allows data transmission rates of up to 8 Mbit/s to the customer (download) and up to 700 Kbit/s from the customer (upload) via standard telephone line.

AQUILA (Adaptive Resource Control for QoS using IP-based Layered Architecture): EU project within the context of IST (Information Society Technologies) for the definition, evaluation and implementation of extended architecture for quality of service (QoS) on the Internet.

ARPU (Average Revenue Per User): average revenues per customer; classic key figure in mobile communications.

ASP enabling: the rental of application programs is offered as an alternative to the purchase and operation of hardware and standard software.

Backbone: main connections in a network that normally consists of several nodes, which are connected to each other by high-capacity transmission paths.

Best Practice: generally recognized benchmarking that is based on defined performance criteria to determine and reach the highest standards of quality.

Channels (Internet): subjects in an online portal; pre-selected, edited and permanently updated information from the World Wide Web for fast reports and on-demand inquiries or more extensive information via links.

Churn Rate: the number of customers who change to another provider, as a percentage of the average subscriber base.

Community Services: social meeting points and platforms on the Internet for entertainment as well as the exchange of opinions through discussion forums, chat rooms or bulletin boards for persons with similar interests.

Customer Relationship Management (CRM): business philosophy and corporate culture that places the customer at the focal point of activities and orients processes toward this strategy with the support of IT.

Data Stream: protocol-transparent data services up to 2 Mbit/s with various options for service level agreements.

Data Switch: packet-oriented data services based on a switched multiservice network.

Electronic Data Interchange (EDI): international standardization for the electronic transmission of business data with high automation of e-commerce procedures.

Eurostat: statistical office of the European Union with headquarters in Luxemburg.

eZine: periodic e-mail newsletter with articles, announcements and other information on a specific subject; a web-based magazine (e-publication) is called a webZine.

FLAWS (Flexible Convergence of Wireless Standards and Services): EU project within the context of IST (Information Technologies) to evaluate mobile and personal communications; Telekom Austria participates in this project together with the Research Center for Telecommunications in Vienna (ftw).

GCAP (Global Communication Architecture and Protocols for new QoS services over IPv6 Networks): EU project within the context of IST to develop new end-to-end multicast and multimedia transport protocols based on the innovative Internet industry standards IPv6.

Global Account Management: ensures harmonized service of multinational corporate customers.

GPRS (General Packet Radio Service): data carrier service based on GSM; GPRS allows data transmission at rates between 56 and 114 Kbit/s.

GSM (Global System for Mobile Communications): internationally standardized digital radio network that allows both telephone-quality voice transmission and data transmission.

ISDN (Integrated Services Digital Network): digital telecommunications network that allows simultaneous voice and data transmission over a single subscriber line (bandwidth 2 x 64 Kbit/s to 2 Mbit/s).

Interconnection: physical and logical connection between different telecommunications networks that enables direct or indirect communication between the users of these different networks.

Internet dial-up: gateway to the Internet via access numbers to dial-in ports (Internet POPs) at

a switching center via telephone or ISDN modem over the PSTN network.

ISP Portals: Web portals of Internet service providers that offer a comprehensive range of resources and services (e-mail, forums, search engines, online shopping malls etc.) to a broad public; the Telekom Austria portal www.Aon.at offers 11 channels, a shopping zone, as well as communications & community services.

LAN Interconnect plus Voice: technology platform for the transmission of voice, data and multimedia content with priority for real-time applications such as voice, music or video over a common IP (Internet Protocol)-based multi-service network.

Mobile Virtual Network Operator (MNVO): a mobile communications provider who offers services via its own network access code to customers, but has no public mobile communications license.

Multi-Media-Messaging-Services (MMS): multimedia SMS service that allows the transmission of texts with over 4,000 characters as well as of sound (recordings, sounds) and images in a single message.

Page Impressions: visual contact between a user and a content-relevant page. Page impressions refer to the number of page retrievals and not the requests for specific elements on the very same page (pictures, multimedia etc.).

Premium Rate Services: information and entertainment services can be accessed via a telephone hotline at a certain rate.

Prepaid Market: market for mobile communication services paid in advance on the basis of rechargeable mobile telephone cards.

PSTN Voice Service (Public Switched Telephone Network): voice telephony services over the traditional public telephone network.

Retail: subscriber market; the spectrum of customers ranges from residential customers, to small and medium enterprises and large corporates (key accounts).

Roaming: a performance feature of cellular radio communications networks, which ensures the use of mobile telephones in a third party

Use the search function to look for a particular term in the annual report under <http://ar2002.telekom.at>



network on the basis of the same standard for an additional fee. Roaming is based on special bilateral agreements between mobile communications providers.

Security Solutions: modular services for network security.

Streamlining: ongoing adjustment of an organization to meet current challenges.

UMTS (Universal Mobile Telecommunications System): new, worldwide uniform mobile communications standard that integrates the various continental mobile communications standards. Key performance criteria are greater capacity and larger data volumes as well as the use of mobile multimedia equipment.

VIP.Parking: mobile solution for the payment of parking fees based on SMS technology (Short Message Service), at VIPnet, Croatia.

Visits: interrelated access (page retrieval etc.) by a user within a defined period of time.

Voice over IP Solutions: hardware and software that allow subscribers to use the Internet for voice transmissions (Internet telephony).

Wholesale: reseller; in the telecommunications branch these are network operators in the voice telephony, data communications, mobile communications and Internet areas.

Web Communication Services: normally directed to 1:1 communication between people over the Internet. Classic forms are e-mail, WebSMS and instant messaging; new forms are e-cards and video chats.

xDSL: collective term for all types of digital subscriber line technologies based on traditional copper lines within a short radius to the switching center (4 km). The most important xDSL technologies are ADSL (asymmetric), SDSL (symmetric), HDSL (high data rate) and VDSL (very high) digital subscriber line.

Stock Exchange & Finance

ATX (Austrian Traded Index): the key index of the Vienna Stock Exchange

Audit Committee: US stock exchange guidelines require companies traded on US stock exchanges to establish an audit committee. This body supervises the company's reporting process, and issues expert opinions on the company's financial statements.

Code of Ethics: companies traded on the New York Stock Exchange are required to prepare a code of ethics. This policy includes written rules for managers in the financial area, mandates complete, timely, transparent, exact and understandable reporting and announcements, and establishes penalties for violating these rules.

Corporate Governance: "corporate constitution"; the corporate governance code represents a set of rules for the responsible management and control of a company.

Corporate Social Responsibility (CSR): socio-political responsibility designed to harmonize the fulfillment of business goals with sustainable growth and human advancement.

DAX: German stock index.

DJ Stoxx Telecom: The Dow Jones Stoxx Telecom Index comprises 25 European telecommunications companies.

EBIT (Earnings Before Interest and Taxes): Telekom Austria defines EBIT as operating income before interest and taxes as well as costs for idle workforce and losses from the retirement of long-lived assets.

EBITDA (Earnings Before Interest, Taxes, Depreciation and Amortization): Telekom Austria defines EBITDA as EBIT plus depreciation, amortization and impairment charges.

EBITDA Margin: EBITDA as a percentage of revenues, an indicator of profitability.

Economies of Scale: when production volumes rise, the total cost per unit declines because fixed costs remain stable.

Fed (Federal Reserve): central bank of the USA.

FTSE 300 Eurotop: European stock index that includes 300 blue chips in Western Europe and is weighted by market capitalization.

IPO (Initial Public Offering): the first offering of shares by a company not previously traded on a stock exchange; frequently called "new emission" or "going public".

MSCI World Index: stock index published by Morgan Stanley Capital International (MSCI), which is based on 1,470 stock prices from 20 countries. In addition to the world index, MSCI also published regional indexes (MSCI Europe Index).

Net Debt: debt less cash and cash equivalents.

Net Gearing: financial liabilities less liquid funds, divided by equity; an indicator of financial security.

ROCE (Return on Capital Employed): EBIT divided by equity plus average net debt, an indicator that measures the yield on capital used in the company.

ROE (Return on Equity): net profit divided by equity, an indicator that measures the yield on equity.

Sarbanes-Oxley Act (SOX): comprehensive US law to reform corporate governance rules and corporate reporting.

Secondary Offering: when a publicly traded company increases free float through a further placement of shares over the stock exchange.

SEC (US Securities and Exchange Commission): US regulatory authority for capital markets.

SRI Index (Socially Responsible Investment): London Stock Exchange index of companies that are outstanding in their branch for balanced social responsibility and environmental management (www.ftse4good.com).

Online Annual Report

The Annual Report 2002 of Telekom Austria is also available in a user-friendly online version on the Internet. This data base-supported online report provides fast access to information, search functions, a sitemap, an online glossary, Excel and pdf downloads, linked content, and direct subject access to compile a report for your special interests under <http://ar2002.telekom.at>



Form 20-F

The annual report as filed with the US Securities and Exchange Commission (SEC) is referred to as Form 20-F and is available in English directly from Telekom Austria Investor Relations department or on the corporate website under www.telekom.at

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Forward-looking Statements

This annual report contains forward-looking statements that involve risks and uncertainties. These forward-looking statements are usually accompanied by words such as "believe", "intend", "anticipate", "plan", "expect" and similar expressions. Our actual results may differ materially from those anticipated in these forward-looking statements as a result of a number of factors. Forward-looking statements involve inherent risks and uncertainties. We caution that a number of important factors could cause actual results or outcomes to differ materially from those expressed in any forward-looking statement. These factors include, but are not limited to, the following:

- the level of demand for telecommunications services or equipment, particularly with regard to access lines, traffic, bandwidth and new products;
- competitive forces in liberalized markets, including pricing pressures, technological developments, alternative routing developments and new access technologies, and our ability to retain market share in the face of competition from existing and new market entrants;
- the effects of our tariff reduction initiatives or other marketing initiatives;
- the impact of insolvencies of our major customers or international suppliers;
- the regulatory developments and changes, including the levels of tariffs, the terms of interconnection, unbundling of access lines and international settlement arrangements;

- our ability to achieve cost savings and realize productivity improvements;
- the success of new business, operating and financial initiatives, many of which involve start-up costs, and new systems and applications, particularly with regard to the integration of service offerings of our newly integrated subsidiaries;
- our ability to secure the licenses we need to offer new services and the cost of these licenses and related network infrastructure build-outs;
- the progress of our domestic and international investments, joint ventures and alliances;
- the impact of our new business strategies and transformation process including the reintegration of subsidiaries and restructuring of operations;
- the availability, terms and deployment of capital and the impact of regulatory and competitive developments on capital expenditures;
- the outcome of current and future litigation in which we are or will be involved;
- the level of demand for our shares which can affect our business strategies;
- our ability to further reduce our existing workforce;
- concerns over health risks associated with the use of wireless handsets or radio frequency emissions from transmission masts;
- changes in the law including regulatory, civil servants and social security, pensions and tax law; and
- general economic conditions, government and regulatory policies, new legislation and business conditions in the markets we serve.

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